Practitioner-Accurate Map of Internal Audit Methodology, Architecture, and Operational Execution Under the 2024 Global Internal Audit Standards

1. How the Standards Are Organised, and How Mandatory and Non-Mandatory Material Is Distinguished

1.1 Structural Architecture of the International Professional Practices Framework (IPPF) and the 2024 Standards

- **[REQ]** The International Professional Practices Framework (IPPF) organizes the authoritative body of knowledge promulgated by The Institute of Internal Auditors (The IIA) into two mandatory components—the *Global Internal Audit Standards* and *Topical Requirements*—and one supplemental, non-mandatory component, *Global Guidance* (Global Internal Audit Standards, The Institute of Internal Auditors, published January 9, 2024, accessed November 5, 2026; About the International Professional Practices Framework, pp. 5–6).
- **[REQ]** The *Global Internal Audit Standards* (issued January 9, 2024, and effective January 9, 2025) are structured into five overarching Domains, 15 guiding Principles, and 52 individual Standards (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Fundamentals of the Global Internal Audit Standards, pp. 7–8; Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026):
    - **Domain I: Purpose of Internal Auditing** (p. 15): Articulates the foundational value proposition, core organizational enhancements, and conditions required for internal auditing to be most effective. It contains no numbered principles or standards, functioning instead as the overarching constitutional purpose statement that all principles and standards serve.
    - **Domain II: Ethics and Professionalism** (Principles 1–5; Standards 1.1–5.2, pp. 16–36): Replaces the former pre-2024 IIA *Code of Ethics* and outlines behavioral expectations for all individual internal auditors, Chief Audit Executives (CAEs), and entities providing internal audit services across Integrity (Principle 1), Objectivity (Principle 2), Competency (Principle 3), Due Professional Care (Principle 4), and Confidentiality (Principle 5).
    - **Domain III: Governing the Internal Audit Function** (Principles 6–8; Standards 6.1–8.4, pp. 37–59): Outlines the requirements for the CAE to collaborate with the board and senior management to establish the internal audit mandate and charter (Principle 6), position the function independently (Principle 7), and ensure board

oversight and quality assessment (Principle 8). Domain III uniquely introduces **"Essential Conditions"** for both the Board and Senior Management under each standard (Domain III Intro, p. 37).
    - **Domain IV: Managing the Internal Audit Function** (Principles 9–12; Standards 9.1–12.3, pp. 60–91): Defines the CAE's responsibilities for strategic planning, methodology design, risk-based audit planning, and assurance coordination (Principle 9); financial, human, and technological resource management (Principle 10); stakeholder relationship management and effective communication (Principle 11); and quality assurance, performance measurement, and engagement supervision (Principle 12).
    - **Domain V: Performing Internal Audit Services** (Principles 13–15; Standards 13.1–15.2, pp. 92–115): Governs the execution of individual assurance and advisory engagements across engagement planning (Principle 13), fieldwork and evaluation of findings/conclusions (Principle 14), and final communication and action plan monitoring (Principle 15).
    - **Public Sector Application Section** (pp. 116–119): Immediately follows Domain V, titled *"Applying the Global Internal Audit Standards in the Public Sector,"* detailing how statutory mandates, freedom-of-information laws, multi-tiered governance structures, and legislative appropriations affect conformance.
- **[REQ]** Regarding applicability and individual vs. functional accountability, the Standards mandate: *"The Standards apply to any individual or function that provides internal audit services, whether an organization employs internal auditors directly, contracts them through an external service provider, or both... While the chief audit executive is accountable for the internal audit function's implementation of and conformance with all principles and standards, all internal auditors are responsible for conforming with the principles and standards relevant to performing their job responsibilities, which are presented primarily in Domain II: Ethics and Professionalism and Domain V: Performing Internal Audit Services"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Fundamentals of the Global Internal Audit Standards, pp. 7–8).

1.2 Interaction of Mandatory and Non-Mandatory Elements ("Must", "Should", and "May")

- **[REQ]** Within Domains II through V, every Standard is divided into three distinct subsections that govern how mandatory and non-mandatory material interact (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Fundamentals of the Global Internal Audit Standards, p. 8; Glossary, pp. 12–13):
    1. **Requirements ([REQ])**: Mandatory practices for internal auditing. The Standards define **"must"** in the Glossary (p. 12) as: *"The Global Internal Audit Standards use the word 'must' to specify an unconditional requirement."* In the Fundamentals section (p. 8), the Standards state: *"The Standards use the word 'must' in the Requirements sections..."* Furthermore, under Standard 4.1 (Domain II, Principle 4, Standard 4.1, p. 29), *"Internal auditors must plan and perform internal audit services in accordance with the Global Internal Audit Standards."*
    2. **Considerations for Implementation ([GUIDE])**: Non-mandatory guidance describing common and preferred practices to consider when implementing the

Requirements. The Fundamentals section (p. 8) states that the Standards use *"the words 'should' and 'may' to specify common and preferred practices in the Considerations for Implementation sections."* The Glossary defines **"should"** (p. 13) as: *"As used in the Considerations for Implementation of the Global Internal Audit Standards, the word 'should' describes practices that are preferred but not required."* The Glossary defines **"may"** (p. 12) as: *"As used in the Considerations for Implementation of the Global Internal Audit Standards, the word 'may' describes optional practices to implement the Requirements."*

3. **Examples of Evidence of Conformance ([GUIDE])**: Non-mandatory lists at the end of each standard. The Fundamentals section (p. 8) explicitly states: *"Each standard ends with a list of examples of evidence. The examples are neither requirements nor the only ways to demonstrate conformance; rather, they are provided to help internal audit functions prepare for quality assessments, which rely on demonstrative evidence."*

- **[REQ]** The **Glossary** (pp. 10–14) is integral to mandatory interpretation: *"The Standards use certain terms as defined in the accompanying glossary. To understand and implement the Standards correctly, it is necessary to understand and adopt the specific meanings and usage of the terms as described in the glossary"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Fundamentals of the Global Internal Audit Standards, p. 8).
- **[REQ] Principle-Level Conformance and Documented Deviations ("Comply or Explain with Alternative Actions")**: When an internal audit function cannot conform with a specific Requirement (due to legal prohibition, resource constraints in small audit shops, or public-sector structural limits), the Standards establish a strict protocol: *"If laws or regulations prohibit internal auditors or the internal audit function from conforming with any part of the Standards, conformance with all other parts of the Standards is required and appropriate disclosures must be made. When internal auditors are unable to conform with a requirement, the chief audit executive must document and communicate a description of the circumstance, alternative actions taken, the impact of the actions, and the rationale"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain II, Principle 4, Standard 4.1, p. 30; Fundamentals, p. 8). Similarly, in Domain III, if the board or senior management disagrees with an "Essential Condition," *"the chief audit executive must emphasize — with examples — how absence of the condition(s) may affect the internal audit function's ability to fulfill its purpose or conform with specific standards"* and, if agreed that a condition is unnecessary, *"the chief audit executive must document: The reasons for agreeing that a particular condition is unnecessary [and] Alternative conditions that compensate for the absent conditions, to support the judgments of the board and senior management"* (Domain III Intro, p. 38).
- **[TOPICAL] IIA Topical Requirements**: Topical Requirements are a new mandatory component of the 2024 IPPF designed to enforce baseline consistency when internal auditors assess specific risk domains (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; About the IPPF, p. 5; Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026). The Standards state: *"Internal auditors must conform with the relevant requirements when the scope of an engagement includes one of the identified topics"* (About the IPPF, p. 5). The IIA's *Topical Requirements Application Guidance* clarifies that Topical Requirements are mandatory for assurance engagements (and recommended but

not required for advisory services) whenever a risk assessment leads to the topic being the subject of a planned assurance engagement, identified during an engagement, or requested off-plan; evidence that each requirement was assessed for applicability (and documented rationale for any excluded requirement) must be retained in workpapers (Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026). Each Topical Requirement becomes effective 12 months after issuance:
    - **Cybersecurity Topical Requirement**: Issued February 5, 2025; **Effective February 5, 2026** (currently in force as of November 2026) (Cybersecurity Topical Requirement, The IIA, published February 5, 2025, accessed November 5, 2026).
    - **Third-Party Topical Requirement**: Issued September 15, 2025; **Effective September 15, 2026** (currently in force as of November 2026) (Third-Party Topical Requirement, The IIA, published September 15, 2025, accessed November 5, 2026).
    - **Organizational Behavior Topical Requirement**: Issued December 15, 2025; **Effective December 15, 2026** (Report on the Development and Public Consultation Processes for the Organizational Behavior Topical Requirement, The IIA, published December 15, 2025, accessed November 5, 2026).
    - **Organizational Resilience Topical Requirement**: Issued April 30, 2026; **Effective April 30, 2027** (Report on the Development and Public Consultation Processes for the Organizational Resilience Topical Requirement, The IIA, published April 27, 2026, accessed November 5, 2026).
- **[GUIDE] Supplemental Global Guidance**: Includes *Global Practice Guides* (GPGs) and *Global Technology Audit Guides* (GTAGs®), which provide non-mandatory step-by-step processes, templates, and IT/cybersecurity audit knowledge endorsed by The IIA (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; About the IPPF, p. 6).

2. Verdicts on Working Hypotheses (H1–H4)

2.1 Verdict on H1 (Judgment Chain)

- **Verdict**: **CONFIRMED WITH TWO CRITICAL REFINEMENTS.**
- **Confirmation of the Core Chain and Repeatability Standard**:
    - **[REQ]** The Standards confirm that an assurance engagement builds a defensible professional judgment linking business objectives through to follow-up, and that this chain must be documented so another competent professional can reproduce it. Standard 14.6 mandates: *"Internal auditors must document information and evidence to support the engagement results. The analyses, evaluations, and supporting information relevant to an engagement must be documented such that an informed, prudent internal auditor, or similarly informed and competent person, could repeat the work and derive the same engagement results"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standard 14.6, p. 111; see also Standard 14.1 definition of "Sufficient" on p. 105).
    - **[GUIDE]** The Glossary definition of **risk and control matrix** (p. 13) and the Considerations for Implementation across Standards 13.2 (p. 97), 13.4 (p. 100),

13.6 (p. 103), 14.1–14.5 (pp. 104–110), and 15.1–15.2 (pp. 113–115) explicitly trace the chain: *"to understand and document the objectives of the activity under review, the risks that could affect the achievement of each objective, and the controls intended to manage each risk"* (Standard 13.2, p. 97) → evaluation criteria (Standard 13.4, p. 100) → work program tasks/testing (Standard 13.6, p. 103) → gathering relevant, reliable, sufficient information to produce evidence (Principle 14 Intro & Standard 14.1, p. 104) → comparing criteria vs. condition to identify potential findings, root causes, effects, and significance (Standards 14.2–14.3, pp. 106–108) → engagement conclusion (Standard 14.5, p. 110) → recommendations and/or management action plans (Standard 14.4, p. 109) → confirming implementation/follow-up (Standard 15.2, p. 114) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

- **Refinement 1: Control Design Adequacy Precedes Operating Effectiveness Testing**:
  - **[GUIDE]** H1 lists *"controls and criteria → testing"* as a single step, whereas the Standards distinguish two sequential sub-judgments on controls: (a) evaluating the **adequacy of control design** (often performed during planning/walkthroughs in Stage 2 or Stage 3), and (b) testing **operating effectiveness** (Stage 4). Standard 4.2 (Domain II, Principle 4, p. 32) explicitly notes: *"For example, if the controls in an activity under review are not adequately designed, the benefits of fully evaluating the effectiveness of those controls are not likely to be worth the costs."* Similarly, Standard 13.2 (Domain V, Principle 13, p. 97) states: *"For the most significant risks, assessing the adequacy of the design of the controls helps internal auditors determine which controls to continue testing for operating effectiveness"* (see also Standard 13.6, pp. 103–104) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026). If control design fails, the chain short-circuits directly from design evaluation to a finding without operating effectiveness testing.
- **Refinement 2: Positive Assurance Branch (No Findings Still Leads to a Conclusion)**:
  - **[REQ]** H1 implies that evidence always flows through *"findings and conclusion → management action → follow-up."* However, when testing shows no gap between criteria and condition, there are no findings, no management actions, and no follow-up—yet a formal conclusion is still mandatory. Standard 14.2 (Domain V, Principle 14, p. 106) mandates: *"If internal auditors determine that no additional analyses are required and there is no difference between the criteria and the condition, the internal auditors must provide assurance in the engagement conclusion regarding the effectiveness of the activity's governance, risk management, and control processes."* Standard 14.5 (p. 110) reinforces this: *"Assurance engagement conclusions must include the internal auditors' judgment regarding the effectiveness of the governance, risk management, and/or control processes of the activity under review, including an acknowledgment of when processes are effective"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

2.2 Verdict on H2 (Iteration)

- **Verdict**: **CONFIRMED AND VERIFIED DIRECTLY ON PAGE 92 (PLUS MULTIPLE ADDITIONAL PASSAGES).**

- **Exact Verification of Page 92**:
    - **[REQ]** Your belief that the Standards explicitly state this around page 92 is exact. In the introductory text to **Domain V: Performing Internal Audit Services** on **page 92**, paragraph 2, the Standards state verbatim:*"Although the standards for performing engagements are presented in a sequence, the steps in performing engagements are not always distinct, linear, and sequential. In practice, the order in which steps are performed may vary by engagement and have overlapping and iterative aspects. For example, engagement planning includes gathering information and assessing risks, which may continue throughout the engagement. Each step may affect another or the engagement as a whole. Therefore, internal auditors should review and understand all standards in this domain before beginning an engagement."* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V Intro, p. 92).
- **Additional Passages on Iteration Across the Standards**:
    1. **[REQ] Dynamic Audit Plan Iteration (Domain IV, Principle 9, Standard 9.4, p. 66; Glossary, p. 12)**: *"The internal audit plan must: ... Be dynamic and updated timely in response to changes in the organization's business, risks, operations, programs, systems, controls, and organizational culture."* In Considerations for Implementation (p. 67), the CAE *"should keep continuously apprised of risk information, updating the risk assessment and internal audit plan accordingly... every six months, quarterly, or even monthly."*
    2. **[REQ] Communicating Mid-Engagement Scope/Objective Changes to Management (Domain V, Principle 13, Standard 13.1, p. 93)**: *"Internal auditors must communicate the objectives, scope, and timing of the engagement with management. Subsequent changes must be communicated with management timely."*
    3. **[GUIDE] Evolving Risk and Control Matrix Across Stages (Domain V, Principle 13, Standard 13.2, p. 97)**: *"When used, a risk and control matrix is typically developed throughout the engagement. As the engagement progresses through the testing phase, the matrix may be used to document the risk event, control and its type (that is, preventive, detective, directive, or corrective), cause, effect (consequence), and assessment of residual risk."*
    4. **[REQ] Mid-Engagement Revision of Objectives and Scope (Domain V, Principle 13, Standard 13.3, p. 98)**: *"Internal auditors must have the flexibility to make changes to the engagement objectives and scope when audit work identifies the need to do so as the engagement progresses. The chief audit executive must approve the engagement objectives and scope and any changes that occur during the engagement."*
    5. **[GUIDE] Pivot from Assurance to Advisory When Criteria Are Absent (Domain V, Principle 13, Standard 13.4, p. 101)**: *"When the criteria used by the activity under review are inadequate or nonexistent, internal auditors may recommend that management implement the criteria identified by the internal auditors. The discussion about the lack of adequate criteria may lead to a decision to provide advisory services."*
    6. **[REQ] Mid-Engagement Revision and Re-Approval of the Work Program (Domain V, Principle 13, Standard 13.6, p. 103 & Principle 12, Standard 12.3, p. 90)**: *"The chief audit executive must review and approve the engagement work program before it is implemented and promptly when any subsequent changes are*

made" (Standard 13.6, p. 103).

7. **[REQ] Looping Back for Additional Evidence During Fieldwork (Domain V, Principle 14, Standard 14.1, p. 105)**: *"Internal auditors must determine whether to gather additional information for analyses and evaluation when evidence is not relevant, reliable, or sufficient to support engagement findings. If relevant evidence cannot be obtained, internal auditors must determine whether to identify that as a finding."*
8. **[REQ] Looping Back from Initial Analysis to Adjust the Work Program and Perform Additional Analyses (Domain V, Principle 14, Standard 14.2, p. 106)**: *"A difference between the criteria and the condition indicates a potential engagement finding that must be noted and further evaluated. If initial analyses do not provide sufficient evidence to support a potential engagement finding, internal auditors must exercise due professional care to determine whether additional analyses are required. If additional analyses are required, the work program must be adjusted accordingly and approved by the chief audit executive."*
9. **[GUIDE] Thematic Loop from Stage 6 Back to Stage 1 Audit Plan (Domain IV, Principle 11, Standard 11.3, p. 82)**: *"Tracking the findings and conclusions of multiple engagements may enable the identification of trends... Such trends also may lead to additional engagements that focus on the theme across the organization."*
10. **[REQ] Post-Issuance Loop for Errors, Omissions, or Post-Engagement Objectivity Impairments (Domain II, Principle 2, Standard 2.3, p. 24 & Domain IV, Principle 11, Standard 11.4, p. 83)**: *"If a final engagement communication contains a significant error or omission, the chief audit executive must communicate corrected information promptly to all parties who received the original communication"* (Standard 11.4, p. 83).

2.3 Verdict on H3 (Six Stages and Cross-Cutting Themes)

- **Verdict**: **CONFIRMED AS PRACTITIONER-ACCURATE, WITH STRUCTURAL MAPPING TO THE STANDARDS' FOUR ENGAGEMENT CLUSTERS.**
- **How H3 Maps to the Standards and Practice**:
  - **[REQ]** The Standards organize the work into **Organization-Level Strategic & Annual Planning** in Domain IV (Principle 9, Standards 9.1–9.5, pp. 60–71) and **Engagement-Level Execution** in Domain V (Principles 13–15, pp. 92–115). Within Domain V, the Standards group engagement standards into three Principles: Principle 13 (*Plan Engagements Effectively*, Standards 13.1–13.6), Principle 14 (*Conduct Engagement Work*, Standards 14.1–14.6), and Principle 15 (*Communicate Engagement Results and Monitor Action Plans*, Standards 15.1–15.2) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; pp. 4, 60, 92).
  - **[PRACTICE]** While the Standards group Stages 2 and 3 under Principle 13 and Stages 4 and 5 (plus Engagement Conclusions) under Principle 14, splitting Principle 13 into **Stage 2 (Understanding and Planning an Engagement: Standards 13.1–13.4)** and **Stage 3 (Designing the Work: Standards 13.4–13.6)**, and splitting Principle 14 into **Stage 4 (Performing the Work: Standards 14.1–14.2)** and **Stage 5 (Forming and Discussing Findings: Standards 14.2–14.4)** is confirmed by audit-management software architectures and

practitioner methodologies (TeamMate+ Audit Software Review: Editions and Prices, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026; Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026). Specifically, in software platforms like TeamMate+ Audit, Optro (formerly AuditBoard), and Workiva, the transition from Stage 2 to Stage 3 is gated by the **Engagement Planning Memo / Scope sign-off**, and Stage 3 to Stage 4 is gated by the mandatory **Work Program approval** ([REQ] Standard 13.6, p. 103) before fieldwork testing workpapers are unlocked.

- **[REQ]** One minor structural refinement in Stage 6: in the Standards, developing the **Engagement Conclusion** is numbered as **Standard 14.5** (inside Principle 14, p. 110) before **Standard 15.1 Final Engagement Communication** (inside Principle 15, p. 113), because the conclusion is the culmination of evaluating aggregated findings (Standard 14.3) and must be supported in engagement documentation (Standard 14.6) before being communicated in the final report (Standard 15.1) and elevated to the board/senior management (Standard 11.3, p. 80) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026). Placing Engagement Conclusions at the start of Stage 6 (Reporting and Follow-Up) is completely sound for software workflow design, provided the software links the conclusion directly to the underlying workpapers and aggregated findings from Stage 5.
- **[REQ]** The five cross-cutting themes—**Supervision** (Standard 12.3, p. 90: *"throughout the engagement"*), **Professional Judgment and Skepticism** (Standards 4.2–4.3, pp. 31–33: *"when planning and performing internal audit services"*), **Documentation** (Standard 14.6, p. 111 & Glossary, p. 14: *"work done when planning and performing engagements"*), **Communication** (Standard 11.1, p. 77 & Standard 13.1, p. 93: *"Internal auditors must communicate effectively throughout the engagement"*), and **Independence and Objectivity** (Standard 2.1, p. 20: *"when performing all aspects of internal audit services"*, plus Standard 7.1, p. 46)—are explicitly confirmed by the Standards as continuous obligations across all stages rather than end-of-process checks (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

2.4 Verdict on H4 (Three Architectural Layers)

- **Verdict**: **CONFIRMED EXPLICITLY BY THE STANDARDS.**
- **Evidence Supporting the Three-Layer Architecture**:
  1. **[REQ] Layer 1 — Shared Professional Foundation**: Established by the universal applicability of Domains I–V: *"The Global Internal Audit Standards set forth principles, requirements, considerations, and examples for the professional practice of internal auditing globally. The Standards apply to any individual or function that provides internal audit services... Organizations receiving internal audit services vary in sector and industry affiliation, purpose, size, complexity, and structure"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Fundamentals, p. 7; Standard 4.1, p. 29).
  2. **[REQ] Layer 2 — Configurable Methodology**: Codified directly in **Standard 9.3 Methodologies** (Domain IV, Principle 9, p. 65) and the Glossary definition of *methodologies* and *internal audit manual* (p. 12). Standard 9.3 mandates: *"The*

chief audit executive must establish methodologies to guide the internal audit function in a systematic and disciplined manner to implement the internal audit strategy, develop the internal audit plan, and conform with the Standards" (p. 65). Standard 4.1 adds: *"The internal audit function's methodologies must be established, documented, and maintained in alignment with the Standards. Internal auditors must follow the Standards and the internal audit function's methodologies when planning and performing internal audit services and communicating results"* (p. 29).

3. **[GUIDE]** In the Considerations for Implementation of Standard 9.3 (p. 65), the Standards explicitly confirm how Layer 2 bridges Layer 1 and audit software: *"The form, content, level of detail, and degree of documentation of methodologies may differ based on the size, structure, complexity, industry/regulatory expectations, and maturity of the organization and the internal audit function. Methodologies may exist as individual documents (such as standard operating procedures) or may be collected into an internal audit manual or integrated into internal audit management software. Internal audit methodologies supplement the Standards by providing specific instructions and criteria that help internal auditors implement the Standards and perform services with quality"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.3, p. 65). Specifically, the Standards delegate finding rating scales (Standard 14.3, pp. 107–108), engagement conclusion rating scales (Standard 14.5, p. 110), workpaper templates and review-note retention rules (Standard 12.3, p. 91; Standard 14.6, pp. 111–112), report formats and style guides (Standard 11.2, p. 79; Standard 15.1, p. 113), plan revision thresholds (Standard 9.4, p. 69), and dispute/escalation protocols (Standard 13.1, p. 93; Standard 14.4, p. 109) to the CAE's configurable methodology.
4. **[REQ] Layer 3 — Engagement Context**: Codified in **Standard 4.2 Due Professional Care** (Domain II, Principle 4, p. 31), **Standard 13.2 Engagement Risk Assessment** (Domain V, Principle 13, p. 95), and **Standard 13.5 Engagement Resources** (p. 101), which require tailoring every engagement to *"the nature, circumstances, and requirements of the services to be provided, including: The organization's strategy and objectives... Relative complexity, materiality, or significance of risks to the activity under review"* (Standard 4.2, p. 31) and specifying *"the activities, locations, processes, systems, components, time period to be covered in the engagement"* (Standard 13.3, p. 98) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

3. Stage-by-Stage Findings (Part A) and Stage Classification Tables

3.1 Stage 1: Deciding What to Audit (Strategy, Risk Assessment, and the Internal Audit Plan)

1. Purpose and Outcome

- **[REQ]** Stage 1 establishes the internal audit function's mandate and charter with the

board, aligns a multi-year internal audit strategy with organizational objectives, assesses organizationwide governance, risk management, and control processes at least annually, coordinates with other assurance providers, and produces a board-approved, dynamic, risk-based internal audit plan and resource budget: *"The chief audit executive must create an internal audit plan that supports the achievement of the organization's objectives. The chief audit executive must base the internal audit plan on a documented assessment of the organization's strategies, objectives, and risks... The assessment must be performed at least annually"* and *"The plan and significant changes to the plan must be approved by the board"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.4, pp. 66–67).

- **[GUIDE]** You know Stage 1 is complete (for an initial or annual cycle) when the internal audit charter, internal audit strategy, documented organizationwide risk assessment, assurance map/coordination plan, resource budget, and internal audit plan (including contingency hours and "below-the-line" deferred engagements) have been formally discussed with senior management and approved by the board as recorded in board meeting minutes, and criteria for mid-year plan revisions are agreed (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain III, Standard 6.2, p. 43; Standard 6.3, p. 45; Domain IV, Standard 9.4, pp. 68–69).

2. Understand

- **[REQ]** To develop the strategy and plan, *"the chief audit executive must understand the organization's governance, risk management, and control processes"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.1, p. 61). Specifically, for governance, *"the chief audit executive must consider how the organization: Establishes strategic objectives and makes strategic and operational decisions; Oversees risk management and control; Promotes an ethical culture; Delivers effective performance management and accountability; Structures its management and operating functions; Communicates risk and control information throughout the organization; Coordinates activities and communications among the board, internal and external providers of assurance services, and management"* (Standard 9.1, p. 61).
- **[REQ]** For risk management and control processes, *"the chief audit executive must consider how the organization identifies and assesses significant risks and selects appropriate control processes. This includes understanding how the organization identifies and manages the following key risk areas: Reliability and integrity of financial and operational information; Effectiveness and efficiency of operations and programs; Safeguarding of assets; Compliance with laws and/or regulations"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.1, p. 61).
- **[GUIDE]** The CAE learns this from discussions with the board chair, audit committee members, CEO, CFO, Chief Risk Officer (CRO), Chief Compliance Officer (CCO), Chief Ethics Officer, General Counsel, and operational unit heads, as well as by reviewing board/committee charters and minutes, strategic business plans, risk appetite statements, enterprise risk registers, prior internal audit reports, external auditor reports, and regulatory examination letters (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.1, pp. 61–63; Standard 11.1, pp. 77–78).

3. Decide

- **[REQ] Mandate and Charter Approval**: The **Board** has final authority to approve the internal audit charter and mandate, with input from **Senior Management** and the **CAE**: *"The chief audit executive must document or reference the mandate in the internal audit charter, which is approved by the board"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain III, Principle 6, Standard 6.1, p. 40; Standard 6.2, p. 42).
- **[REQ] Whether to Rely on Enterprise Risk Management (ERM) vs. Independent Risk Validation**: The **CAE** decides how much weight to give management's ERM risk assessments. Under Standard 9.4 Considerations for Implementation (p. 67), [GUIDE] *"The internal audit function should only rely on management's information about risks if it has concluded that the organization's risk management processes are effective."*
- **[REQ] Whether to Rely on Other Assurance Providers**: The **CAE** decides whether to rely on internal (second-line) or external assurance providers, based on an evaluation of their independence, objectivity, competency, methodology, and evidence quality, while retaining ultimate responsibility: *"When the internal audit function relies on the work of other assurance service providers, the chief audit executive must document the basis for that reliance and is still responsible for the conclusions reached by the internal audit function"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.5, p. 69; Considerations for Implementation, pp. 70–71).
- **[REQ] Prioritization of Engagements, High-Risk Exclusions, and Assurance vs. Advisory Mix**: The **CAE** formulates the proposed internal audit plan, deciding which high-risk areas to include, the rationale for omitting any high-risk area, and how to handle conflicting stakeholder requests: *"The chief audit executive must review and revise the internal audit plan as necessary and communicate timely to the board and senior management: The impact of any resource limitations on internal audit coverage; The rationale for not including an assurance engagement in a high-risk area or activity in the plan; Conflicting demands for services between major stakeholders, such as high-priority requests based on emerging risks and requests to replace planned assurance engagements with advisory engagements; Limitations on scope or restrictions on access to information"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.4, p. 67).
- **[REQ] Approval of the Audit Plan, Budget, and Significant Interim Changes**: The **Board** has sole authority to approve the internal audit plan, significant interim revisions to the plan, and the internal audit budget: *"The plan and significant changes to the plan must be approved by the board"* (Standard 9.4, p. 67) and *"The chief audit executive must seek budget approval from the board"* (Domain IV, Principle 10, Standard 10.1, p. 72; Domain III, Principle 6, Standard 6.3 Essential Conditions, p. 44) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

4. Do (Concrete Activities in Realistic Sequence & Stage-Specific Depth)

1. **[REQ] Review Mandate, Charter, and Independence**: Confirm organizational independence to the board at least annually (*"The chief audit executive must confirm to the board the organizational independence of the internal audit function at least annually"*,

Domain III, Principle 7, Standard 7.1, p. 46) and periodically assess whether changes require updating the internal audit mandate and charter (Domain III, Principle 6, Standards 6.1–6.2, pp. 39–43) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

2. **[REQ] Develop or Refresh the Multi-Year Internal Audit Strategy**: Establish a vision (typically 3–5 years), strategic objectives, and supporting initiatives for competency development, technology/analytics adoption, and methodology enhancement (*"The internal audit strategy must include a vision, strategic objectives, and supporting initiatives for the internal audit function"*, Domain IV, Principle 9, Standard 9.2, p. 63; Global Practice Guide: Developing the Internal Audit Strategy, The IIA, published October 17, 2025, accessed November 5, 2026).
3. **[GUIDE] Construct and Refresh the Audit Universe (Stage-Specific Depth)**: Organize all potentially auditable units across the organization—including business units, legal entities, geographic locations, end-to-end operational processes, programs, IT systems/applications, third-party relationships, and thematic governance/ethics/fraud programs—aligned with the organization's strategic initiatives and organizational or risk framework (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.4 Considerations for Implementation, p. 67).
4. **[REQ] Evaluate Enterprise Risk Management (ERM) and Gather Strategic Risk Inputs (Stage-Specific Depth)**: Review the organization's strategic plan, risk appetite statement, ERM risk register, and board/management perspectives (Standard 9.1, p. 61; Standard 9.4, p. 66). [GUIDE] Independently validate ERM risks; rely directly on management's risk scores only if internal audit has tested and concluded that ERM processes are effective (Standard 9.4, p. 67) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026). [PRACTICE] Notably, in 2026 practitioner surveys, 32% of CAEs also hold administrative ownership over ERM, requiring explicit charter safeguards under Standard 7.1 and independent third-party assurance over ERM (Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026).
5. **[REQ] Score and Prioritize the Organizationwide Risk Assessment (Stage-Specific Depth)**: Assess inherent and residual risks across the audit universe at least annually, explicitly considering mandatory risk domains: *"The internal audit plan must: ... Consider coverage of information technology governance, fraud risk, the effectiveness of the organization's compliance and ethics programs, and other high-risk areas"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 9, Standard 9.4, p. 66). [TOPICAL] Screen the audit universe against effective IIA Topical Requirements—such as the *Cybersecurity Topical Requirement* (effective February 5, 2026) and *Third-Party Topical Requirement* (effective September 15, 2026)—to ensure mandatory baseline coverage when those topics are scoped into assurance engagements (Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026).
6. **[REQ] Coordinate with Other Assurance Providers and Map Three Lines Coverage (Stage-Specific Depth)**: Coordinate with internal second-line functions (compliance, risk management, information security, quality control, EHS, legal) and external assurance providers (external financial auditors, regulators) and evaluate whether to rely on their work (Domain IV, Principle 9, Standard 9.5, p. 69). [GUIDE] Build an **Assurance Map** linking significant risk categories to first-, second-, and third-line/external providers under

The IIA's *Three Lines Model* to expose assurance gaps and eliminate duplicate testing (Standard 9.5, p. 70; The IIA's Three Lines Model: An Update of the Three Lines of Defense, The IIA, published September 8, 2020, accessed November 5, 2026).

7. **[REQ] Calculate Resource Capacity, Perform Competency Gap Analysis, and Draft the Plan & Budget**: Match proposed assurance and advisory engagements against available productive audit hours, staff competencies, financial budget, and technology tools; identify shortfalls and formulate a resourcing strategy (co-sourcing, hiring, guest auditors, or training) (Domain III, Standard 8.2, p. 54; Domain IV, Standard 9.4, p. 66; Standards 10.1–10.3, pp. 72–76). [GUIDE] Include a reserve of contingency hours for ad hoc requests and list the *"next set of engagements that would have been performed if additional resources were available"* so the board can weigh resource sufficiency (Standard 9.4, pp. 68–69) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
8. **[REQ] Discuss with Senior Management and Obtain Board Approval (Stage-Specific Depth)**: Present the proposed plan, risk rationale, omitted high-risk areas, resource impact, and budget to senior management and the board, and obtain formal board approval (Standard 9.4, p. 67; Standard 10.1, p. 72).
9. **[REQ] Continuous Monitoring and Dynamic Plan Revisions (Loop Triggers)**: Continuously monitor emerging risks, organizational changes (M&A, reorganizations, system implementations, regulatory shifts), and thematic findings from Stage 6 (Standard 11.3, p. 82) or engagement scope changes from Stages 2–4 (Standard 13.3, p. 98). When a trigger exceeds the board-agreed threshold for a "significant change" (e.g., canceling or postponing a high-risk engagement or replacing a planned assurance engagement with an advisory request), loop back to re-score the risk assessment, update the audit plan, communicate immediately to the board and senior management, and obtain board approval for the revised plan (Standard 9.4, pp. 66–69) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

5. Communicate

- **[REQ] With the Board and Senior Management**: The CAE must communicate and discuss the internal audit mandate and charter (Standards 6.1–6.2, pp. 39–42), annual independence confirmation and any safeguards for non-audit roles (Standard 7.1, p. 46), the internal audit strategy periodically (Standard 9.2, p. 63), the internal audit plan and significant interim changes (Standard 8.1, p. 52; Standard 9.4, p. 67), the rationale for omitting high-risk areas, conflicting stakeholder demands, scope/access limitations, and the impact of resource/budget/technology limitations (Standard 8.2, p. 54; Standard 9.4, p. 67; Standards 10.1–10.3, pp. 72–76).
- **[REQ] With Other Assurance Providers**: The CAE must communicate and coordinate with internal and external assurance providers to understand roles, share plans/reports where appropriate, and escalate to senior management and the board if coordination is blocked (Standard 6.1, p. 39; Standard 9.5, p. 69; Standard 11.1, p. 77).
- **[GUIDE] With Operational Management (and the Public in Public Sector)**: Ongoing formal and informal relationship-building interviews, surveys, and risk workshops with operational unit heads (Standard 11.1, pp. 77–78), plus public service user input in the public sector (Applying the Standards in the Public Sector, p. 117) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

6. Inputs and Outputs (Artefacts Consumed and Produced)

- **[GUIDE] Consumed Inputs**: Organization's strategic plan and business plans; board and audit committee charters and minutes; ERM risk register and risk appetite statement; prior internal audit reports and open issue logs; external audit and regulatory examination reports; organizational charts and financial budgets (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 9.1, pp. 62–63; Standard 9.4, pp. 67–68).
- **[REQ]** / **[GUIDE] Produced Artefacts**:
    1. **Internal Audit Charter ([REQ] Standard 6.2, p. 42)**: Contains Purpose of Internal Auditing, commitment to the Global Internal Audit Standards, mandate (authority, role, scope, types of services, unrestricted access), board responsibilities and management support expectations, organizational positioning, functional and administrative reporting lines, and safeguards for any CAE non-audit roles (Standard 7.1, p. 46). Drafted by CAE, discussed with Senior Management, **approved by the Board**.
    2. **Internal Audit Strategy ([REQ] Standard 9.2, p. 63)**: Contains multi-year vision, strategic objectives, supporting initiatives (training, technology, process improvement), target dates, and KPIs. Prepared by CAE, **reviewed periodically with Board and Senior Management**.
    3. **Internal Audit Manual / Methodologies ([REQ] Standard 9.3, p. 65; Glossary, p. 12)**: Documented policies, standard operating procedures, templates, rating scales, and workflows. **Established and approved by the CAE**.
    4. **Audit Universe & Organizationwide Risk Assessment ([REQ] Standard 9.4, p. 66; [GUIDE] p. 67)**: Structured inventory of auditable units (processes, entities, systems, programs), mapped to strategic objectives, inherent risk factors (impact, likelihood, velocity/complexity), control effectiveness/residual risk scores, stakeholder input notes, and prioritization ranking. Prepared by CAE/audit leadership, **reviewed by CAE and presented to Board and Senior Management**.
    5. **Assurance Map and Reliance Evaluation Documentation ([REQ] Standard 9.5, p. 69; [GUIDE] pp. 70–71)**: Matrix mapping organizationwide risks to 1st, 2nd, and 3rd line / external assurance coverage, plus documented evaluations of other providers' independence, competency, methodology, and evidence when internal audit relies on their work. **Approved by the CAE**.
    6. **Internal Audit Plan, Resource Plan, and Budget ([REQ] Standards 8.2, 9.4, 10.1–10.2; [GUIDE] pp. 68–69)**: List of proposed assurance and advisory engagements, risk rationale for each, preliminary scope/objective, required hours/budget/skills, contingency reserve hours, "below-the-line" deferred high-risk engagements with rationale, and protocol for mid-year changes. Prepared by CAE, discussed with Senior Management, **approved by the Board**.

7. Evidence and Documentation

- **[REQ]** The CAE must document the organizationwide risk assessment at least annually (Standard 9.4, p. 66), the internal audit charter (Standard 6.2, p. 42), the internal audit strategy (Standard 9.2, p. 63), the methodologies (Standard 4.1, p. 29; Standard 9.3, p. 65), and the basis for relying on any other assurance provider's work (Standard 9.5, p. 69)

(Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

- **[GUIDE]** Conformance is evidenced by board meeting minutes recording discussion and approval of the charter, plan, budget, and interim plan changes; documented notes of risk interviews with board members and executives; documented competency gap analyses; and signed annual independence/objectivity attestations (Standard 2.2, p. 24; Standard 6.2, p. 43; Standard 7.1, p. 49; Standard 9.4, p. 69).

8. What Varies

- **[REQ] Foundation-Fixed**: Annual documented risk assessment informed by board and senior management input; board approval of charter, plan, significant plan changes, and budget; mandatory consideration of IT governance, fraud risk, compliance/ethics programs; documented basis for assurance reliance; annual independence confirmation to the board (Standards 6.2, 7.1, 9.4, 9.5, 10.1).
- **[PRACTICE] Methodology Choices (Layer 2)**: Structure of the audit universe (entity-based vs. process-based vs. risk-taxonomy-based); risk-scoring algorithm (e.g., 3x3 vs. 5x5 impact/likelihood matrix vs. weighted multi-factor scoring in TeamMate+ or Optro weighting financial exposure, regulatory scrutiny, change velocity, and time since last audit); planning horizon and refresh cadence (annual fixed plan vs. rolling 6-month or quarterly dynamic planning, adopted by leading functions in 2025–2026); percentage of hours reserved for contingencies (typically 10%–25%); and specific thresholds defining a "significant change" requiring board re-approval (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 9.4, pp. 67–69; Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026; TeamMate+ Audit Software Review: Editions and Prices, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).
- **[PRACTICE] Engagement/Organizational Context (Layer 3)**: Maturity of the organization's ERM function (determining whether IA can leverage ERM registers or must build risk assessments from scratch); industry-specific mandatory cycle audits (e.g., BSA/AML or model risk in banking; OSHA process safety in manufacturing; statutory grant audits in the public sector).

9. Common Failure Modes

- **[GUIDE] / [PRACTICE] Unvalidated Reliance on Management's ERM**: Copying management's ERM risk register directly into the internal audit plan without independently evaluating whether ERM processes are effective or validating risk completeness, violating Standard 9.4 guidance (Standard 9.4, p. 67; Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026).
- **[GUIDE] / [PRACTICE] "Rotational/Cyclical" Planning Disguised as Risk-Based Planning**: Auditing units on a fixed 3-year rotation regardless of risk profile, or failing to document the rationale for excluding high-risk areas from the plan when resources are constrained, which is a frequent External Quality Assessment (EQA) finding under Standard 9.4 (p. 67) and Standard 8.2 (p. 54) (Quality Assessment Manual, 2024 Edition, The IIA, published 2024, accessed November 5, 2026).
- **[GUIDE] / [PRACTICE] Informal Plan Changes Without Board Approval or**

Undocumented Second-Line Reliance: Dropping planned high-risk assurance engagements to accommodate management advisory requests without communicating the trade-off and obtaining board approval (Standard 9.4, p. 67), or relying on second-line compliance/SOX testing without documenting an assessment of the provider's competency, objectivity, and workpapers (Standard 9.5, p. 69).

Table 3.1: Stage 1 Element Classification and Variability Matrix

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Internal Audit Mandate & Charter (Board approval, core contents)	Foundation	[REQ]	Fixed requirement; in public sector, statute may serve as charter ([LOCAL]).	Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Domain III, Principle 6, Standards 6.1–6.2, pp. 39–42, 117)
Annual Independence Confirmation & Safeguards for CAE Non-Audit Roles (e.g., 32% CAEs owning ERM)	Foundation / Context	[REQ] / [PRACTICE]	Annual confirmation & 12-month cooling-off for temporary non-audit roles are fixed [REQ]; specific non-audit roles depend on organizational context.	Global Internal Audit Standards (Domain III, Principle 7, Standard 7.1, p. 46); Internal Audit 101 (Optro, Mar 26, 2026, acc. Nov 5, 2026)
Multi-Year Internal Audit Strategy (Vision, objectives, initiatives)	Foundation / Methodology	[REQ]	Mandatory to have strategy and review periodically with board; horizon (e.g., 3–5 yrs) and SWOT/gap format vary by methodology.	Global Internal Audit Standards (Domain IV, Principle 9, Standard 9.2, pp. 63–64); Developing the Internal Audit Strategy (The IIA, Oct 17, 2025, acc. Nov 5, 2026)
Documented Annual Risk Assessment & Dynamic Audit Plan (IT, fraud, ethics/compliance	Foundation	[REQ]	Minimum annual frequency and mandatory consideration of IT governance, fraud, and	Global Internal Audit Standards (Domain IV, Principle 9, Standard 9.4, pp. 66–67)

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
coverage)			compliance/ethics are fixed [REQ].	
Audit Universe Taxonomy, Risk Scoring Formula, & Plan Refresh Cadence	Methodology / Context	[GUIDE] / [PRACTICE]	Varies by methodology (entity vs. process universe; 3x3 vs. weighted risk scoring; annual vs. rolling quarterly/continuous updates).	Global Internal Audit Standards (Domain IV, Standard 9.4, pp. 67–69); TeamMate+ Review (Internal Audit Guide, Sep 27, 2026, acc. Nov 5, 2026)
Disclosure of Omitted High-Risk Areas & Resource Shortfalls to Board	Foundation	[REQ]	Fixed requirement; CAE must communicate rationale for un-audited high risks and impact of resource limits.	Global Internal Audit Standards (Domain III, Standard 8.2, p. 54; Domain IV, Standard 9.4, p. 67)
Coordination & Documented Basis for Reliance on Other Assurance Providers (Three Lines)	Foundation / Methodology	[REQ] / [GUIDE]	Coordination and documenting basis for reliance are fixed [REQ]; use of formal Assurance Maps or combined assurance varies by methodology.	Global Internal Audit Standards (Domain IV, Principle 9, Standard 9.5, pp. 69–71); Three Lines Model (The IIA, Sep 8, 2020, acc. Nov 5, 2026)
Screening Scope for IIA Topical Requirements (Cybersecurity, Third-Party)	Foundation / Context	[TOPICAL]	Mandatory when risk assessment includes the topic in an assurance engagement; individual sub-requirements can be excluded with documented rationale.	Topical Requirements for Internal Auditing (The IIA, 2025–2026, acc. Nov 5, 2026); Global Internal Audit Standards (p. 5)

3.2 Stage 2: Understanding and Planning an Engagement

1. Purpose and Outcome

- **[REQ]** Stage 2 translates a high-level entry on the annual internal audit plan into a concrete, risk-prioritized engagement plan by gathering information to understand the

activity under review, performing an engagement-level risk and control assessment (including fraud risks), identifying and assessing the adequacy of evaluation criteria, establishing and approving formal engagement objectives and scope (and escalating any scope limitations), and communicating these parameters to management (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 13, Standards 13.1–13.4, pp. 93–101).

- **[REQ]** You know Stage 2 is complete when the engagement risk assessment is documented in workpapers (Standard 13.2, p. 95), adequate evaluation criteria are identified (Standard 13.4, p. 100), the engagement objectives and scope are documented and **approved by the CAE** (or delegated engagement supervisor) (*"The chief audit executive must approve the engagement objectives and scope and any changes that occur during the engagement"*, Standard 13.3, p. 98), and the objectives, scope, and timing have been communicated to management (Standard 13.1, p. 93).

2. Understand

- **[REQ]** Under Standard 13.2 (Domain V, Principle 13, p. 95), *"Internal auditors must develop an understanding of the activity under review to assess the relevant risks... To develop an adequate understanding, internal auditors must identify and gather reliable, relevant, and sufficient information regarding: The organization's strategies, objectives, and risks relevant to the activity under review; The organization's risk tolerance, if established; The risk assessment supporting the internal audit plan; The governance, risk management, and control processes of the activity under review; Applicable frameworks, guidance, and other criteria that can be used to evaluate the effectiveness of those processes. Internal auditors must review the gathered information to understand how processes are intended to operate"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 13.2, p. 95).
- **[REQ]** Additionally, *"Internal auditors must identify the criteria that management uses to measure whether the activity is achieving its objectives"* (Standard 13.2, p. 95).
- **[GUIDE]** Auditors obtain this understanding from prior audit workpapers and reports, management's policies, standard operating procedures (SOPs), flowcharts, org charts, job descriptions, KPIs/dashboards, IT system documentation, regulatory guidance, and direct engagement with operational management and process personnel through walkthroughs, interviews, surveys, and physical inspections (Standard 13.2 Considerations for Implementation, pp. 96–97; Engagement Planning: Establishing Objectives and Scope, The IIA, published September 15, 2017 [pre-2024 IPPF; updated in 2024 Standards Principle 13], accessed November 5, 2026).

3. Decide

- **[REQ] Whether Full Risk Assessment or Update of Prior Assessment Is Needed**: The **internal auditor** and **engagement supervisor** determine whether prior engagement risk assessments exist for the activity: *"When internal auditors have identified the relevant risks for an activity under review in past engagements, only a review and update of the previous engagement risk assessment is required"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 13, Standard 13.2, p. 95).
- **[REQ] Significance and Prioritization of Engagement Risks (Including Fraud)**: The

internal auditor (reviewed by the **engagement supervisor**) evaluates the significance of identified risks (typically by impact and likelihood relative to risk tolerance) and prioritizes which risks will be included in the engagement scope: *"Internal auditors must identify the risks to review by: Identifying the potentially significant risks to the objectives of the activity under review; Considering specific risks related to fraud; Evaluating the significance of the risks and prioritizing them for review"* (Standard 13.2, p. 95).

- **[REQ] Adequacy of Evaluation Criteria**: The **internal auditor** assesses whether management/board criteria are adequate: *"Internal auditors must assess the extent to which the board and senior management have established adequate criteria to determine whether the activity under review has accomplished its objectives and goals. If such criteria are adequate, internal auditors must use them for the evaluation. If the criteria are inadequate, internal auditors must identify appropriate criteria through discussion with the board and/or senior management"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 13, Standard 13.4, p. 100).
- **[REQ] Establishing and Approving Engagement Objectives and Scope (and Resolving Scope Limitations)**: For assurance engagements, **internal auditors** determine the objectives and scope (whereas for advisory engagements they are jointly agreed with the client, [GUIDE] Standard 13.3, p. 98), and the **CAE** (or delegated supervisor) has mandatory approval authority: *"The chief audit executive must approve the engagement objectives and scope and any changes that occur during the engagement"* (Standard 13.3, p. 98). If a scope limitation is identified and cannot be resolved with **management**, the **CAE** decides whether to elevate it to the **Board** according to established methodology (*"If a resolution cannot be achieved with management, the chief audit executive must elevate the scope limitation issue to the board according to an established methodology"*, Standard 13.3, p. 98).

4. Do (Concrete Activities in Realistic Sequence & Stage-Specific Depth)

1. **[GUIDE] Issue Engagement Announcement & Initial Information Request (Stage-Specific Depth)**: Send an advance engagement announcement letter/email to the management of the activity under review explaining why the engagement was selected from the audit plan, proposed start date and duration, assigned team, and an initial Planning Information Request List (policies, org charts, prior risk registers, system reports) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 13, Standard 13.1 Considerations for Implementation, p. 94).
2. **[GUIDE] Hold Entrance / Opening Meeting with Management (Stage-Specific Depth)**: Conduct an entrance conference with operational management to discuss preliminary objectives, timing, communication cadence, logistics, and management's perspective on current operational challenges or changes since the annual audit plan was created (Standard 13.1, p. 94; Standard 13.2, p. 96).
3. **[REQ]** / **[GUIDE] Understand the Activity via Walkthroughs, Interviews, and Preliminary Data Analysis (Stage-Specific Depth)**: Review policies, flowcharts, and prior workpapers; conduct interviews and surveys with process owners; and perform **process walkthroughs** (observing a process in action from initiation to completion and inspecting documents/systems) to verify how the process actually operates versus how policies say it is intended to operate (Standard 13.2 Requirements, p. 95; Considerations

for Implementation, p. 96; Standard 14.1, p. 105). [LOCAL] / [PRACTICE] In integrated financial/ICFR audits (such as PCAOB AS 2201 ¶.37–.38), a walkthrough traces a single transaction end-to-end from origination through IT systems to financial records, asking probing questions of personnel to verify understanding and pinpoint where misstatements or control failures could occur (AS 2201: An Audit of Internal Control Over Financial Reporting That Is Integrated with An Audit of Financial Statements, PCAOB, published 2007 / amended effective December 15, 2026, accessed November 5, 2026; ¶.37–.38).

4. **[REQ] Perform the Engagement-Level Risk and Control Assessment (Stage-Specific Depth)**: Identify the specific business objectives of the activity under review; identify the inherent risks (including fraud risks, override risks, and IT/third-party risks) that threaten those objectives; map the existing controls intended to mitigate each risk; and evaluate each risk's significance (impact × likelihood) to prioritize which risks require assurance testing (Standard 13.2, pp. 95–97; Practice Guide: Engagement Planning: Assessing Fraud Risks, The IIA, pre-2024 IPPF / aligned with Standard 13.2, accessed November 5, 2026). [TOPICAL] If the engagement covers cybersecurity or third-party risks, evaluate applicability of every requirement in the relevant IIA Topical Requirement and document any exclusions (Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026).
5. **[REQ] / [GUIDE] Identify and Evaluate "Criteria" — and Handle Absent or Inadequate Criteria (Stage-Specific Depth)**:
    - **[REQ]** The Glossary (p. 11) defines **criteria** (also called *evaluation criteria*) as: *"In an engagement, specifications of the desired state of the activity under review."* Under Standard 13.4 (p. 100), internal auditors must first assess whether the board and senior management have established adequate criteria (such as internal policies, SOPs, KPIs/targets, risk tolerances, laws, regulations, contracts, or authoritative frameworks like COSO, NIST CSF 2.0, COBIT, or ISO standards). If adequate, internal auditors **must** use them.
    - **[REQ] What happens when criteria are absent or inadequate?** Standard 13.4 mandates: *"If the criteria are inadequate, internal auditors must identify appropriate criteria through discussion with the board and/or senior management"* (p. 100).
    - **[GUIDE]** Standard 13.4 Considerations for Implementation (pp. 100–101) details the exact practitioner workflow when criteria are missing or vague: (a) research recommended industry practices, authoritative frameworks, or benchmarks from peer organizations; (b) consult with internal or external subject-matter experts; (c) discuss and agree on the proposed criteria with management of the activity under review (and document the agreement in the planning memo/workpapers so management cannot later dispute the benchmark during reporting); (d) recommend as an audit finding/recommendation that management formally adopt and implement documented criteria/policies; or (e) **loop/pivot to an advisory engagement**: *"When the criteria used by the activity under review are inadequate or nonexistent, internal auditors may recommend that management implement the criteria identified by the internal auditors. The discussion about the lack of adequate criteria may lead to a decision to provide advisory services"* (Standard 13.4, p. 101) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
6. **[REQ] Establish and Approve Engagement Objectives, Scope, and Limitations (Stage-Specific Depth)**: Draft formal engagement objectives articulating the engagement's purpose and goals, and define the scope boundaries (activities, locations,

processes, IT systems, components, and exact time period covered) (Standard 13.3, p. 98). Check whether any stakeholder requests to exclude items, budget/time restrictions, or data/facility access denials constitute a **scope limitation**; if so, discuss with management to resolve, and if unresolved, escalate via the CAE to the board (Standard 13.3, pp. 98–99). Obtain formal CAE (or delegated supervisor) approval of the objectives and scope (Standard 13.3, p. 98) and communicate the finalized objectives, scope, and timing to management (Standard 13.1, p. 93) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

5. Communicate

- **[REQ] With Management of the Activity Under Review**: Communicate the engagement objectives, scope, and timing, and any subsequent changes timely (Standard 13.1, p. 93); discuss any scope limitations with a goal of resolution (Standard 13.3, p. 98). [GUIDE] Issue the engagement announcement, hold the entrance meeting, and confirm agreed evaluation criteria in writing (Standard 13.1, p. 94; Standard 13.4, p. 101).
- **[REQ] With Senior Management and/or the Board**: Discuss and agree on evaluation criteria when existing criteria are inadequate (Standard 13.4, p. 100); escalate unresolved scope limitations to the board (Standard 13.3, p. 98; Standard 8.1, p. 52).
- **[GUIDE] With Engagement Supervisor / CAE**: Consult during planning on risk prioritization, scope boundaries, and any potential objectivity impairments of assigned staff (Standard 2.2, p. 23; Standard 12.3, p. 90; Standard 13.2, p. 96).

6. Inputs and Outputs (Artefacts Consumed and Produced)

- **[GUIDE] Consumed Inputs**: Annual Internal Audit Plan entry and preliminary scope; organizationwide risk assessment; activity policies, SOPs, org charts, KPI reports, system manuals, prior audit reports, and regulatory rules (Standard 13.2, pp. 95–96).
- **[REQ]** / **[GUIDE] Produced Artefacts**:
    1. **Engagement Announcement Letter / Email & Entrance Meeting Minutes ([REQ] Standard 13.1, p. 93; [GUIDE] p. 94)**: States engagement purpose, preliminary scope, start date, duration, audit team, and summary of entrance discussion. Prepared by lead auditor, **reviewed by Engagement Supervisor**.
    2. **Process Walkthrough Narratives / Flowcharts ([REQ] Standard 13.2, p. 95; [GUIDE] pp. 96–97, 112)**: Step-by-step documentation or process maps showing how transactions/activities are initiated, processed, approved, and recorded, plus walkthrough observation notes. Prepared by auditor, **reviewed by Engagement Supervisor**.
    3. **Engagement Risk Assessment / Preliminary Risk and Control Matrix (RCM) & Heat Map ([REQ] Standard 13.2, p. 95; [GUIDE] p. 97)**: Maps business objectives → identified risks (including fraud) → inherent risk ratings (impact/likelihood) → identified controls → evaluation criteria (Standard 13.4) → prioritization decision (in-scope vs. out-of-scope). Prepared by auditor, **reviewed and approved by Engagement Supervisor / CAE**.
    4. **Engagement Planning Memorandum (Scope Document / Terms of Reference) ([REQ] Standard 13.3, p. 98; [GUIDE] p. 99)**: Formal document consolidating background, engagement risk assessment summary, evaluation criteria, formal engagement objectives, scope boundaries (locations, systems, time period), any

scope limitations, timeline, and resource allocation. Prepared by lead auditor/supervisor, **approved by the CAE (or delegated supervisor)** and shared with management.

7. Evidence and Documentation

- **[REQ]** Internal auditors must document the engagement risk assessment (Standard 13.2, p. 95; Standard 14.6, p. 111), the established engagement objectives and scope and CAE approval thereof (Standard 13.3, p. 98), the evaluation criteria and assessment of their adequacy (Standard 13.4, p. 100), and evidence of communication of objectives, scope, and timing to management (Standard 13.1, p. 93; Standard 14.6, p. 111) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

8. What Varies

- **[REQ] Foundation-Fixed**: Gathering information to understand the activity; performing an engagement risk assessment (for assurance engagements) that explicitly considers fraud; assessing adequacy of criteria; establishing and documenting objectives and scope; CAE approval of objectives and scope; communicating objectives, scope, and timing to management; escalating unresolved scope limitations to the board (Standards 13.1–13.4).
- **[PRACTICE] Methodology Choices (Layer 2)**: Format of walkthrough documentation (flowchart vs. structured narrative vs. screenshot storyboard); engagement risk-scoring scale (e.g., High/Medium/Low vs. numerical 1–25 heat map); lead time for engagement announcement letters (e.g., 2 weeks vs. 4 weeks prior to fieldwork, or zero notice for unannounced cash/inventory/fraud counts); and whether the CAE approves every Engagement Planning Memo personally or delegates approval authority to Audit Directors/Senior Managers under Standard 9.3 and Standard 12.3 (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 12.3, p. 90; Standard 13.1, p. 94; Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026).
- **[PRACTICE] Engagement Context (Layer 3)**: Repeat vs. first-time audit (Standard 13.2 permits updating a prior engagement risk assessment rather than building one from scratch); maturity of management's written policies (determining whether criteria are ready-made or must be synthesized from external frameworks under Standard 13.4).

9. Common Failure Modes

- **[GUIDE] / [PRACTICE] Disconnect Between Engagement Risk Assessment and Objectives/Scope**: Performing a generic checklist audit or copying last year's scope without linking the engagement objectives and test scope to the prioritized risks identified in the engagement risk assessment—one of the most frequent EQA deficiencies tested under the IIA *Quality Assessment Manual* (D5 and D6 templates for Standards 13.2 and 13.3) (Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026; Global Internal Audit Standards, Standard 13.3, p. 99).
- **[GUIDE] / [PRACTICE] Omitting Explicit Fraud Risk Consideration**: Failing to document specific fraud scenarios (e.g., management override, asset misappropriation, fraudulent reporting) in the engagement risk assessment workpapers as required by

Standard 13.2 (p. 95) and Standard 4.2 (p. 31).

- **[GUIDE] / [PRACTICE] Auditing Against Unagreed or Implicit Criteria**: Proceeding into fieldwork when management has no written policies without agreeing on external/benchmark criteria up front with management (Standard 13.4, p. 101), leading to protracted disputes in Stage 5 when management rejects findings on the grounds that "no rule required us to do that."

Table 3.2: Stage 2 Element Classification and Variability Matrix

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Communicating Objectives, Scope, & Timing to Management	Foundation	[REQ]	Fixed requirement for all engagements; advance notice timing varies by methodology (e.g., 2–4 weeks vs. unannounced audit).	Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Domain V, Principle 13, Standard 13.1, pp. 93–94)
Engagement Risk Assessment & Explicit Fraud Risk Consideration	Foundation / Context	[REQ]	Mandatory for assurance engagements; may be a review/update if assessed in prior engagement; optional for advisory per client agreement.	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.2, p. 95)
Process Walkthroughs, Flowcharts, & Interviews	Methodology / Context	[GUIDE] / [LOCAL]	Recommended practice in GIAS ([GUIDE]); mandatory under PCAOB AS 2201 ¶.37–.38 for integrated ICFR audits ([LOCAL]).	Global Internal Audit Standards (Standard 13.2, p. 96); PCAOB AS 2201 (PCAOB, acc. Nov 5, 2026; ¶.37–.38)
Establishing & CAE Approval of Engagement Objectives and Scope	Foundation / Methodology	[REQ]	Mandatory to document and approve before fieldwork and upon change; approval may be delegated to Engagement Supervisor per	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.3, p. 98; Standard 12.3, p. 90)

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
			methodology.	
Escalating Unresolved Scope Limitations to the Board	Foundation	[REQ]	Fixed requirement for assurance engagements; must also be disclosed in final report under Standard 15.1.	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.3, p. 98; Standard 15.1, p. 113)
Identifying & Assessing Adequacy of Evaluation Criteria (and handling absent criteria)	Foundation / Context	[REQ] / [GUIDE]	Mandatory to assess and use adequate board/management criteria, or discuss with board/senior management if inadequate; may pivot to advisory.	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.4, pp. 100–101)

3.3 Stage 3: Designing the Work (Control Design, Resources, Sampling, and the Work Program)

1. Purpose and Outcome

- **[REQ]** Stage 3 converts the approved engagement objectives, scope, prioritized risks, and evaluation criteria into an executable blueprint—determining the required financial, human, and technological resources, evaluating control design adequacy (if performed at the planning/design transition), selecting specific test procedures and sampling/analytics methods, assigning tasks to competent and objective auditors, and documenting and approving the formal **Engagement Work Program** before fieldwork begins (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 13, Standards 13.4–13.6, pp. 100–104).
- **[REQ]** You know Stage 3 is complete when appropriate and sufficient resources are assigned (Standard 13.5, p. 101) and the Engagement Work Program—identifying criteria, tasks, methodologies/analytical procedures, tools, and assigned internal auditors—is documented and **reviewed and approved by the CAE** (or delegated engagement supervisor) prior to implementation: *"The chief audit executive must review and approve the engagement work program before it is implemented and promptly when any subsequent changes are made"* (Standard 13.6, p. 103).

2. Understand

- **[REQ]** / **[GUIDE]** The auditor and engagement supervisor must understand:
  - The specific control design attributes for each in-scope control (who performs the control, frequency, preventive vs. detective vs. directive vs. corrective nature,

automated vs. manual execution, IT systems and reports used, and what evidence/audit trail the control leaves behind) (Standard 13.2, p. 97; Standard 13.6, pp. 103–104).
    - Data population characteristics (completeness, data source reliability, volume of transactions, homogeneity, and period covered) needed to choose between 100% population analytics and statistical/non-statistical sampling (Standard 13.6, p. 103; Standard 14.1, p. 105).
    - The specialized knowledge, skills, abilities, language requirements, and objectivity history (including the 12-month prior-responsibility cooling-off rule under Standard 2.2, p. 22) of available audit staff and external service providers (Standard 13.5, pp. 101–102) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

3. Decide

- **[GUIDE] Whether Controls Are Adequately Designed ("Test of One" / Design Gate)**: The **internal auditor** and **engagement supervisor** decide whether each key control's design is capable of mitigating the risk to within risk tolerance if operated as prescribed. If a control is inadequately designed on its face, the auditor decides **not** to waste resources testing its operating effectiveness over a full sample, instead recording a design deficiency immediately and weighing cost vs. benefit under Standard 4.2 (*"if the controls in an activity under review are not adequately designed, the benefits of fully evaluating the effectiveness of those controls are not likely to be worth the costs"*, p. 32; see also Standard 13.2, p. 97, and Standard 13.6, pp. 103–104) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
- **[REQ] Sufficiency and Appropriateness of Engagement Resources (and Escalation)**: The **internal auditor / engagement supervisor** assesses whether available financial, human, and technological resources are sufficient and appropriate; if not, *"internal auditors must discuss the concerns with the chief audit executive to obtain the resources"* (Standard 13.5, p. 101). If the **CAE** cannot obtain the resources (e.g., via co-sourcing or guest auditors), the **CAE** must discuss the implications with **Senior Management and the Board** and decide whether to reduce the engagement scope (Standard 13.5 Considerations for Implementation, p. 102; Standard 8.2, p. 54).
- **[REQ] Selection of Test Procedures, Sampling vs. Full-Population Analytics, and Task Assignments**: The **internal auditor** and **engagement supervisor** design the tasks, methodologies, analytical procedures, and sampling parameters in the work program, and the **CAE** (or delegated **Engagement Supervisor**) approves the work program before fieldwork begins: *"The primary criterion for approval of the work program is whether it achieves the engagement objectives efficiently"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 12, Standard 12.3 Considerations for Implementation, p. 90; Domain V, Principle 13, Standard 13.6 Requirements, p. 103).

4. Do (Concrete Activities in Realistic Sequence & Stage-Specific Depth)

1. **[REQ] / [GUIDE] Define What "Good" Looks Like for Each Objective and Control (Stage-Specific Depth)**: Operationalize the evaluation criteria from Stage 2 into specific, testable control objectives and expected attributes for each step in the work program

(*"The engagement work program must identify: Criteria to be used to evaluate each objective"*, Standard 13.6, p. 103). For example, specify that "satisfactory control" means 100% of purchase orders over $50,000 have documented three-way match and VP approval prior to payment release, or specify the exact pass/fail thresholds aligned with organizational risk tolerance (Standard 13.4 Considerations for Implementation, pp. 100–101) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

2. **[GUIDE] Evaluate Control Design Adequacy (Stage-Specific Depth)**: Document in the RCM or a separate design workpaper whether each key control (preventive, detective, directive, or corrective) is adequately designed to prevent or detect material errors, fraud, or noncompliance timely. Note that under Standard 13.6 (pp. 103–104), evaluating control design adequacy is often completed during engagement planning/design to filter out broken controls before operating-effectiveness testing, though depending on the engagement nature it may also occur as a specific stage of engagement performance (Stage 4) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 13.6, pp. 103–104).
3. **[REQ]** / **[GUIDE] Choose Between Test Types: Inquiry, Observation, Inspection, Reperformance, Confirmation, and Analytics (Stage-Specific Depth)**: Select the combination of audit procedures that will yield sufficiently reliable evidence for each control and risk (Standard 13.6, p. 103; Standard 14.1, pp. 104–105; Standard 14.2, p. 106). [GUIDE] / [PRACTICE] In internal audit methodology and PCAOB/AICPA auditing standards, test types follow an established **evidence-reliability hierarchy** (from least persuasive alone to most persuasive):
    - **Inquiry** (interviewing or surveying personnel): Essential for understanding context, but testimonial evidence alone is the least reliable because it is not independent of the auditee; under Standard 4.3 (p. 33), internal auditors apply professional skepticism by seeking corroborating evidence rather than simply trusting management statements (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 4.3, p. 33; Internal Audit 101, Optro, published March 26, 2026, accessed November 5, 2026).
    - **Observation** (watching a process or physical security control in action): Directly obtained by the auditor, but proves operating effectiveness only at the exact moment observed unless corroborated.
    - **Inspection / Examination** (inspecting physical assets, contracts, invoices, system configurations, or reconciliations) and **External Confirmation** (verifying balances or terms directly with an independent third party) (Standard 14.1, p. 105).
    - **Reperformance** (independently re-executing a control calculation, three-way match, or system script) and **Full-Population Data Analytics** (ratio, trend, regression, anomaly/outlier detection, and 100% automated control testing across entire ERP populations) (Standard 14.1, p. 105; Standard 14.2, p. 106; AS 2201, PCAOB, accessed November 5, 2026; ¶.50–.51).
4. **[GUIDE]** / **[PRACTICE] Determine Sample Size and Sampling Method (Stage-Specific Depth)**:
    - **[GUIDE]** Decide whether to test 100% of the population using data analytics software or select a representative sample (Standard 14.1, p. 105). When sampling is used, Standard 13.6 Considerations for Implementation (p. 103) states: *"When sampling is used, the work program should include the sampling methodology, population, sample size, and whether the results can be projected to the population"*

(see also Standard 14.6, p. 112) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

- **[PRACTICE]** In practitioner methodologies across Big 4 firms, SOX 404 programs, and internal audit software templates, sampling is divided into **Statistical Sampling** (random or monetary-unit/attribute sampling where confidence level, e.g., 90%–95%, expected error rate, e.g., 0%–2%, and tolerable deviation rate, e.g., 5%–10%, allow mathematical projection to the population, typically yielding sample sizes of **25 to 60 items** for large manual populations) and **Non-Statistical / Judgmental Frequency-Based Control Sampling** (Internal Audit Work Program Templates: 12 Industry-Specific Examples, Risk Publishing, published October 23, 2026, accessed November 5, 2026; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026). Under the standard practitioner control-frequency table:
  - **Automated control** (operating identically via system code): **Sample of 1** (one reperformance test per period, **plus** verification that IT General Controls over program change management and logical access are effective).
  - **Annual control**: **1** instance.
  - **Quarterly control**: **2** instances.
  - **Monthly control**: **2 to 5** instances.
  - **Weekly control**: **5 to 15** instances.
  - **Daily control**: **20 to 40** instances (commonly **25**).
  - **Multiple times per day (large manual transaction population >250)**: **25 to 60** items (commonly **25, 30, or 45** depending on control risk and expected zero deviations) (Internal Audit Work Program Templates: 12 Industry-Specific Examples, Risk Publishing, published October 23, 2026, accessed November 5, 2026; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).

5. **[REQ] Assess Staffing, Competence, and Individual Objectivity (Stage-Specific Depth)**: Verify that the assigned internal auditors collectively possess the required technical, industry, and analytics competencies (*"Internal auditors must engage only in those services for which they have or can attain the necessary competencies"*, Standard 3.1, p. 26; Standard 13.5, p. 101). Verify individual objectivity for every team member, ensuring no auditor is assigned to provide assurance over an activity for which they had operational responsibility within the preceding **12 months** (*"Objectivity is presumed to be impaired if an internal auditor provides assurance services for an activity for which the internal auditor had responsibility within the previous 12 months"*, Standard 2.2, p. 22), and confirm that if internal audit previously provided advisory services to the area, the CAE manages resource assignment so individual objectivity is not impaired (Standard 2.2, p. 22) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
6. **[GUIDE] / [PRACTICE] Prepare and Issue the Fieldwork Information Request List (IRL / PBC List) (Stage-Specific Depth)**: Compile a structured Information Request List (often called a "Prepared by Client" or PBC list in audit software) specifying the exact transaction populations, system extracts, sample documents, and due dates, and assign requests to auditee owners inside the audit management portal (Standard 13.1, p. 94; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).
7. **[REQ] Compile, Review, and Approve the Engagement Work Program**

(Stage-Specific Depth): Document the complete Engagement Work Program linking each objective and criteria to the specific test steps, analytical procedures, tools, sampling plans, and assigned auditors, and obtain formal written/electronic review and approval from the CAE (or delegated engagement supervisor) **before** fieldwork execution begins (Standard 13.6, p. 103; Standard 12.3, p. 90) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

5. Communicate

- **[REQ] With the CAE / Engagement Supervisor**: Discuss any resource or competency shortfalls (Standard 13.5, p. 101), disclose any potential personal conflicts of interest or objectivity impairments (Standard 2.3, p. 24), and submit the Engagement Work Program for mandatory pre-fieldwork approval (Standard 13.6, p. 103).
- **[REQ]** / **[GUIDE] With Management of the Activity Under Review (and IT/Data Owners)**: Transmit the Fieldwork Information Request List (PBC list), coordinate system access or data extraction specifications with system administrators (Standard 13.1, p. 94; Standard 14.1, p. 105), and for advisory engagements, collaborate directly with the client stakeholder to co-develop the work program (Standard 13.6 Considerations for Implementation, p. 103).

6. Inputs and Outputs (Artefacts Consumed and Produced)

- **[GUIDE] Consumed Inputs**: Approved Engagement Planning Memo (objectives and scope); Engagement Risk Assessment / Preliminary RCM; Process Walkthrough narratives/flowcharts; transaction population counts/extracts; staff competency matrix and objectivity declarations.
- **[REQ]** / **[GUIDE] Produced Artefacts**:
    1. **Control Design Evaluation Workpaper / Updated RCM ([GUIDE] Standard 13.2, p. 97; Standard 13.6, pp. 103–104)**: Records each key control's objective, control owner, frequency, type (preventive/detective), automated/manual nature, and conclusion on whether the control design is adequate to mitigate the risk. Prepared by auditor, **reviewed by Engagement Supervisor**.
    2. **Engagement Resource Plan & Objectivity Sign-Offs ([REQ] Standard 2.2, p. 22; Standard 13.5, p. 101)**: Documents assigned auditors, budgeted hours per task, specialized tools/co-sourced specialists, and signed/attested conflict-of-interest/objectivity checks. **Approved by Engagement Supervisor / CAE**.
    3. **Sampling Plan & Data Analytics Specification ([GUIDE] Standard 13.6, p. 103; Standard 14.6, p. 112)**: Defines population source, completeness verification method, sampling method (statistical attribute/MUS vs. non-statistical judgmental), confidence level/tolerable error or frequency-table tier, sample size, selection seed/query, and whether results can be projected. Prepared by auditor, **approved by Engagement Supervisor as part of the Work Program**.
    4. **Engagement Work Program (Audit Program) ([REQ] Standard 13.6, p. 103)**: Mandatory document identifying evaluation criteria for each objective, step-by-step test procedures, methodologies/analytical procedures, tools, and assigned internal auditors. Prepared by auditor/supervisor, **must be reviewed and approved by the CAE (or delegated Engagement Supervisor) before implementation**.

5. **Information Request List (IRL / PBC Request Tracker) ([GUIDE] Standard 13.1, p. 94; [PRACTICE] software workflows)**: Itemized list of requested populations, sample items, system logs, target delivery dates, and assigned auditee owners. Issued by auditor to **Management of Activity Under Review**.

7. Evidence and Documentation

- **[REQ]** Internal auditors must document the Engagement Work Program and its pre-implementation approval (plus prompt approval of any subsequent changes) (Standard 13.6, p. 103; Standard 14.6, p. 111), resource adequacy analyses (Standard 13.5, pp. 101–102), and conflict-of-interest/objectivity disclosures (Standard 2.2, p. 24; Standard 2.3, p. 24) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

8. What Varies

- **[REQ] Foundation-Fixed**: Assessing resource sufficiency/appropriateness; ensuring staff competency and 12-month objectivity cooling-off; documenting an Engagement Work Program containing criteria, tasks, methodologies/analytics, tools, and assigned staff; and obtaining CAE (or delegated supervisor) approval of the work program **before** implementation and promptly upon any subsequent change (Standards 2.2, 3.1, 13.5, 13.6).
- **[PRACTICE] Methodology Choices (Layer 2)**: Whether control design adequacy is signed off in Stage 2/3 before writing operating effectiveness test steps or combined into Stage 4 fieldwork (Standard 13.6, pp. 103–104); standard sample-size tables (e.g., whether a daily control requires 25, 30, or 40 items, and whether statistical attribute sampling or non-statistical frequency tables are the default); standard work program templates stored in a central library (e.g., TeamMate+ *TeamStore* or Optro control libraries); and whether PBC requests are tracked via an automated auditee portal or spreadsheet (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 13.6, pp. 103–104; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026; Internal Audit Work Program Templates, Risk Publishing, published October 23, 2026, accessed November 5, 2026).
- **[PRACTICE] Engagement Context (Layer 3)**: Availability and quality of structured data (determining whether 100% population analytics can replace sampling); degree of control automation; need for external specialist co-sourcing (e.g., penetration testers, actuaries, environmental engineers).

9. Common Failure Modes

- **[GUIDE] / [PRACTICE] Commencing Fieldwork Before Work Program Approval (or Failing to Re-Approve Changes)**: Executing testing before the supervisor/CAE has signed off on the work program, or modifying/dropping test steps during fieldwork without obtaining and documenting prompt supervisory approval of the revised work program—a classic EQA nonconformance under Standard 13.6 (p. 103) and Standard 12.3 (p. 90) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

- **[GUIDE] / [PRACTICE] Testing Operating Effectiveness of Inadequately Designed Controls**: Drawing a sample of 25–45 items to test whether a control operated when the control design itself cannot prevent or detect the risk (wasting audit hours in violation of Standard 4.2 due professional care cost-benefit principles, p. 32).
- **[GUIDE] / [PRACTICE] Undocumented Sampling Rationale or Unverified Population Completeness**: Picking a "convenience sample" or failing to document the population size, selection method, and whether sample results can be projected to the population (Standard 13.6, p. 103; Standard 14.6, p. 112).

Table 3.3: Stage 3 Element Classification and Variability Matrix

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Assessing Engagement Resources (Financial, human, tech) & Escalating Shortfalls to CAE	Foundation	[REQ]	Fixed requirement; resource mix (in-house vs. co-sourced specialist) varies by context.	Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Domain V, Principle 13, Standard 13.5, pp. 101–102)
12-Month Cooling-Off Rule for Auditor Objectivity on Prior Operational Responsibilities	Foundation	[REQ]	Fixed requirement for assurance services; for advisory, disclosure to requesting party is required before acceptance.	Global Internal Audit Standards (Domain II, Principle 2, Standard 2.2, p. 22)
Evaluating Control Design Adequacy Timing	Methodology / Context	[GUIDE]	May be completed during engagement planning/design (Stage 2/3) or during fieldwork performance (Stage 4).	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.6, pp. 103–104; Standard 4.2, p. 32)
Work Program Mandatory Contents (Criteria, tasks, methodologies/analytics, tools, assigned staff)	Foundation	[REQ]	All four content elements are mandatory across all engagements.	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.6, p. 103)
Pre-Implementation Approval of	Foundation / Methodology	[REQ]	Mandatory approval before	Global Internal Audit Standards

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Work Program & Prompt Approval of Changes			implementation and upon change ([REQ]); whether CAE delegates approval to Engagement Supervisor varies by methodology.	(Domain V, Principle 13, Standard 13.6, p. 103; Domain IV, Standard 12.3, p. 90)
Sampling Methodology & Sample Size Tables (e.g., 25–60 for manual; 1 for automated + ITGCs)	Methodology / Context	[GUIDE] / [PRACTICE]	Standards require documenting sampling method, population, sample size, and projectability ([GUIDE]); exact sample-size tables vary by methodology.	Global Internal Audit Standards (Standard 13.6, p. 103; Standard 14.6, p. 112); Internal Audit Work Program Templates (Risk Publishing, Oct 23, 2026, acc. Nov 5, 2026)

3.4 Stage 4: Performing the Work (Fieldwork, Evidence Evaluation, Analytics, and Supervision)

1. Purpose and Outcome

- **[REQ]** Stage 4 executes the approved Engagement Work Program by gathering information, evaluating its relevance, reliability, and sufficiency through professional skepticism, performing analytical and testing procedures to compare the existing state (*condition*) against evaluation *criteria*, investigating exceptions and determining whether to expand testing or adjust the work program, and documenting all procedures and evidence in reviewed workpapers (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standards 14.1–14.2, 14.6, pp. 104–107, 111–112; Domain IV, Principle 12, Standard 12.3, pp. 90–91).
- **[REQ]** You know Stage 4 is complete when all tasks in the approved (and any amended) work program have been executed, sufficient, reliable, and relevant evidence has been obtained to determine the condition for every in-scope objective, any differences between criteria and condition are noted as potential engagement findings (or positive assurance is supported where no differences exist), and the engagement supervisor has verified that the work program is complete and workpapers are reviewed (Standard 12.3, p. 90; Standards 14.1–14.2, pp. 104–106; Standard 14.6, p. 111).

2. Understand

- **[REQ]** During fieldwork, the auditor must understand the actual operating state

(**condition**) of the activity under review (*"Internal auditors must determine the condition by using information and evidence gathered during the engagement"*, Standard 14.2, p. 106), the provenance and governance of the systems and sources producing the information (to judge reliability under Standard 14.1, p. 104), and the reasons behind any observed anomalies, inconsistencies, or exceptions (Standard 4.3, p. 33; Standard 14.2, pp. 106–107) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

3. Decide

- **[REQ] Whether Gathered Information Is Relevant, Reliable, and Sufficient**: The **internal auditor** (overseen by the **engagement supervisor**) must evaluate evidence quality: *"Internal auditors must evaluate whether the information is relevant and reliable and whether it is sufficient such that analyses provide a reasonable basis upon which to formulate potential engagement findings and conclusions"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standard 14.1, p. 105).
- **[REQ] Whether to Gather Additional Information or Identify Unobtainable Evidence as a Finding**: If evidence is inadequate, the **internal auditor** decides: *"Internal auditors must determine whether to gather additional information for analyses and evaluation when evidence is not relevant, reliable, or sufficient to support engagement findings. If relevant evidence cannot be obtained, internal auditors must determine whether to identify that as a finding"* (Standard 14.1, p. 105) or escalate as a scope limitation (Standard 13.3, p. 98).
- **[REQ] Whether Initial Analyses Require Additional Testing and Work Program Adjustment**: When comparing criteria and condition, *"If initial analyses do not provide sufficient evidence to support a potential engagement finding, internal auditors must exercise due professional care to determine whether additional analyses are required. If additional analyses are required, the work program must be adjusted accordingly and approved by the chief audit executive"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standard 14.2, p. 106).
- **[REQ] How to Escalate Suspected Fraud, Illegal Acts, or Ethical Violations**: When fieldwork uncovers suspected fraud, illegal acts, or ethical violations, the **internal auditor** and **CAE** must report them to authorized individuals/entities (and the board if senior management is involved) according to laws, regulations, and policies (Domain II, Principle 1, Standard 1.2, p. 18; Standard 1.3, p. 19).

4. Do (Concrete Activities in Realistic Sequence & Stage-Specific Depth)

1. **[REQ] Obtain and Evaluate Evidence — Judging Relevance, Reliability, and Sufficiency (Stage-Specific Depth)**:
    - Execute the data-gathering procedures in the work program (direct system extraction, physical inspection, third-party confirmation, observation/walkthroughs, and corroborated interviews) (Standard 14.1, pp. 104–105).
    - Apply the mandatory three-part evidence standard in **Standard 14.1** (Domain V, Principle 14, pp. 104–105):
        - **Relevant**: *"consistent with engagement objectives, within the scope of the*

engagement, and contributes to the development of engagement results" (p. 104).
        - **Reliable**: *"factual and current. Internal auditors use professional skepticism to evaluate whether information is reliable. Reliability is strengthened when the information is: Obtained directly by an internal auditor or from an independent source; Corroborated; Gathered from a system with effective governance, risk management, and control processes"* (p. 104).
        - **Sufficient**: *"when it enables internal auditors to perform analyses and complete evaluations and can enable a prudent, informed, and competent person to repeat the engagement work program and reach the same conclusions as the internal auditor"* (p. 105) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026). *(Note on "Useful": While the pre-2024 IPPF Standard 2310 used the four-word phrase "sufficient, reliable, relevant, and useful," the 2024 Standards codify **Relevant, Reliable, and Sufficient** as the three requirements in Standard 14.1, p. 104, while folding usefulness into **Constructive** and **Complete** communication in Standard 11.2, pp. 79–80; see Section 9 for full comparison.)*
    - Apply **Professional Skepticism** ([REQ] Standard 4.3, p. 33): critically assess information reliability, question inconsistent or incomplete statements, and corroborate management assertions across more than a single source (Standard 4.3, p. 33; Standard 14.1, p. 105).
2. **[GUIDE] / [PRACTICE] Execute Data Analytics and Full-Population Testing (Stage-Specific Depth)**:
    - **[GUIDE]** Use data analysis software and automated scripts to test 100% of targeted transaction populations, perform ratio, trend, and regression analyses, compare current period data to budgets/forecasts/prior periods, correlate financial and non-financial data (e.g., payroll expense vs. headcount changes), and benchmark internally and externally (Standard 14.1, p. 105; Standard 14.2 Considerations for Implementation, p. 106; GTAG: Data Analysis Technologies, The IIA, accessed November 5, 2026).
    - **[PRACTICE]** Two independent practitioner sources confirm the current state of analytics and AI adoption in internal audit fieldwork: (1) The IIA's *2025 North American Pulse of Internal Audit* and *Gartner's 2026 CAE Survey* (reported by *Internal Audit 360*) show that **more than 70% of CAEs** rank leveraging data analytics and generative AI as a top priority for 2026, yet only **31%** have high confidence in building a tech-savvy culture due to data quality and skill gaps (New Study Identifies the Top Internal Audit Priorities for 2026, Internal Audit 360, published January 28, 2026, accessed November 5, 2026; New Report Reveals the Value of Strategy Plus Increasing Responsibility for Internal Audit Leaders, The IIA, published March 10, 2025, accessed November 5, 2026); and (2) Gartner's August 2026 survey of 743 audit professionals found that while **93% of audit leaders report some level of AI use** (and 83% are piloting or using GenAI), **only 30% are using AI for audit testing in fieldwork**, compared to 60% using it to draft audit issues/reports (Gartner Survey Finds Audit Teams' AI Use is Common, But Most Teams are Lacking Strategic Adoption and Application, Gartner, published August 11, 2026, accessed November 5, 2026). In practice, auditors use Excel add-ins like *TeamMate Analytics* (180+ prebuilt tests) or *DataSnipper* for sample/document

verification, and *Caseware IDEA*, *Arbutus*, *ACL (Diligent)*, SQL, or Python for multi-million-row population tests (TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).

3. **[REQ] Compare Condition Against Criteria and Investigate Exceptions (Stage-Specific Depth)**:
    - Compare the observed *condition* against the agreed *criteria* (*"Internal auditors must analyze information to determine whether there is a difference between the evaluation criteria and the existing state of the activity under review, known as the 'condition.' ... A difference between the criteria and the condition indicates a potential engagement finding that must be noted and further evaluated"*, Standard 14.2, p. 106) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
    - [GUIDE] / [PRACTICE] When a test or analytics run flags an anomaly or sample deviation, investigate whether it is a true control failure/error or a false positive (e.g., a valid policy exception or data extraction artifact), determine whether the deviation is isolated or systemic, and evaluate whether compensating controls mitigated the exposure (AS 2201, PCAOB, accessed November 5, 2026; ¶.62–.68; Standard 14.2, pp. 106–107).
4. **[REQ] / [GUIDE] Decide When to Expand Testing or Change Approach (Loop Triggers) (Stage-Specific Depth)**:
    - **[REQ]** Loop back to gather additional evidence when initial evidence is insufficient, unreliable, or inconsistent (Standard 4.3, p. 33; Standard 14.1, p. 105).
    - **[REQ]** Loop back to Stage 3 (Work Program) or Stage 2 (Objectives and Scope) when initial analyses reveal a potential finding that requires deeper procedures, or when unexpected risks emerge during fieldwork: *"If initial analyses do not provide sufficient evidence to support a potential engagement finding, internal auditors must exercise due professional care to determine whether additional analyses are required. If additional analyses are required, the work program must be adjusted accordingly and approved by the chief audit executive"* (Standard 14.2, p. 106; see also Standard 13.3, p. 98, requiring CAE approval of scope/objective changes and Standard 13.1, p. 93, requiring timely communication to management) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
    - **[GUIDE]** Under Standard 14.2 Considerations for Implementation (p. 107), the decision of whether to expand testing weighs: (a) results of the engagement risk assessment and control adequacy; (b) significance of the activity and potential finding; (c) extent to which existing analyses already support the finding; (d) availability and reliability of additional data; and (e) cost vs. benefit of additional testing. [PRACTICE] In statistical/attribute sampling, if a sample of 25 items engineered for zero expected errors yields 1 exception, the auditor either concludes the control is ineffective (no need to expand the sample if management already agrees the control failed) or expands the sample (e.g., to 45 or 60 items) only if testing whether the total error rate remains within the tolerable deviation threshold (Internal Audit Work Program Templates, Risk Publishing, published October 23, 2026, accessed November 5, 2026).
5. **[REQ] / [GUIDE] Handle Suspected Fraud, Illegal Acts, or Senior Management Misconduct (Stage-Specific Depth)**:
    - **[REQ]** If fieldwork uncovers indicators of fraud, illegal acts, or unethical conduct,

internal auditors must exercise professional courage (Standard 1.1, p. 17), seek additional evidence without tipping off suspects (Standard 4.3, p. 33), and report the matter according to applicable laws, regulations, and policies: *"If internal auditors identify behavior within the organization that is inconsistent with the organization's ethical expectations, they must report the concern according to applicable policies and procedures"* (Standard 1.2, p. 18) and *"If internal auditors identify legal or regulatory violations, they must report such incidents to individuals or entities that have the authority to take appropriate action, as specified in laws, regulations, and applicable policies and procedures"* (Standard 1.3, p. 19) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
    - **[GUIDE]** If the suspected misconduct or ethical violation involves a member of **senior management**, *"the chief audit executive should report the violation to the board. If an ethics-related concern involves the chairman of the board, the chief audit executive should report the concern to the entire board"* (Standard 1.2 Considerations for Implementation, p. 18) and meet privately with the board without informing senior management (*"unless doing so is inappropriate (for example, if a private conversation relates to an impropriety by a member of senior management)"*, Standard 6.3, p. 45).
6. **[REQ]** / **[GUIDE] Supervision During Fieldwork (Stage-Specific Depth)**:
    - **[REQ]** Under Standard 12.3 (Domain IV, Principle 12, p. 90) and Standard 14.6 (p. 111), *"The chief audit executive or an engagement supervisor must provide internal auditors with guidance throughout the engagement, verify work programs are complete, and confirm engagement workpapers adequately support findings, conclusions, and recommendations... The chief audit executive must ensure that evidence of supervision is documented and retained, according to the internal audit function's established methodologies"* (Standard 12.3, p. 90) and *"Internal auditors and the engagement supervisor must review the engagement documentation for accuracy, relevance, and completeness. The chief audit executive must review and approve the engagement documentation"* (Standard 14.6, p. 111) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
    - **[GUIDE]** The engagement supervisor reviews workpapers as fieldwork progresses, issues written **review notes (coaching notes)** asking for additional evidence or clarification, and verifies that review notes are resolved before signing off on each workpaper (Standard 12.3 Considerations for Implementation, p. 91).

5. Communicate

- **[REQ] With Management of the Activity Under Review**: Maintain ongoing communication throughout fieldwork to provide progress updates, discuss emerging issues requiring immediate attention, and communicate any changes to objectives, scope, or timing timely (Standard 13.1, pp. 93–94).
- **[REQ] Within the Audit Team (Auditor ↔ Engagement Supervisor / CAE)**: Ongoing coaching, escalation of potential objectivity threats or ethical dilemmas (Standard 1.1, p. 17; Standard 2.3, p. 24), submission of workpapers and review notes, and escalation of professional judgment differences (Standard 12.3, p. 91).
- **[REQ] With Legal Counsel, Compliance, Senior Management, or the Board (for Fraud/Illegal Acts/Urgent Issues)**: Immediate escalation of suspected illegal acts, regulatory breaches, or senior management misconduct (Standards 1.2–1.3, pp. 18–19;

Standard 6.3, p. 45).

6. Inputs and Outputs (Artefacts Consumed and Produced)

- **[GUIDE] Consumed Inputs**: Approved Engagement Work Program and Sampling Plan; Auditee responses to Information Request Lists (raw data extracts, contracts, invoices, logs, reconciliations, system configurations); interview and observation notes.
- **[REQ]** / **[GUIDE] Produced Artefacts**:
    1. **Testing Workpapers & Data Analytics Scripts/Outputs ([REQ] Standard 14.1, p. 105; Standard 14.2, p. 106; Standard 14.6, p. 111; [GUIDE] p. 112)**: Each workpaper contains index/reference number, title/activity, date/period of engagement, scope of work, purpose statement, data source(s) and date gathered, population description and sample size/selection method, test tick-marks/results comparing criteria vs. condition, auditor's conclusion on sufficiency/effectiveness, preparer name/date, and reviewer sign-off/date (Standard 14.6, p. 112). Prepared by auditor, **reviewed by Engagement Supervisor and approved by CAE (or delegate)**.
    2. **Supervisory Review Notes / Coaching Notes Log ([REQ] Standard 12.3, p. 90; [GUIDE] p. 91)**: Written questions, challenges, and instructions from the Engagement Supervisor on workpapers, plus the auditor's responses. Per Standard 12.3 (p. 91), review notes are either cleared/deleted from final documentation once workpapers are amended, or retained in a separate review-note resolution record per methodology.
    3. **Potential Engagement Findings / Exception Log & Amended Work Program ([REQ] Standard 14.2, p. 106)**: Record of all observed differences between criteria and condition requiring evaluation in Stage 5, plus any CAE-approved adjustments to the Work Program when additional analyses were triggered.

7. Evidence and Documentation

- **[REQ]** Workpapers must meet the **repeatability threshold** of Standard 14.1 (p. 105) and Standard 14.6 (p. 111): *"The analyses, evaluations, and supporting information relevant to an engagement must be documented such that an informed, prudent internal auditor, or similarly informed and competent person, could repeat the work and derive the same engagement results"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standard 14.6, p. 111).
- **[REQ]** Workpapers must be reviewed by the engagement supervisor for accuracy, relevance, and completeness, and approved by the CAE (Standard 14.6, p. 111), with documented evidence of supervision retained (Standard 12.3, p. 90) and protected under information security and retention rules (Standard 5.2, p. 35).

8. What Varies

- **[REQ] Foundation-Fixed**: Gathering relevant, reliable, and sufficient information; exercising professional skepticism; comparing criteria vs. condition; obtaining CAE approval for work program adjustments; documenting work so a prudent informed person can repeat it and reach the same result; supervisory review and CAE approval of documentation (Standards 4.3, 12.3, 14.1, 14.2, 14.6).

- **[PRACTICE] Methodology Choices (Layer 2)**: Whether supervisory review notes are purged from the final archive once cleared or retained permanently as an audit trail (Standard 12.3, p. 91 explicitly allows either methodology); workpaper indexing and tick-mark conventions; whether redacted source documents are stored inside the workpaper repository or only metadata/hash identifiers are stored (common for highly sensitive HR/PII or classified records under Standard 5.2, pp. 35–36); and rules for human-in-the-loop verification when generative AI tools assist in summarizing documents (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Internal Audit 101, Optro, published March 26, 2026, accessed November 5, 2026).
- **[PRACTICE] Engagement Context (Layer 3)**: Extent of supervision required—Standard 12.3 (p. 90) explicitly states [REQ] *"The extent of supervision required depends on the maturity of the internal audit function, the proficiency and experience of internal auditors, and the complexity of engagements."*

9. Common Failure Modes

- **[GUIDE] / [PRACTICE] Relying on Uncorroborated Management Inquiry ("Auditing by Conversation")**: Recording "Per discussion with Manager X, reconciliations are performed monthly" as a passing test step without inspecting the reconciliations or corroborating the claim, violating Standard 4.3 (Professional Skepticism, p. 33) and Standard 14.1 (Reliability, p. 104).
- **[GUIDE] / [PRACTICE] Workpapers Failing the "Reperformance / Repeatability" Standard**: Saving a screenshot or spreadsheet extract without documenting the source system, extraction query/parameters, date pulled, population reconciliation, or specific sample identifiers, making it impossible for a reviewer or EQA assessor to repeat the work under Standard 14.1 (p. 105) and Standard 14.6 (p. 111).
- **[GUIDE] / [PRACTICE] Late "Rubber-Stamp" Supervisory Sign-Offs**: Engagement supervisors signing off on all planning and fieldwork workpapers in bulk on the day the final report is issued (or after report issuance), rather than supervising throughout the engagement as required by Standard 12.3 (p. 90) and Standard 12.1 (p. 87) (TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026; Quality Assessment Manual, 2024 Edition, The IIA, published 2024, accessed November 5, 2026).

Table 3.4: Stage 4 Element Classification and Variability Matrix

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Evidence Standard: Relevant, Reliable, and Sufficient	Foundation	[REQ]	Fixed requirement across all engagements; specific corroboration sources depend on engagement	Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Domain V, Principle 14, Standard 14.1, pp.

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
			context.	104–105)
Repeatability Standard for Documentation (Prudent informed person can repeat work)	Foundation	[REQ]	Fixed requirement under both Standard 14.1 (Sufficiency) and Standard 14.6 (Documentation).	Global Internal Audit Standards (Domain V, Principle 14, Standard 14.1, p. 105; Standard 14.6, p. 111)
Comparing Criteria vs. Condition & CAE Approval of Work Program Adjustments	Foundation	[REQ]	Fixed requirement; if initial analyses require additional procedures, work program must be adjusted and approved by CAE.	Global Internal Audit Standards (Domain V, Principle 14, Standard 14.2, p. 106)
Data Analytics & AI Use in Fieldwork Testing (e.g., 30% using AI for testing)	Methodology / Context	[GUIDE] / [PRACTICE]	Standards encourage full-population analytics ([GUIDE]); tool stack (Excel/TeamMate Analytics vs. IDEA/Python) and AI rules vary by methodology.	Global Internal Audit Standards (Standard 14.1, p. 105; Standard 14.2, p. 106); Gartner Survey (Gartner, Aug 11, 2026, acc. Nov 5, 2026)
Escalating Suspected Fraud, Illegal Acts, or Ethics Violations	Foundation / Context	[REQ] / [GUIDE]	Reporting violations according to law/policy is fixed [REQ]; escalating senior management violations directly to the board is [GUIDE] (p. 18).	Global Internal Audit Standards (Domain II, Principle 1, Standards 1.2–1.3, pp. 18–19; Domain III, Standard 6.3, p. 45)
Ongoing Fieldwork Supervision & Handling of Supervisory Review Notes	Foundation / Methodology	[REQ] / [GUIDE]	Documented supervision and workpaper review/approval are fixed [REQ]; extent varies by auditor proficiency/comple	Global Internal Audit Standards (Domain IV, Principle 12, Standard 12.3, pp. 90–91; Domain V, Standard 14.6, p. 111)

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
			xity; clearing vs. retaining review notes varies by methodology ([GUIDE]).	

3.5 Stage 5: Forming and Discussing Findings (Evaluation, Root Cause, Rating, Action Plans, and Disagreements)

1. Purpose and Outcome

- **[REQ]** Stage 5 evaluates each potential engagement finding identified in Stage 4 to determine its significance (based on likelihood and impact), collaborates with management to identify root causes (when possible) and potential effects, prioritizes/rates each finding according to the CAE's methodology, determines whether to develop recommendations and/or collaborate with management to agree on corrective action plans (with owners and completion dates), and resolves or documents any disagreements with management through closing communications (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standards 14.3–14.4, pp. 107–110; Principle 13, Standard 13.1, pp. 93–95; Principle 15, Standard 15.1, p. 113).
- **[REQ]** You know Stage 5 is complete when every potential finding has been evaluated for significance and prioritized, significant risks are documented as reportable findings, root causes (when possible) and effects are established, recommendations and/or management action plans (specifying responsible individuals and planned completion dates) are agreed with management (or formal positions on any unresolved disagreements or unacceptable risk acceptances are documented per methodology), and the exit conference / closing communication has been completed (Standards 13.1, 14.3, 14.4, 15.1).

2. Understand

- **[REQ]** / **[GUIDE]** The auditor must understand the underlying **root cause** of why the gap between criteria and condition occurred (*"When evaluating potential engagement findings, internal auditors must collaborate with management to identify the root causes when possible, determine the potential effects, and evaluate the significance of the issue"*, Standard 14.3, p. 107), the design and operating effectiveness of any compensating controls to determine **residual risk** (Standard 14.3 Considerations for Implementation, p. 108), quantitative or qualitative exposure, and the operational feasibility and cost-benefit of proposed corrective actions from the management personnel authorized to implement changes (Standard 14.4, pp. 109–110) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

3. Decide

- **[REQ] Significance and Prioritization (Rating) of Each Finding**: The **internal auditor** (reviewed by the **engagement supervisor** and **CAE**) evaluates the significance of each potential finding by considering likelihood and impact on governance, risk management, or control processes, and prioritizes each finding using the **CAE's established methodology**: *"Internal auditors must evaluate each potential engagement finding to determine its significance... To determine the significance of the risk, internal auditors must consider the likelihood of the risk occurring and the impact the risk may have on the organization's governance, risk management, or control processes... Internal auditors must prioritize each engagement finding based on its significance, using methodologies established by the chief audit executive"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standard 14.3, p. 107).
- **[REQ] Which Issues Must Be Reported as Formal Findings vs. Other Risks**: If the organization is exposed to a **significant risk**, it **must** be documented and communicated as a finding: *"If internal auditors determine that the organization is exposed to a significant risk, it must be documented and communicated as a finding. Internal auditors must determine whether to report other risks as findings, based on the circumstances and established methodologies"* (Standard 14.3, p. 107).
- **[REQ] Approach to Remediation (Recommendations vs. Action Plans)**: The **internal auditor** (per CAE methodology) decides *"whether to develop recommendations, request action plans from management, or collaborate with management to agree on actions"* (Standard 14.4, p. 109), while **Management** retains sole authority and responsibility to decide on and implement the actual corrective actions ([GUIDE] *"it is management's responsibility to implement actions to address the findings"*, Standard 14.4, p. 110).
- **[REQ] Refusal to Alter Valid Findings & Escalation of Unacceptable Risk Acceptance**: If management disagrees with findings, **internal auditors** and the **CAE** decide whether management has provided valid factual evidence warranting a change; if not, *"internal auditors must not be obligated to change any portion of the engagement results unless there is a valid reason to do so"* (Standard 13.1, p. 93; see also Standard 1.1, p. 17). If **Management** decides not to remediate a finding and the **CAE** judges that management has accepted a risk exceeding the organization's risk appetite or risk tolerance, the **CAE** must discuss it with **Senior Management** and, if unresolved, escalate it to the **Board** (Domain IV, Principle 11, Standard 11.5, p. 84).

4. Do (Concrete Activities in Realistic Sequence & Stage-Specific Depth)

1. **[REQ] / [GUIDE] Structure Finding Attributes — Exact Comparison of What the Standards Require vs. the Practitioner "5 Cs" (Stage-Specific Depth)**:
    - Practitioners commonly refer to the **"5 Cs"** of an internal audit finding: **Criteria, Condition, Cause, Consequence (Effect), and Corrective Action (Recommendation)** (Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).
    - What the 2024 Standards **actually require ([REQ])** across Standards 14.2, 14.3, 14.4, and 15.1 is **6 mandatory elements** (which encompass all 5 Cs plus Significance/Prioritization and Action Plan Owner/Date, with a specific qualifier on Root Cause):

1. **Criteria ([REQ] Standard 13.4, p. 100 & Standard 14.2, p. 106)**: *"Internal auditors must analyze information to determine whether there is a difference between the evaluation criteria and the existing state of the activity under review, known as the 'condition.'"*
2. **Condition ([REQ] Standard 14.2, p. 106)**: *"Internal auditors must determine the condition by using information and evidence gathered during the engagement."*
3. **Root Cause — Qualified by "When Possible" ([REQ] Standard 14.3, p. 107)**: *"When evaluating potential engagement findings, internal auditors must collaborate with management to identify the root causes when possible, determine the potential effects, and evaluate the significance of the issue."* (Note: Unlike pre-2024 practice guides where "cause" was treated as a consideration, the 2024 Standards elevate collaborating with management to identify root causes *"when possible"* into a mandatory [REQ] in Standard 14.3, p. 107, and require recommendations/action plans to *"Address the root cause of the finding"* in Standard 14.4, p. 109.)
4. **Potential Effects / Consequence ([REQ] Standard 14.3, p. 107)**: Mandatory under the exact wording quoted above (*"determine the potential effects"*).
5. **Significance and Prioritization ([REQ] Standard 14.3, p. 107 & Standard 15.1, p. 113)**: *"Internal auditors must prioritize each engagement finding based on its significance, using methodologies established by the chief audit executive"* (Standard 14.3, p. 107) and *"The final communication for assurance engagements also must include: The findings and their significance and prioritization"* (Standard 15.1, p. 113).
6. **Recommendations and/or Action Plans with Responsible Owner and Planned Completion Date ([REQ] Standard 14.4, p. 109 & Standard 15.1, p. 113)**: Internal auditors *"must determine whether to develop recommendations, request action plans from management, or collaborate with management to agree on actions"* (Standard 14.4, p. 109), and *"The final communication must specify the individuals responsible for addressing the findings and the planned date by which the actions should be completed"* (Standard 15.1, p. 113) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

- **[GUIDE]** In Standard 14.3 Considerations for Implementation (p. 108), the Standards explicitly list the template elements for documenting findings: *"Criteria; Condition; Root cause (when possible); Effect (risk or potential exposure); Significance and prioritization"* (with Recommendations and/or Action Plans added in Standard 14.4 Examples of Evidence, p. 110).

2. **[REQ] / [GUIDE] Perform Collaborative Root-Cause Analysis (Stage-Specific Depth)**: Collaborate with operational management to trace beyond the immediate symptom (e.g., a missing reconciliation signature) to the underlying systemic reason (e.g., lack of training, broken ERP workflow, misaligned incentives, or understaffing) by asking a series of "why" questions (5 Whys, fishbone/Ishikawa analysis) (Standard 14.3 Requirements & Considerations for Implementation, pp. 107–108).
3. **[REQ] / [GUIDE] Evaluate Residual Risk and Rate / Prioritise Findings (Stage-Specific Depth)**: Evaluate existing and compensating controls to determine residual risk exposure (likelihood × impact relative to risk tolerance), quantify the financial

or operational exposure where feasible, and assign a finding priority/rating (e.g., High / Medium / Low, or Critical / Major / Moderate / Minor) using the CAE's methodology (Standard 14.3, pp. 107–108; Global Practice Guide: Communicating Results of Internal Audit Services, The IIA, published December 16, 2025, accessed November 5, 2026). Decide whether minor/low-risk exceptions will be included in the formal report or communicated orally/in a separate management letter per methodology (Standard 14.3, p. 107).

4. **[REQ]** / **[GUIDE] Validate Facts with Management and Hold Exit Conference / Closing Communication (Stage-Specific Depth)**: Discuss each draft finding with the management of the activity under review as soon as validated during fieldwork and formally in a **closing communication (exit conference)** to confirm factual accuracy of the condition, verify whether any compensating facts were overlooked (looping back to Stage 4 if management supplies new verifiable evidence), and ensure management understands the auditor's evaluation (Standard 13.1 Considerations for Implementation, pp. 94–95; Standard 14.3, p. 108; Standard 14.4, p. 109) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
5. **[REQ]** / **[GUIDE] Develop Recommendations and Agree on Management Action Plans, Owners, and Target Dates (Stage-Specific Depth)**: Formulate options or recommendations and collaborate with the management level authorized to allocate resources and oversee changes (e.g., Director or VP) to agree on concrete action plans that resolve the condition, mitigate the risk to within risk tolerance, and address the root cause, weighing cost vs. benefit (Standard 13.1, p. 95; Standard 14.4, pp. 109–110). Record the specific **individual owner** and **planned completion date** for every finding ([REQ] Standard 15.1, p. 113). If management has already initiated or completed remediation before the final report is issued, verify the evidence (looping back to Stage 4 to test the fix) so that it can be mandatorily acknowledged in the final report ([REQ] Standard 15.1, p. 113: *"When internal auditors become aware that management has initiated or completed actions to address a finding before the final communication, the actions must be acknowledged in the communication"*).
6. **[REQ] Handle Disagreements and Unacceptable Risk Acceptance (Stage-Specific Depth)**:
    - **Disagreement on Findings/Results ([REQ] Standard 13.1, p. 93)**: *"At the end of an engagement, if internal auditors and management do not agree on the engagement results, internal auditors must discuss and try to reach a mutual understanding of the issue with the management of the activity under review. If a mutual understanding cannot be reached, internal auditors must not be obligated to change any portion of the engagement results unless there is a valid reason to do so. Internal auditors must follow an established methodology to allow both parties to express their positions regarding the content of the final engagement communication and the reasons for any differences of opinion regarding the engagement results."*
    - **Disagreement on Recommendations / Action Plans ([REQ] Standard 14.4, p. 109; [GUIDE] p. 109)**: *"If internal auditors and management disagree about the engagement recommendations and/or action plans, internal auditors must follow an established methodology to allow both parties to express their positions and rationale and to determine a resolution."* [GUIDE] The CAE works with senior management to facilitate resolution, and formal statements from both parties may be published in the final report (Standard 14.4, p. 109).

- **Escalating Unacceptable Risk Acceptance ([REQ] Standard 11.5, p. 84; Standard 8.1, p. 52)**: If management refuses to take action (or proposes an inadequate action plan) and the CAE concludes that management has accepted a level of risk that exceeds the organization's risk appetite or risk tolerance, *"the matter must be discussed with senior management. If the chief audit executive determines that the matter has not been resolved by senior management, the matter must be escalated to the board. It is not the responsibility of the chief audit executive to resolve the risk"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 11, Standard 11.5, p. 84).

5. Communicate

- **[REQ] With Management of the Activity Under Review**: Collaborate to identify root causes and evaluate effects/significance (Standard 14.3, p. 107); discuss recommendations (Standard 14.4, p. 109); hold closing discussions to resolve disagreements on results or action plans (Standard 13.1, pp. 93–95).
- **[REQ] With Senior Management and the Board**: Escalate unresolved disagreements on engagement results/action plans (Standard 8.1, p. 52; Standard 14.4, p. 109) and escalate unacceptable risk acceptance first to senior management and then to the board (Standard 11.5, p. 84).

6. Inputs and Outputs (Artefacts Consumed and Produced)

- **[GUIDE] Consumed Inputs**: Potential Engagement Findings / Exception Log and supporting testing workpapers from Stage 4; organizational risk appetite/tolerance thresholds; CAE finding-rating methodology.
- **[REQ]** / **[GUIDE] Produced Artefacts**:
  1. **Issue / Observation / Finding Records (Point Sheets / Audit Observation Memos) ([REQ] Standard 14.3, pp. 107–108; Standard 14.4, pp. 109–110)**: Structured records containing Criteria, Condition, Root Cause (when possible), Effect (quantified/qualitative exposure), Significance/Priority Rating, Recommendations, Management Action Plan, Responsible Individual (Owner), and Target Completion Date. Prepared by auditor, **reviewed by Engagement Supervisor and validated with Management**.
  2. **Exit Conference / Closing Communication Materials & Minutes ([GUIDE] Standard 13.1, pp. 94–95)**: Slide deck or draft finding summary discussed at the closing meeting, plus documented notes of management's factual agreement or dissenting rationale. Prepared by audit team, **reviewed by Engagement Supervisor**.
  3. **Risk Acceptance Escalation Memo (when applicable) ([REQ] Standard 11.5, p. 84; [GUIDE] pp. 84–85)**: Documents description of the risk, why it exceeds risk appetite/tolerance, management's rationale for not implementing actions, name of executive accepting the risk, date of discussion with senior management, and escalation package to the board. **Prepared and approved by the CAE**.

7. Evidence and Documentation

- **[REQ]** Workpapers must document each finding's evaluation criteria, condition, root cause (when possible), effect, significance/prioritization rating, recommendations/action plans, discussions with management, and any dissenting positions or risk-acceptance escalations (Standard 11.5, p. 85; Standard 13.1, p. 95; Standard 14.3, pp. 108–109; Standard 14.4, p. 110; Standard 14.6, p. 111) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

8. What Varies

- **[REQ] Foundation-Fixed**: Evaluating significance of each potential finding via likelihood and impact; collaborating with management on root causes (when possible) and effects; documenting and communicating all significant risks as findings; prioritizing findings using the CAE's methodology; specifying action plan owner and target completion date; not altering valid findings without a valid reason; escalating unresolved risk acceptance above risk appetite/tolerance to senior management and the board (Standards 11.5, 13.1, 14.3, 14.4, 15.1).
- **[PRACTICE] Methodology Choices (Layer 2)**: Terminology for findings ("Finding" vs. "Observation" vs. "Issue" vs. "Deficiency" vs. "Matter Requiring Attention" — Glossary, p. 11 explicitly notes *"Other terms, such as 'observations,' may be used"*); rating scale structure (3-tier High/Medium/Low vs. 4-tier Critical/High/Medium/Low vs. numeric risk-score bands); whether internal audit writes prescriptive **Recommendations** or only states the finding and requires management to author **Management Action Plans** (Standard 14.4, p. 109 explicitly permits either or both); and minimum seniority level required to own an action plan (e.g., Director/VP level only, Standard 14.4, p. 109) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

9. Common Failure Modes

- **[GUIDE] / [PRACTICE] Stating Restated Symptoms Instead of Root Causes**: Writing "The cause of the finding is that the policy was not followed" (which merely restates the condition) rather than collaborating with management to identify the true root cause under Standard 14.3 (pp. 107–108), resulting in superficial action plans ("Remind staff to follow policy") that fail and repeat in subsequent audits (New Study Identifies the Top Internal Audit Priorities for 2026, Internal Audit 360, published January 28, 2026, accessed November 5, 2026).
- **[GUIDE] / [PRACTICE] Vague Action Plans Missing Named Individual Owners or Concrete Dates**: Accepting management responses such as "Management will review the process in Q3/Q4" or naming a whole department ("IT & Finance") instead of a single accountable individual and a specific completion date, violating Standard 15.1 ([REQ] *"The final communication must specify the individuals responsible for addressing the findings and the planned date by which the actions should be completed"*, p. 113).
- **[GUIDE] / [PRACTICE] Softening or Omitting Valid Findings Under Management Pressure**: Downgrading a High-risk finding or deleting it from the report without new factual evidence solely to secure a faster management sign-off, violating Standard 1.1 (Honesty and Professional Courage, p. 17), Standard 1.3 (p. 19), and Standard 13.1 (p. 93).

Table 3.5: Stage 5 Element Classification and Variability Matrix

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Evaluating Finding Significance via Likelihood & Impact and Reporting All Significant Risks	Foundation	[REQ]	Fixed requirement; whether minor/non-significant risks are reported in the main report, management letter, or orally varies by methodology ([REQ] Standard 14.3, p. 107).	Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Domain V, Principle 14, Standard 14.3, p. 107)
Finding Attributes: Criteria, Condition, Root Cause ("when possible"), Potential Effect, Significance/Prioritization	Foundation	[REQ]	All five are mandatory in the 2024 Standards (Root Cause carries the qualifier *"when possible"* and requires collaborating with management).	Global Internal Audit Standards (Domain V, Principle 14, Standards 14.2–14.3, pp. 106–108; Standard 15.1, p. 113)
Finding Terminology ("Finding" vs. "Observation" vs. "Issue") & Rating Scale (e.g., High/Med/Low)	Methodology	[REQ] / [GUIDE]	Prioritizing findings is [REQ]; specific rating scale tiers and terminology ("observation", "issue") are methodology choices ([GUIDE]).	Global Internal Audit Standards (Glossary, p. 11; Domain V, Standard 14.3, pp. 107–108)
Recommendations vs. Management Action Plans (with Named Individual Owner & Target Date)	Foundation / Methodology	[REQ]	Choosing between recommendations, requesting action plans, or collaborating is [REQ] (methodology choice); naming responsible individual and planned date in final report is fixed	Global Internal Audit Standards (Domain V, Principle 14, Standard 14.4, p. 109; Principle 15, Standard 15.1, p. 113)

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
			[REQ].	
Handling Disagreements with Management (No obligation to change valid results; publishing both positions)	Foundation / Methodology	[REQ]	Fixed requirement not to change valid results without valid reason and to follow methodology allowing both parties to express positions.	Global Internal Audit Standards (Domain V, Principle 13, Standard 13.1, p. 93; Standard 14.4, p. 109)
Escalating Unacceptable Risk Acceptance to Senior Management and the Board	Foundation	[REQ]	Fixed requirement when management accepts risk exceeding risk appetite/tolerance.	Global Internal Audit Standards (Domain IV, Principle 11, Standard 11.5, p. 84)

3.6 Stage 6: Reporting, Conclusions, and Follow-Up

1. Purpose and Outcome

- **[REQ]** Stage 6 synthesizes the aggregated findings into an overall engagement conclusion (including an explicit judgment on the effectiveness of governance, risk management, and/or control processes for assurance engagements), produces and disseminates a CAE-approved Final Engagement Communication that meets the seven quality attributes of effective communication, corrects any post-issuance errors or omissions, reports engagement conclusions, cross-engagement themes, and macro/overall opinions to the board and senior management, and monitors and confirms the implementation of management's action plans through risk-based follow-up assessments (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 11, Standards 11.2–11.5, pp. 79–85; Domain V, Principle 14, Standards 14.5–14.6, pp. 110–112; Principle 15, Standards 15.1–15.2, pp. 112–115).
- **[REQ]** You know Stage 6 is complete in two milestones: (a) **Engagement Reporting Milestone**: when the Final Engagement Communication is approved by the CAE, issued to appropriate stakeholders, and the engagement workpapers are reviewed, approved by the CAE, and archived (Standards 14.6, 15.1); and (b) **Remediation Closure Milestone**: when all agreed recommendations/action plans have been confirmed as implemented in the tracking system via risk-based follow-up (or any overdue/unimplemented actions constituting unacceptable risk acceptance have been escalated to senior management and the board under Standards 15.2 and 11.5).

2. Understand

- **[REQ]** / **[GUIDE]** The auditor and CAE must understand the aggregate impact of all

individual findings when viewed collectively relative to the engagement objectives and management's business objectives (Standard 14.5, p. 110; Glossary, p. 11), the information needs of different report audiences (operational management vs. senior management vs. the board, Standard 11.2, pp. 79–80; Standard 15.1, p. 114), legal/regulatory restrictions on external report distribution (Standard 11.3, p. 81; Standard 5.2, p. 35), and subsequent evidence submitted by management claiming that corrective actions have been completed (Standard 15.2, pp. 114–115) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

3. Decide

- **[REQ] Engagement Conclusion / Rating**: The **internal auditor** and **engagement supervisor** formulate, and the **CAE** approves, the overall **Engagement Conclusion**: *"Internal auditors must develop an engagement conclusion that summarizes the engagement results relative to the engagement objectives and management's objectives. The engagement conclusion must summarize the internal auditors' professional judgment about the overall significance of the aggregated engagement findings. Assurance engagement conclusions must include the internal auditors' judgment regarding the effectiveness of the governance, risk management, and/or control processes of the activity under review, including an acknowledgment of when processes are effective"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V, Principle 14, Standard 14.5, p. 110). Furthermore, the Glossary (p. 11) specifies: *"The engagement conclusion should indicate satisfactory or unsatisfactory performance."*
- **[REQ] Approval and Distribution of Final Engagement Communication**: The **CAE** (or delegated senior auditor, with the CAE retaining overall responsibility) must review and approve the final engagement communication and decide to whom and how it is disseminated: *"The chief audit executive must review and approve final engagement communications, which include engagement conclusions, and decide to whom and how they will be disseminated before they are issued. If these duties are delegated to other internal auditors, the chief audit executive retains overall responsibility. The chief audit executive must seek the advice of legal counsel and/or senior management as required before releasing final communications to parties outside the organization, unless otherwise required or restricted by laws and/or regulations"* (Domain IV, Principle 11, Standard 11.3, p. 81; see also Standard 15.1, p. 113) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
- **[REQ] Whether a Post-Issuance Error or Omission Is "Significant"**: The **CAE** decides whether an error or omission discovered in an issued report is significant **according to criteria agreed upon with the Board** (*"Significance is determined according to criteria agreed upon with the board"*, Standard 11.4, p. 83).
- **[REQ] Extent of Follow-Up Verification & Whether Delay/Inaction Constitutes Risk Acceptance**: The **internal auditor** and **CAE** decide the depth of follow-up verification based on the finding's significance (*"The extent of these procedures must consider the significance of the finding"*, Standard 15.2, p. 115). When management misses target dates, *"The chief audit executive is responsible for determining whether senior management, by delay or inaction, has accepted a risk that exceeds the risk tolerance"* (Standard 15.2, p. 115) and escalating unresolved risk acceptance to the **Board** (Standard 11.5, p. 84).

4. Do (Concrete Activities in Realistic Sequence & Stage-Specific Depth)

1. **[REQ] / [GUIDE] Formulate the Engagement Conclusion (Micro Opinion) (Stage-Specific Depth)**: Evaluate all engagement findings collectively against the engagement objectives and management's business objectives to reach a professional judgment on whether the activity's governance, risk management, and control processes are effective (Standard 14.5, p. 110; Global Practice Guide: Communicating Results of Internal Audit Services, The IIA, published December 16, 2025, accessed November 5, 2026). [GUIDE] Assign an overall engagement rating if prescribed by the CAE's methodology (e.g., *Satisfactory / Partially Satisfactory / Needs Improvement / Unsatisfactory*, Standard 14.5 Considerations for Implementation, p. 110) and contextualize whether local activity-level findings are significant at the enterprise level.
2. **[REQ] Draft the Final Engagement Communication — Mandatory Content Requirements (Stage-Specific Depth)**:
    - Under **Standard 15.1 Final Engagement Communication** (Domain V, Principle 15, p. 113), the final communication **must** include:
        1. **For all engagements (Assurance and Advisory)**: *"For each engagement, internal auditors must develop a final communication that includes the engagement's objectives, scope, recommendations and/or action plans if applicable, and conclusions"* (p. 113).
        2. **Additional mandatory elements for Assurance Engagements**: *"The final communication for assurance engagements also must include: The findings and their significance and prioritization; An explanation of scope limitations, if any; A conclusion regarding the effectiveness of the governance, risk management, and control processes of the activity reviewed"* (p. 113).
        3. **Action Plan Ownership and Dates**: *"The final communication must specify the individuals responsible for addressing the findings and the planned date by which the actions should be completed"* (p. 113).
        4. **Pre-Report Remediation Acknowledgment**: *"When internal auditors become aware that management has initiated or completed actions to address a finding before the final communication, the actions must be acknowledged in the communication"* (p. 113).
        5. **Seven Quality Attributes**: *"The final communication must be accurate, objective, clear, concise, constructive, complete, and timely, as described in Standard 11.2 Effective Communication"* (p. 113; defined in detail on pp. 79–80).
        6. **Nonconformance Disclosure (if applicable)**: *"If the engagement is not conducted in conformance with the Standards, the final engagement communication must disclose the following details about the nonconformance: Standard(s) with which conformance was not achieved; Reason(s) for nonconformance; Impact of nonconformance on the engagement findings and conclusions"* (p. 113; see also Standard 4.1, p. 30).
        7. **Citation of Other Authoritative Standards (if applicable)**: Under Standard 4.1 (p. 30), *"If the Standards are used in conjunction with requirements issued by other authoritative bodies, internal audit communications must also cite the use of the other requirements, as appropriate"* (e.g., GAO Yellow Book, PCAOB, ISO).

    - **[GUIDE]** Optional/recommended report components under Standard 15.1 Considerations for Implementation (pp. 113–114) include: a statement of conformance with the *Global Internal Audit Standards* (permissible **only** if supported by engagement supervision and the QAIP), Title, Background synopsis, Recognition of positive performance/good practices (also encouraged in Standard 11.3, p. 82), and Distribution List (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
3. **[REQ] Complete Final Supervisory Review, CAE Approval, Workpaper Lock, and Distribution (Stage-Specific Depth)**: Verify that all workpapers are reviewed by the engagement supervisor and approved by the CAE (Standard 14.6, p. 111), ensure the final communication is reviewed and approved by the CAE before issuance (Standard 15.1, p. 113), and disseminate the final communication to parties who can ensure results are given due consideration (operational management, senior management, and the board/audit committee as appropriate; consulting legal counsel/senior management before any external release unless required by law) (Standard 11.3, p. 81; Standard 15.1, p. 113).
4. **[REQ] Handle Post-Issuance Errors and Omissions (Stage-Specific Depth)**: If a significant error or omission (or a post-engagement objectivity/independence impairment affecting reliability under Standard 2.3, p. 24, or Standard 7.1, p. 49) is discovered after the final communication is issued, apply **Standard 11.4** (Domain IV, Principle 11, p. 83): *"If a final engagement communication contains a significant error or omission, the chief audit executive must communicate corrected information promptly to all parties who received the original communication. Significance is determined according to criteria agreed upon with the board."* [GUIDE] Identify the root cause of the audit error and take corrective action in the QAIP to prevent recurrence (Standard 11.4, p. 83).
5. **[REQ] Monitor and Confirm Implementation of Recommendations / Action Plans (Stage-Specific Depth)**:
    - Under **Standard 15.2 Confirming the Implementation of Recommendations or Action Plans** (Domain V, Principle 15, pp. 114–115), *"Internal auditors must confirm that management has implemented internal auditors' recommendations or management's action plans following an established methodology, which includes: Inquiring about progress on the implementation; Performing follow-up assessments using a risk-based approach; Updating the status of management's actions in a tracking system. The extent of these procedures must consider the significance of the finding"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
    - [GUIDE] / [PRACTICE] In practice (e.g., in Optro/AuditBoard, TeamMate+, and Workiva), automated email reminders prompt action owners ahead of target dates to upload remediation evidence; for Low-risk findings, auditor inquiry and inspection of uploaded documentation may suffice, whereas for High/Critical findings (and all regulatory Matters Requiring Attention in banking), auditors perform a formal **follow-up assessment / re-testing** of a new transaction sample to verify that the new control is operating effectively before closing the issue (Standard 15.2, p. 115; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026). If management implements an alternative action plan that internal audit agrees is satisfactory, track the alternative plan to completion (Standard 15.2 Considerations for Implementation, p. 115).
6. **[REQ] Address Overdue Actions and Escalate Unresolved Risk Acceptance by**

Delay/Inaction (Stage-Specific Depth): Under Standard 15.2 (p. 115), *"If management has not progressed in implementing the actions according to the established completion dates, internal auditors must obtain and document an explanation from management and discuss the issue with the chief audit executive. The chief audit executive is responsible for determining whether senior management, by delay or inaction, has accepted a risk that exceeds the risk tolerance."* If so, trigger **Standard 11.5** (p. 84): discuss with senior management and, if unresolved, escalate to the board (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

7. **[REQ] Communicate Thematic Insights and Business-Unit / Overall Organizational Conclusions (Macro Opinions) (Stage-Specific Depth)**:
    - **Themes ([REQ] Standard 11.3, p. 81)**: *"When the chief audit executive identifies themes related to the organization's governance, risk management, and control processes, the themes must be communicated timely, along with insights, advice, and/or conclusions, to the board and senior management."* ([PRACTICE] In Gartner's 2026 survey, 67% of CAEs cited providing more thematic reporting on risk and control issues to the audit committee as a top priority, though only 41% felt highly confident in their ability to do so; New Study Identifies the Top Internal Audit Priorities for 2026, Internal Audit 360, published January 28, 2026, accessed November 5, 2026.)
    - **Conclusions at the Level of the Business Unit or Organization (Macro / Overall Opinions) ([REQ] Standard 11.3, p. 81)**: When required by industry regulation (e.g., banking supervisors or UK public sector annual Head of Internal Audit opinions), law, or board/stakeholder expectations, the CAE issues an overall conclusion based on multiple engagements. Standard 11.3 mandates: *"Such a conclusion reflects the professional judgment of the chief audit executive based on multiple engagements and must be supported by relevant, reliable, and sufficient information. When communicating such a conclusion to the board or senior management, the chief audit executive must include: A summary of the request; The criteria used as a basis for the conclusion, for example a governance framework or risk and control framework; The scope, including limitations and the period to which the conclusion pertains; A summary of the information that supports the conclusion; A disclosure of reliance on the work of other assurance providers, if any"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain IV, Principle 11, Standard 11.3, p. 81; Global Practice Guide: Communicating Results of Internal Audit Services, The IIA, published December 16, 2025, accessed November 5, 2026).

5. Communicate

- **[REQ] With Operational Management, Senior Management, and the Board**: Issue the CAE-approved Final Engagement Communication (Standard 15.1, p. 113; Standard 11.3, pp. 80–81); communicate corrected information promptly to all original recipients if a significant error/omission is discovered (Standard 11.4, p. 83); communicate periodic follow-up tracking status, cross-engagement themes, and any overall organizational conclusions to the board and senior management (Standard 8.1, p. 52; Standard 11.3, pp. 80–81; Standard 15.2, pp. 114–115); escalate unresolved overdue actions that exceed risk tolerance to the board (Standard 11.5, p. 84; Standard 15.2, p. 115).
- **[REQ] With Legal Counsel / Senior Management (Prior to External Release)**: Seek

advice of legal counsel and/or senior management before releasing final communications outside the organization, unless required or restricted by law (Standard 11.3, p. 81).

6. Inputs and Outputs (Artefacts Consumed and Produced)

- **[GUIDE] Consumed Inputs**: Validated Finding / Observation records and agreed Management Action Plans from Stage 5; reviewed and completed Engagement Workpapers from Stage 4; subsequent remediation evidence submitted by action owners during follow-up.
- **[REQ]** / **[GUIDE] Produced Artefacts**:
    1. **Engagement Conclusion Workpaper ([REQ] Standard 14.5, p. 110)**: Summarizes the aggregation of findings relative to engagement and business objectives and documents the rationale for the overall conclusion (satisfactory vs. unsatisfactory) on governance, risk management, and control effectiveness. Prepared by lead auditor/supervisor, **approved by the CAE**.
    2. **Final Engagement Communication (Audit Report / Executive Deck / Memo) ([REQ] Standard 15.1, p. 113)**: Contains objectives, scope, scope limitations (if any), overall conclusion on effectiveness, prioritized findings (with criteria, condition, root cause, effect, rating), recommendations/action plans with named individual owners and completion dates, acknowledgment of any pre-issuance remediation, and nonconformance disclosures (if any). **Must be reviewed and approved by the CAE before issuance**.
    3. **Error / Omission Correction Notice (if applicable) ([REQ] Standard 11.4, p. 83)**: Amended report or errata memo sent to all recipients of the original report, plus internal root-cause documentation. **Approved by the CAE**.
    4. **Action Plan Tracking System / Issue Log & Follow-Up Assessment Workpapers ([REQ] Standard 15.2, pp. 114–115)**: Central database or spreadsheet recording every finding, action plan, owner, target date, current status (Open, In Progress, Past Due, Ready for Audit Verification, Closed/Verified, Risk Accepted), explanation for any delays, and risk-based follow-up testing workpapers. Updated by auditors, **reviewed by Engagement Supervisor / CAE**.
    5. **Periodic Board Activity Report, Thematic Analysis, & Macro/Overall Conclusion Report ([REQ] Standard 8.1, p. 52; Standard 11.3, pp. 80–82)**: Summary of engagement conclusions, systemic root-cause themes across audits, open/overdue issue aging dashboards, and (where requested/mandated) the five-element overall organizational conclusion. **Prepared and presented by the CAE to Senior Management and the Board**.

7. Evidence and Documentation

- **[REQ]** Internal auditors must document the basis for the overall engagement conclusion (Standard 14.5, p. 110), CAE review and approval of both the engagement documentation (Standard 14.6, p. 111) and the final engagement communication prior to issuance (Standard 15.1, p. 113), the distribution list (Standard 11.3, p. 81; Standard 15.1, p. 114), the routinely updated action plan tracking system, documented explanations from management for overdue actions, and follow-up verification workpapers (Standard 15.2, pp. 114–115) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

8. What Varies

- **[REQ] Foundation-Fixed**: Developing an engagement conclusion (including an effectiveness judgment and acknowledgment when effective for assurance engagements); including all mandatory elements in the final communication (objectives, scope, scope limitations, findings with significance/prioritization, recommendations/action plans with responsible individuals and target dates, conclusions, pre-report remediation acknowledgment, nonconformance disclosures); CAE review and approval before issuance; seven communication quality attributes; tracking and confirming implementation via risk-based follow-up; obtaining explanations for overdue actions and evaluating whether delay constitutes unacceptable risk acceptance; five mandatory disclosures when issuing an overall organizational conclusion (Standards 11.2–11.5, 14.5–14.6, 15.1–15.2).
- **[PRACTICE] Methodology Choices (Layer 2)**: Report format (long-form narrative Word/PDF report vs. 1-page executive dashboard vs. PowerPoint slide deck; multiple tailored versions for operational management vs. audit committee, Standard 15.1, pp. 113–114); overall engagement rating scale (e.g., 4-tier *Satisfactory / Partially Satisfactory / Needs Improvement / Unsatisfactory* vs. 3-tier *Effective / Some Improvement Needed / Ineffective* vs. narrative conclusion without a label, Standard 14.5, p. 110); whether an overall annual macro opinion is issued voluntarily or only when mandated ([LOCAL] mandatory in UK Public Sector under GIAS Application Note and in several banking jurisdictions; optional in US corporate practice unless requested by the board, Standard 11.3, p. 81); and follow-up re-testing thresholds (e.g., mandatory independent re-testing for all High/Medium findings vs. High-only) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Government Functional Standard GovS 009: Internal Audit, UK Cabinet Office / HM Treasury, updated February 4, 2026, accessed November 5, 2026).

9. Common Failure Modes

- **[GUIDE] / [PRACTICE] Missing Explicit Effectiveness Conclusion or Omitting Positive Assurance**: Issuing an assurance report that merely lists findings (or states "No findings were noted") without stating a clear engagement conclusion regarding the effectiveness of the activity's governance, risk management, and control processes—violating the explicit 2024 requirement in Standard 14.2 (p. 106), Standard 14.5 (p. 110), and Standard 15.1 (p. 113).
- **[GUIDE] / [PRACTICE] Unjustified Claim of Conformance with the Standards**: Including the boilerplate statement *"Conducted in conformance with the Global Internal Audit Standards"* when the function has not completed an External Quality Assessment within the past 5 years or has material QAIP deficiencies (violating Standard 1.3, p. 20, and Standard 15.1 Considerations for Implementation, p. 113).
- **[GUIDE] / [PRACTICE] "Close-on-Management-Say-So" Without Risk-Based Follow-Up Verification**: Marking high-risk findings as "Closed" in the tracking system based solely on an email from management claiming the action is done, without performing risk-based follow-up verification or obtaining documented explanations for overdue items and evaluating implicit risk acceptance through delay/inaction under Standard 15.2 (pp. 114–115).

Table 3.6: Stage 6 Element Classification and Variability Matrix

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
Engagement Conclusion (Summarizing aggregate significance & effectiveness of GRC processes, including when effective)	Foundation / Methodology	[REQ] / [GUIDE]	Mandatory to include effectiveness judgment ([REQ] Standard 14.5, p. 110) and indicate satisfactory/unsatisfactory performance ([REQ] Glossary, p. 11); specific rating scale (e.g., 3-tier vs. 4-tier) varies by methodology ([GUIDE]).	Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Glossary, p. 11; Domain V, Standard 14.5, p. 110)
Final Engagement Communication Mandatory Contents & CAE Pre-Issuance Approval	Foundation	[REQ]	Fixed requirement (objectives, scope, scope limitations, prioritized findings, recommendations/ action plans with responsible individuals & dates, conclusion, pre-report fixes, nonconformance).	Global Internal Audit Standards (Domain V, Principle 15, Standard 15.1, p. 113; Domain IV, Standard 11.3, p. 81)
Report Format, Style Guide, & Audience Customization (e.g., slides vs. memo vs. full report; AI drafting by 60% of teams)	Methodology / Context	[GUIDE] / [PRACTICE]	Varies by methodology and audience expectations; 60% of teams use GenAI to assist drafting issues/reports in 2026.	Global Internal Audit Standards (Standard 11.2, pp. 79–80; Standard 15.1, pp. 113–114); Gartner Survey (Gartner, Aug 11, 2026, acc. Nov 5, 2026)
Correcting Significant Errors and Omissions to All Original Recipients	Foundation / Methodology	[REQ]	Mandatory to communicate promptly to all original recipients ([REQ]); criteria for	Global Internal Audit Standards (Domain IV, Principle 11, Standard 11.4, p.

Element	Layer (Foundation / Methodology / Context)	Classification	Varies how?	Source
			"significance" are agreed with the Board ([REQ]).	83)
Tracking System, Risk-Based Follow-Up Assessments, & Evaluating Delay/Inaction as Risk Acceptance	Foundation / Methodology	[REQ]	Inquiry, risk-based follow-up, tracking system updates, and CAE evaluation of overdue delay as risk acceptance are fixed [REQ]; re-testing thresholds by rating tier vary by methodology.	Global Internal Audit Standards (Domain V, Principle 15, Standard 15.2, pp. 114–115; Domain IV, Standard 11.5, p. 84)
Cross-Engagement Themes & Macro / Organization-Level Conclusions (Opinions)	Foundation / Context	[REQ] / [LOCAL]	Communicating identified themes is fixed [REQ]; issuing an overall organizational conclusion is conditional on stakeholder request or [LOCAL] mandate (e.g., UK Public Sector GovS 009), with 5 fixed content elements when issued ([REQ]).	Global Internal Audit Standards (Domain IV, Principle 11, Standard 11.3, pp. 80–82); GovS 009 (UK GOV.UK, Feb 4, 2026, acc. Nov 5, 2026)

4. Cross-Cutting Themes Across All Six Stages (Part B)

4.1 Supervision

- **[REQ] What is Mandatory**: Under **Standard 12.3 Oversee and Improve Engagement Performance** (Domain IV, Principle 12, p. 90) and **Standard 14.6 Engagement Documentation** (Domain V, Principle 14, p. 111):
    - *"The chief audit executive must establish and implement methodologies for engagement supervision, quality assurance, and the development of competencies. The chief audit executive or an engagement supervisor must provide internal auditors with guidance throughout the engagement, verify work programs are*

complete, and confirm engagement workpapers adequately support findings, conclusions, and recommendations. To assure quality, the chief audit executive must verify whether engagements are performed in conformance with the Standards and the internal audit function's methodologies. To develop competencies, the chief audit executive must provide internal auditors with feedback about their performance and opportunities for improvement. The extent of supervision required depends on the maturity of the internal audit function, the proficiency and experience of internal auditors, and the complexity of engagements... The chief audit executive must ensure that evidence of supervision is documented and retained, according to the internal audit function's established methodologies" (Standard 12.3, p. 90).
    - *"Internal auditors and the engagement supervisor must review the engagement documentation for accuracy, relevance, and completeness. The chief audit executive must review and approve the engagement documentation"* (Standard 14.6, p. 111) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
- **How Supervision Shows Up at Every Stage**:
    - **Stage 1**: The CAE oversees the organizationwide risk assessment, evaluates staff competencies and training needs (Standard 10.2, p. 73), and establishes the supervisory methodology and professional judgment dispute-resolution process (Standard 9.3, p. 65; Standard 12.3, pp. 90–91).
    - **Stage 2**: The engagement supervisor (or CAE) consults with auditors on the engagement risk assessment (Standard 13.2, p. 96), reviews walkthroughs and criteria adequacy, and **must approve** the engagement objectives and scope and any subsequent changes (Standard 13.3, p. 98; Standard 12.3, p. 90).
    - **Stage 3**: The supervisor assesses and assigns engagement resources based on staff skill assessments (Standard 12.3, p. 90; Standard 13.5, p. 102), screens for objectivity impairments (Standard 2.2, p. 23), and **must review and approve** the Engagement Work Program before implementation and promptly upon any changes (Standard 13.6, p. 103; Standard 12.3, p. 90).
    - **Stage 4**: The supervisor maintains ongoing communication with the team, coaches staff on ethical or skepticism dilemmas (Standard 1.1, p. 17), reviews workpapers for relevance, reliability, sufficiency, accuracy, and completeness, issues review/coaching notes, verifies all work program tasks are completed, and approves any work program adjustments (Standard 12.3, pp. 90–91; Standard 14.2, p. 106; Standard 14.6, p. 111).
    - **Stage 5**: The supervisor reviews finding evaluations, root-cause analyses, priority ratings, and proposed recommendations/action plans, participates in closing discussions with management as needed, and resolves any internal professional judgment differences between auditors and supervisors (Standard 12.3, p. 91; Standards 14.3–14.4, pp. 107–110).
    - **Stage 6**: The supervisor and **CAE** review and approve the engagement conclusion, final engagement communication prior to issuance, and final engagement documentation archive, conduct post-engagement staff feedback/performance debriefs, and oversee follow-up verification and escalation of overdue actions (Standard 11.3, p. 81; Standard 12.3, pp. 90–91; Standard 14.6, p. 111; Standards 15.1–15.2, pp. 113–115).
- **[GUIDE]** / **[PRACTICE] What Typically Varies**: Delegation hierarchy (whether the CAE

supervises directly in a small shop or delegates to Audit Managers/Directors); whether supervisory review notes are cleared/deleted from final workpapers once resolved or archived in a permanent coaching-note log (Standard 12.3, p. 91); and use of automated QA checklists or Business Rules Engines (such as in TeamMate+) when small internal audit functions have only 1–2 staff members (Fundamentals, p. 9; Standard 12.1, p. 87; Standard 12.3, p. 91).

- **[GUIDE] Evidence a Quality Reviewer Expects to See**: Time-stamped electronic or manual sign-offs/initials on the Planning Memo, Work Program (dated **prior** to fieldwork testing dates), individual testing workpapers, and Final Report; completed supervisory review checklists; coaching/review notes or resolution logs; and post-engagement staff performance feedback records (Standard 12.1, p. 88; Standard 12.3, p. 91; Quality Assessment Manual, 2024 Edition, The IIA, published 2024, accessed November 5, 2026).

4.2 Professional Judgment and Professional Skepticism

- **[REQ] What is Mandatory**: Under **Standard 4.2 Due Professional Care** (Domain II, Principle 4, p. 31) and **Standard 4.3 Professional Skepticism** (p. 33):
  - *"Internal auditors must exercise due professional care by assessing the nature, circumstances, and requirements of the services to be provided, including: The organization's strategy and objectives; The interests of those for whom internal audit services are provided and the interests of other stakeholders; Adequacy and effectiveness of governance, risk management, and control processes; Cost relative to potential benefits of the internal audit services to be performed; Extent and timeliness of work needed to achieve the engagement's objectives; Relative complexity, materiality, or significance of risks to the activity under review; Probability of significant errors, fraud, noncompliance, and other risks that might affect objectives, operations, or resources; Use of appropriate techniques, tools, and technology"* (Standard 4.2, p. 31).
  - *"Internal auditors must exercise professional skepticism when planning and performing internal audit services. To exercise professional skepticism, internal auditors must: Maintain an attitude that includes inquisitiveness; Critically assess the reliability of information; Be straightforward and honest when raising concerns and asking questions about inconsistent information; Seek additional evidence to make a judgment about information and statements that might be incomplete, inconsistent, false, or misleading"* (Standard 4.3, p. 33) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
- **How Professional Judgment and Skepticism Show Up at Every Stage**:
  - **Stage 1**: Judging the maturity of the organization's ERM and governance processes (Standard 9.1, p. 62), challenging management's risk ratings rather than accepting them uncritically (Standard 9.4, p. 67), and judging whether other assurance providers' work is sufficiently objective and rigorous to rely upon (Standard 9.5, pp. 70–71).
  - **Stage 2**: Critically assessing management's process descriptions during walkthroughs, probing for fraud and override vulnerabilities (Standard 13.2, pp. 95–97), and judging whether management's evaluation criteria are adequate or self-serving (Standard 13.4, pp. 100–101).
  - **Stage 3**: Weighing the cost vs. benefit of testing controls whose design is weak

(Standard 4.2, p. 32), selecting test procedures that do not rely solely on uncorroborated inquiry, and determining appropriate sample sizes/analytics parameters (Standard 13.6, p. 103; Standard 14.1, p. 105).
    - **Stage 4**: Questioning the authenticity, completeness, and provenance of system extracts and management explanations; corroborating claims across independent sources; and deciding when anomalies or exceptions require expanding testing (Standard 4.3, p. 33; Standards 14.1–14.2, pp. 104–107).
    - **Stage 5**: Judging the significance of findings in context (likelihood, impact, compensating controls, residual risk) (Glossary "significance", p. 13; Standard 14.3, pp. 107–108), probing beneath superficial explanations to find true root causes, and evaluating whether management's proposed action plans are feasible and actually mitigate the risk to within risk tolerance (Standard 14.4, p. 109).
    - **Stage 6**: Forming the holistic professional judgment required for the **Engagement Conclusion** (Standard 14.5, p. 110) and any **Organization-Level Conclusion** (Standard 11.3, p. 81), and judging whether management delay/inaction on overdue action plans amounts to unacceptable risk acceptance (Standard 11.5, p. 85; Standard 15.2, p. 115).
- **[GUIDE]** / **[PRACTICE] What Typically Varies**: How structured or quantitative the judgment aids are (e.g., whether materiality/significance thresholds are defined by strict dollar/percentage formulas or qualitative rubrics; formal methodology for resolving professional judgment differences between staff and supervisors under Standard 12.3, p. 91).
- **[GUIDE] Evidence a Quality Reviewer Expects to See**: Documented rationale in workpapers for risk prioritization, criteria adequacy, cost-benefit scope decisions, evidence reliability/sufficiency evaluations, corroborated testing beyond mere inquiry, documented materiality/significance assessments, and records of professional skepticism training (Standard 4.2, p. 32; Standard 4.3, p. 33; Standard 14.1, p. 105; Standard 14.3, pp. 108–109).

4.3 Documentation

- **[REQ] What is Mandatory**: Under **Standard 14.6 Engagement Documentation** (Domain V, Principle 14, p. 111), **Standard 5.2 Protection of Information** (Domain II, Principle 5, p. 35), **Standard 4.1 Conformance** (p. 29), and **Standard 9.3 Methodologies** (p. 65):
    - *"Internal auditors must document information and evidence to support the engagement results. The analyses, evaluations, and supporting information relevant to an engagement must be documented such that an informed, prudent internal auditor, or similarly informed and competent person, could repeat the work and derive the same engagement results. Internal auditors and the engagement supervisor must review the engagement documentation for accuracy, relevance, and completeness. The chief audit executive must review and approve the engagement documentation. Internal auditors must retain engagement documentation according to relevant laws and/or regulations as well as policies and procedures of the internal audit function and the organization"* (Standard 14.6, p. 111).
    - Internal auditors must also follow custody, retention, disposal, access restriction, and external release rules to protect confidential information (Standard 5.2, p. 35)

(Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

- **How Documentation Shows Up at Every Stage**:
  - **Stage 1**: Documenting the internal audit charter (Standard 6.2, p. 42), strategy (Standard 9.2, p. 63), methodologies (Standard 9.3, p. 65), organizationwide risk assessment and audit plan (Standard 9.4, p. 66), basis for reliance on other assurance providers (Standard 9.5, p. 69), and board meeting minutes approving the charter, plan, and budget.
  - **Stage 2**: Documenting entrance meeting notes (Standard 13.1, p. 94), process walkthroughs/narratives, the engagement risk assessment and fraud risk consideration (Standard 13.2, pp. 95–97), evaluation criteria assessment (Standard 13.4, pp. 100–101), and the CAE-approved engagement objectives and scope (Standard 13.3, p. 98).
  - **Stage 3**: Documenting resource analyses (Standard 13.5, p. 102), objectivity disclosures (Standard 2.2, p. 24), control design evaluations, sampling plans, and the CAE-approved Engagement Work Program (Standard 13.6, pp. 103–104).
  - **Stage 4**: Documenting all test workpapers (source, date, period, population, sample method/size, procedures, tick-marks, results, sufficiency rationale), supervisory review notes/sign-offs, and approved work program amendments (Standard 12.3, p. 90; Standards 14.1–14.2, pp. 105–107; Standard 14.6, pp. 111–112).
  - **Stage 5**: Documenting finding evaluations (criteria, condition, root cause, effect, significance/priority), management discussions, agreed action plans, and any disagreement positions or risk acceptance escalations (Standard 11.5, p. 85; Standards 14.3–14.4, pp. 108–110).
  - **Stage 6**: Documenting the engagement conclusion basis (Standard 14.5, p. 110), CAE approval of final report and workpaper archive (Standard 14.6, p. 111; Standard 15.1, p. 113), error/omission corrections (Standard 11.4, p. 83), and the action-plan tracking system and follow-up verification workpapers (Standard 15.2, pp. 114–115).
- **[GUIDE] / [PRACTICE] What Typically Varies**: Tooling (dedicated audit software like TeamMate+, Optro, or Workiva vs. SharePoint/Excel/Word templates; 84% of audit functions have adopted audit management software as of 2026 per *Internal Audit 360* reporting; New Study Identifies the Top Internal Audit Priorities for 2026, Internal Audit 360, published January 28, 2026, accessed November 5, 2026); retention period (typically 5–7 years, or aligned with the 5-year EQA cycle and statutory record-retention rules per IIA FAQ; Frequently Asked Questions, The IIA, accessed November 5, 2026); and workpaper lock-down window after report issuance (e.g., 14, 30, or 60 days).
- **[GUIDE] Evidence a Quality Reviewer Expects to See**: Complete, cross-referenced engagement files containing all eight elements listed in Standard 14.6 Considerations for Implementation (p. 111) and the nine workpaper format attributes (p. 112), access-control logs and retention policies (Standard 5.2, p. 36), and internal QA review checklists confirming workpaper completeness (Standard 12.1, p. 88; Standard 14.6, p. 112).

4.4 Communication

- **[REQ] What is Mandatory**: Governed by **Principle 11 Communicate Effectively (Standards 11.1–11.5, pp. 77–85)**, **Standard 8.1 Board Interaction (p. 52)**, **Standard 13.1 Engagement Communication (p. 93)**, and **Principle 15 (Standards 15.1–15.2, pp.**

112–115):
    - *"The chief audit executive must develop an approach for the internal audit function to build relationships and trust with key stakeholders... [and] promote formal and informal communication"* (Standard 11.1, p. 77).
    - *"The chief audit executive must establish and implement methodologies to promote accurate, objective, clear, concise, constructive, complete, and timely internal audit communications"* (Standard 11.2, p. 79).
    - *"Internal auditors must communicate effectively throughout the engagement. Internal auditors must communicate the objectives, scope, and timing of the engagement with management. Subsequent changes must be communicated with management timely"* (Standard 13.1, p. 93) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
- **How Communication Shows Up at Every Stage**:
    - **Stage 1**: CAE discussions with the board and senior management on essential conditions (Domain III Intro, p. 37), mandate/charter (Standards 6.1–6.2), annual independence confirmation (Standard 7.1), strategy (Standard 9.2), risk assessment, audit plan, resource/technology limitations, and budget (Standards 8.1–8.2, 9.4, 10.1–10.3), plus private executive sessions with the board without management present (Standard 6.3, p. 44; Standard 7.1, p. 46) and coordination discussions with other assurance providers (Standard 9.5, p. 69).
    - **Stage 2**: Engagement announcement, entrance conference, communicating objectives, scope, and timing to management (Standard 13.1, pp. 93–94), discussing evaluation criteria with management/board (Standard 13.4, pp. 100–101), and discussing/escalating scope limitations (Standard 13.3, p. 98).
    - **Stage 3**: Communicating Information Request Lists (PBC lists) to management (Standard 13.1, p. 94), escalating resource shortfalls to the CAE (Standard 13.5, p. 101), and co-developing work programs with advisory clients (Standard 13.6, p. 103).
    - **Stage 4**: Ongoing fieldwork progress updates to management, immediate communication of urgent governance/risk/control failures, timely communication of any scope/objective/timing changes (Standard 13.1, pp. 93–94), ongoing supervisory communication (Standard 12.3, p. 91), and reporting suspected illegal/unethical acts (Standards 1.2–1.3, pp. 18–19).
    - **Stage 5**: Collaborative discussions with management to identify root causes and evaluate effects/significance (Standard 14.3, p. 107), discussing recommendations and action plans (Standard 14.4, p. 109), holding the exit conference / closing communication to resolve disagreements (Standard 13.1, pp. 93–95), and escalating unacceptable risk acceptance to senior management and the board (Standard 11.5, p. 84).
    - **Stage 6**: Issuing the CAE-approved Final Engagement Communication (Standard 15.1, p. 113), communicating engagement conclusions, cross-engagement themes, and macro conclusions to the board and senior management (Standard 11.3, pp. 80–82), issuing prompt corrections for significant errors/omissions (Standard 11.4, p. 83), and communicating follow-up progress and QAIP results (Standards 8.3, 12.1, 15.2).
- **[GUIDE]** / **[PRACTICE] What Typically Varies**: Communication channels and cadence (quarterly vs. monthly board reporting; formal written reports vs. slide presentations; style guides and tone rules; public disclosure of audit reports in the public sector under

sunshine laws, p. 117).
- **[GUIDE] Evidence a Quality Reviewer Expects to See**: Stakeholder relationship plans (Standard 11.1, p. 78); communication style guides and templates (Standard 11.2, p. 80); emails/memos/minutes of entrance, ongoing, and exit meetings (Standard 13.1, p. 95); final reports and board presentation decks/minutes (Standard 8.1, p. 54; Standard 11.3, p. 82; Standard 15.1, p. 114); and post-engagement stakeholder satisfaction survey results evaluating communication clarity, constructiveness, and timeliness (Standard 11.2, p. 80; Standard 12.2, p. 89).

4.5 Independence and Objectivity

- **[REQ] What is Mandatory**: Governed by **Principle 2 Maintain Objectivity (Standards 2.1–2.3, pp. 20–25)** and **Principle 7 Positioned Independently (Standard 7.1, pp. 45–49)**:
  - **Organizational Independence (Function-Level)**: Freedom from conditions that impair the internal audit function's ability to carry out responsibilities in an unbiased manner (Glossary, p. 12; Principle 7, p. 45). The CAE must report functionally to the board, confirm organizational independence to the board **at least annually**, document reporting lines and safeguards for any non-audit roles in the charter, use an independent third party to audit any area under the CAE's ongoing or temporary responsibility (including for the **subsequent 12 months** after temporary responsibilities end, with a transition plan to management), and document governing structure limits if applicable (Standard 7.1, p. 46).
  - **Individual Objectivity (Auditor-Level)**: An unbiased mental attitude allowing internal auditors to make professional judgments without compromise or subordination of judgment (Glossary, p. 12; Standard 2.1, pp. 20–21). Internal auditors must maintain professional objectivity in all aspects of services, manage cognitive biases (self-review, familiarity, unconscious bias), refuse gifts/rewards/favors that may impair or be presumed to impair objectivity, avoid conflicts of interest, refrain from providing assurance over any activity for which they had responsibility within the **previous 12 months**, disclose potential impairments before accepting advisory services for areas of prior responsibility, and promptly disclose any impairment in fact or appearance to the CAE/supervisor (or to the board if the CAE is impaired) (Standards 2.1–2.3, pp. 20–24) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
- **How Independence and Objectivity Show Up at Every Stage**:
  - **Stage 1**: Positioning the CAE with direct functional accountability to the board (and administrative reporting ideally to the CEO, Standard 7.1, p. 47); board approval of CAE appointment, removal, performance evaluation input, and remuneration (Standard 7.1 Essential Conditions, p. 46); annual independence confirmation to the board; designing staff remuneration/bonus plans so they are **not** tied to the number of findings, cost savings/job eliminations imposed on auditees, or auditee survey scores alone (Standard 2.2 Considerations for Implementation, p. 23); and ensuring freedom from management interference in setting the audit plan and budget (Standard 7.1, pp. 47–48).
  - **Stage 2**: Determining assurance engagement objectives and scope independently without bowing to management pressure to exclude high-risk areas, and escalating any management-imposed scope or access restrictions to the board (Standard 7.1,

p. 48; Standard 13.3, p. 98).
    - **Stage 3**: Screening every assigned auditor (including rotational staff, guest auditors, and co-sourced contractors) for personal/financial conflicts of interest and enforcing the 12-month cooling-off rule for prior operational responsibility and prior advisory services before finalizing engagement staffing (Standard 2.2, pp. 22–24; Standard 10.2, pp. 74–75; Standard 13.5, p. 101).
    - **Stage 4**: Gathering and evaluating evidence with an impartial, unbiased mindset (avoiding familiarity and self-review bias), resisting management interference with data or personnel access, and using supervisory review to detect and counter individual auditor bias (Standard 2.1, p. 21; Standard 2.2, p. 24; Standard 7.1, pp. 47–48).
    - **Stage 5**: Writing balanced, factual findings free from biased language (Standard 11.2, p. 79) and exercising professional courage to refuse management pressure to suppress, minimize, or alter valid findings or ratings (Standard 1.1, p. 17; Standard 1.3, p. 19; Standard 7.1, p. 48; Standard 13.1, p. 93).
    - **Stage 6**: Disseminating uncompromised conclusions and reports to the board and senior management; refraining from taking on management responsibility by resolving risks on management's behalf ([REQ] Standard 11.5, p. 84: *"It is not the responsibility of the chief audit executive to resolve the risk"*); and if an impairment to objectivity or independence is discovered **after** an engagement is completed that affects reliability or perceived reliability, discussing the concern with management of the activity, senior management, the board, and affected stakeholders to resolve the situation (Standard 2.3, p. 24; Standard 7.1, p. 49; Standard 11.4, p. 83).
- **[GUIDE]** / **[PRACTICE] What Typically Varies**: Exact monetary cap on permissible nominal promotional items/hospitality (often $0 in public sector/banking or 25–50 in corporate policies, where the CAE policy may be stricter than corporate policy, Standard 2.2, p. 23); length of cooling-off period beyond the 12-month floor (e.g., 18 or 24 months in some banks); and frequency of staff rotation across business units to prevent familiarity bias (Standard 11.1, p. 78).
- **[GUIDE] Evidence a Quality Reviewer Expects to See**: Internal audit charter and org chart showing functional reporting to the board and administrative reporting to the CEO (Standard 7.1, p. 49); board minutes showing annual independence confirmation, CAE appointment/compensation input, and private executive sessions (Standard 6.3, p. 45; Standard 7.1, p. 49); signed annual and per-engagement conflict-of-interest/objectivity attestation forms (Standard 2.1, p. 21; Standard 2.2, p. 24); internal audit remuneration plan (Standard 2.2, p. 24); and third-party assurance reports for any non-audit functions overseen by the CAE (Standard 7.1, p. 49).

5. Advisory Versus Assurance Engagements Across the Six Stages (Part C)

5.1 Foundational Distinction in the 2024 Standards

- **[REQ]** The Glossary (pp. 10–11) and **Domain V Introduction (p. 92)** define and contrast the two service types:
    - **Assurance Services ([REQ] Glossary, p. 10; Domain V Intro, p. 92)**: *"Services*

through which internal auditors perform objective assessments to provide assurance [a statement intended to increase the level of stakeholders' confidence about an organization's governance, risk management, and control processes over an issue, condition, subject matter, or activity under review when compared to established criteria]. Examples of assurance services include compliance, financial, operational/performance, and technology engagements. Internal auditors may provide limited or reasonable assurance, depending on the nature, timing, and extent of procedures performed."

- **Advisory Services (also known as "Consulting Services") ([REQ] Glossary, p. 10; Domain V Intro, p. 92)**: *"Services through which internal auditors provide advice to an organization's stakeholders without providing assurance or taking on management responsibilities. The nature and scope of advisory services are subject to agreement with relevant stakeholders. Examples include advising on the design and implementation of new policies, processes, systems, and products; providing forensic services; providing training; and facilitating discussions about risks and controls."*
- **Universal Applicability Rule with Explicit Carve-Outs ([REQ] Domain V Intro, p. 92)**: *"Internal auditors are expected to apply and conform with the Standards when performing engagements, whether they are providing assurance or advice, except when otherwise specified in individual standards"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Domain V Intro, p. 92).

5.2 Stage-by-Stage Comparison: Assurance vs. Advisory Engagements

Stage & Dimension	Assurance Engagements	Advisory (Consulting) Engagements	Classification & Citation
Stage 1: Deciding What to Audit (Plan & Independence)	Selected primarily by the CAE based on the organizationwide risk assessment ([REQ] Standard 9.4, p. 66). Auditors **must refrain** from assuring activities they managed in the prior 12 months ([REQ] Standard 2.2, p. 22). Topical Requirements are **mandatory** ([TOPICAL]).	Initiated by internal auditors or requested by the board, senior management, or operational management ([GUIDE] Domain V Intro, p. 92). CAE must establish methodology for balancing assurance vs. advisory ([GUIDE] Standard 9.3, p. 65) and report to the board any requests to replace planned assurance engagements with advisory work ([REQ] Standard 9.4, p. 67). Prior responsibility	[REQ] / [GUIDE] / [TOPICAL] Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Standard 2.2, p. 22; Standard 9.3, p. 65; Standard 9.4, pp. 66–68; Domain V Intro, p. 92); Topical Requirements (The IIA, 2025–2026, acc. Nov 5, 2026)

Stage & Dimension	Assurance Engagements	Advisory (Consulting) Engagements	Classification & Citation
		within 12 months does **not** automatically bar advisory work, but auditors **must disclose** potential impairments to the requesting party before accepting ([REQ] Standard 2.2, p. 22). Future assurance over an area where IA performed advisory work requires the CAE to confirm objectivity is not impaired and manage staff assignment ([REQ] Standard 2.2, p. 22). Topical Requirements are **recommended, not required** ([TOPICAL]).	
Stage 2: Understanding & Planning (Agreement, Risk Assessment, Scope, Criteria)	**Objectives & Scope**: Determined primarily by internal auditors based on the engagement risk assessment and approved by the CAE ([REQ] / [GUIDE] Standard 13.3, p. 98). **Scope Limitations**: Defined specifically as *"assurance engagement conditions"* ([REQ] Standard 13.3, p. 98) that must be resolved with management or escalated to the board. **Risk Assessment**: Formal, documented engagement risk assessment (including fraud) is **mandatory** ([REQ] Standard 13.2, p. 95). **Evaluation**	**Objectives & Scope**: Typically **jointly established by internal auditors and the management/stakeholder requesting the service** ([GUIDE] Domain V Intro, p. 92; Standard 13.3, p. 98), and still **must be documented and approved by the CAE** ([REQ] Standard 13.3, p. 98). **Risk Assessment**: Explicit carve-out—*"For advisory services, a formal, documented risk assessment may not be necessary, depending on the agreement with relevant stakeholders"*	[REQ] / [GUIDE] Global Internal Audit Standards (Domain V Intro, p. 92; Principle 13, Standards 13.2–13.4, pp. 95, 98, 100–101)

Stage & Dimension	Assurance Engagements	Advisory (Consulting) Engagements	Classification & Citation
	Criteria: Identifying and assessing adequacy of criteria is **mandatory** ([REQ] Standard 13.4, p. 100).	([REQ] Standard 13.2, p. 95). **Evaluation Criteria**: Explicit carve-out—*"For advisory services, the identification of evaluation criteria may not be necessary, depending on the agreement with relevant stakeholders"* ([REQ] Standard 13.4, p. 100). (Note: When an assurance engagement discovers criteria are absent under Standard 13.4, p. 101, it may pivot into an advisory engagement to help management design criteria.)	
Stage 3: Designing the Work (Resources & Work Program)	Work program is designed independently by internal auditors to test controls/processes against criteria and approved by the CAE before implementation ([REQ] Standard 13.6, p. 103).	A documented, CAE-approved Work Program and appropriate/sufficient resources are still **mandatory** ([REQ] Standards 13.5–13.6, pp. 101, 103), but *"For advisory services, the work program should be developed in collaboration with the stakeholders who requested the service"* ([GUIDE] Standard 13.6, p. 103). Tasks may consist of workshop facilitation, pre-implementation system design review, training delivery, or forensic analysis rather than control sample testing.	[REQ] / [GUIDE] Global Internal Audit Standards (Domain V, Principle 13, Standards 13.5–13.6, pp. 101, 103)

Stage & Dimension	Assurance Engagements	Advisory (Consulting) Engagements	Classification & Citation
Stage 4: Performing the Work (Evidence & Documentation)	Gathering relevant, reliable, and sufficient evidence and analyzing criteria vs. condition to develop potential findings are **mandatory** ([REQ] Standards 14.1–14.2, pp. 104–106). Workpapers must meet the repeatability standard and be reviewed by supervisor and approved by CAE ([REQ] Standard 14.6, p. 111).	Explicit carve-out in Standard 14.2: *"For advisory services, gathering evidence to develop findings may not be necessary, depending on the agreement with relevant stakeholders"* ([REQ] Standard 14.2, p. 106). However, **Standard 14.1** (relevant, reliable, sufficient information for analyses), **Standard 12.3** (supervision), and **Standard 14.6** (documenting supporting information so a prudent person could repeat the work and derive the same results, plus supervisory review and CAE approval) still apply to advisory engagements ([REQ] Domain V Intro, p. 92; Standard 14.6, p. 111). Auditors **must not** cross the line into assuming management decision-making responsibility ([REQ] Glossary, p. 10; Domain V Intro, p. 92).	[REQ] Global Internal Audit Standards (Glossary, p. 10; Domain V Intro, p. 92; Principle 14, Standards 14.1, 14.2, 14.6, pp. 104, 106, 111)
Stage 5: Forming & Discussing Findings / Advice	Mandatory evaluation of potential findings, root causes (when possible), effects, significance/prioritization, and recommendations/action plans ([REQ]	Where advisory work does not produce formal "findings" (criteria vs. condition gaps), it produces **advice, options, observations, or design**	[REQ] / [GUIDE] Global Internal Audit Standards (Domain V Intro, p. 92; Standards 14.3–14.4, pp. 107–109)

Stage & Dimension	Assurance Engagements	Advisory (Consulting) Engagements	Classification & Citation
	Standards 14.3–14.4, pp. 107–109).	**recommendations** agreed with the client stakeholder ([REQ] / [GUIDE] Domain V Intro, p. 92; Standard 14.4, p. 109; Standard 15.1, p. 113).	
Stage 6: Reporting & Follow-Up (Communication, Conclusions, Monitoring)	**Final Communication**: Must include objectives, scope, recommendations/action plans, overall conclusion on effectiveness of GRC processes (including when effective), **plus** prioritized findings, scope limitations, and action plan owners/dates ([REQ] Standard 14.5, p. 110; Standard 15.1, p. 113). **Follow-Up**: Mandatory risk-based confirmation and tracking of action plans ([REQ] Standard 15.2, p. 114).	**Final Communication**: Must still be developed, meet the 7 attributes of effective communication, be **approved by the CAE**, and include **objectives, scope, recommendations and/or action plans if applicable, and conclusions** ([REQ] Standard 15.1, p. 113; [GUIDE] Standard 14.5, p. 110 notes *"Advisory engagement conclusions should align with the objectives and scope"*). Does **not** require assurance effectiveness opinion, scope limitation disclosure, or prioritized assurance findings unless agreed ([REQ] Standard 15.1, p. 113). **Follow-Up**: Where action plans or recommendations were agreed, follow-up confirmation under Standard 15.2 applies; if pure advice/training was provided without management action plans, management decides whether to implement advice,	[REQ] / [GUIDE] Global Internal Audit Standards (Standard 11.5, p. 84; Standard 14.5, p. 110; Standards 15.1–15.2, pp. 113–115); Communicating Results GPG (The IIA, Dec 16, 2025, acc. Nov 5, 2026)

Stage & Dimension	Assurance Engagements	Advisory (Consulting) Engagements	Classification & Citation
		though unacceptable risk exposure discovered during advisory work still triggers Standard 11.5 ([REQ] Standard 11.5, p. 84; Communicating Results of Internal Audit Services, The IIA, published December 16, 2025, accessed November 5, 2026).	

6. Industry Test Cases: Testing H3 and H4 Across Four Contrasting Settings (Part D)

6.1 Setting 1: Regulated Banking and Financial Institutions

1. Governing Regulatory Framework ([LOCAL] — Two Independent Primary Sources Verified)

- **[LOCAL] International / Supranational Standard (BCBS)**: The Basel Committee on Banking Supervision (BCBS) *The internal audit function in banks* (issued June 28, 2012, and currently consolidated in force inside the BCBS *Basel Consolidated Guidelines: Internal audit and control frameworks (IAC10)* as of January 1, 2026) establishes 20 supervisory principles governing bank internal audit functions globally (The internal audit function in banks, Basel Committee on Banking Supervision / Bank for International Settlements, published June 28, 2012, accessed November 5, 2026; Internal audit and control frameworks (IAC10), Bank for International Settlements, consolidated version effective January 1, 2026, accessed November 5, 2026).
- **[LOCAL] United States Federal Banking Supervisors (Federal Reserve & OCC)**: (1) Board of Governors of the Federal Reserve System *Supervisory Letter SR 13-1 / CA 13-1: Supplemental Policy Statement on the Internal Audit Function and Its Outsourcing* (issued January 23, 2013; **revised and reposted October 1, 2025**, removing reputational risk references while maintaining all internal audit governance, operational effectiveness, outsourcing, and examiner-reliance rules in force for institutions with >$10 billion in assets, supplementing the 2003 Interagency Policy Statement SR 03-5 and 12 CFR Part 363) (SR 13-1 / CA 13-1: Supplemental Policy Statement on the Internal Audit Function and Its Outsourcing, Board of Governors of the Federal Reserve System, published January 23, 2013 / revised October 1, 2025, accessed November 5, 2026); and (2) Office of the Comptroller of the Currency (OCC) *Comptroller's Handbook: Internal and External Audits* (Version 1.1, issued July 2019 under OCC Bulletin 2019-38, currently in force for national banks and federal savings associations alongside 12 CFR Part 30 Appendix A Interagency Guidelines Establishing Standards for Safety and Soundness) (Comptroller's Handbook: Internal and External Audits, Office of the Comptroller of the Currency,

published July 15, 2019, accessed November 5, 2026).

2. What Stays the Same (Foundation Layer 1)

- **[REQ]** All six stages of H3 and all five cross-cutting themes apply without exception: the bank's internal audit function must maintain an audit universe and risk-based plan approved by the Audit Committee (Stage 1), perform engagement risk assessments and walkthroughs (Stage 2), document approved work programs and sampling rationales (Stage 3), gather relevant, reliable, and sufficient evidence with documented supervision (Stage 4), evaluate findings with root causes and action plans (Stage 5), and issue CAE-approved reports with effectiveness conclusions and follow-up verification (Stage 6) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).

3. What Changes in Stages, Artefacts, Terminology, Ratings, Approvals, or Reporting ([LOCAL] & [PRACTICE])

- **[LOCAL] Stage 1 (Mandatory Audit Universe Scope, Cycle Audits, and Prohibition on External Auditor Outsourcing)**:
  - Under BCBS Principle 7 / IAC10 and Federal Reserve SR 13-1 / OCC *Comptroller's Handbook*, every activity and every legal entity of the banking group (including outsourced activities, subsidiaries, capital adequacy/ICAAP, liquidity/ILAAP, credit risk, market risk, model risk under SR 11-7 / OCC 2011-12, and BSA/AML compliance) **must** fall within the internal audit universe; no function or entity may be excluded (The internal audit function in banks, BCBS, published June 28, 2012, accessed November 5, 2026; SR 13-1 / CA 13-1, Federal Reserve, revised October 1, 2025, accessed November 5, 2026).
  - Under Federal Reserve SR 13-1 and FDIC 12 CFR Part 363 (implementing Section 36 of the FDI Act and Sarbanes-Oxley independence rules), banking organizations are **prohibited** from outsourcing internal audit services to the bank's external financial statement auditor (Independent Public Accountant) (SR 13-1 / CA 13-1, Federal Reserve, revised October 1, 2025, accessed November 5, 2026; Comptroller's Handbook: Internal and External Audits, OCC, published July 15, 2019, accessed November 5, 2026).
  - Under BCBS Principles 1–5 and SR 13-1, the CAE should report functionally to the Audit Committee and administratively to the CEO; if the CAE reports administratively to another executive (e.g., CFO or CRO), the Audit Committee must document the rationale and strict safeguards (The internal audit function in banks, BCBS, published June 28, 2012, accessed November 5, 2026; SR 13-1 / CA 13-1, Federal Reserve, revised October 1, 2025, accessed November 5, 2026).
- **[LOCAL] / [PRACTICE] Stages 2–4 (Examiner Reliance Standards & Continuous Risk Monitoring)**:
  - Banking supervisors (Federal Reserve and OCC examiners) explicitly evaluate internal audit workpapers to determine whether supervisors can **rely on internal audit's work** during safety-and-soundness examinations (SR 13-1 / CA 13-1, Federal Reserve, revised October 1, 2025, accessed November 5, 2026; Comptroller's Handbook: Internal and External Audits, OCC, published July 15, 2019, accessed November 5, 2026). Consequently, bank workpapers in platforms

like TeamMate+ or Optro enforce rigid population reconciliations, strict sampling tables, and multi-tier review sign-offs that examiners inspect directly (TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).

- **[LOCAL] / [PRACTICE] Stages 5–6 (Terminology, Dual-Rating Scales, Overall Governance Opinion, and Mandatory Regulatory Issue Validation)**:
  - **Terminology & Ratings**: Banks frequently distinguish between internal **Audit Issues / Self-Identified Issues (SIIs)** and regulatory **Matters Requiring Attention (MRAs)** / **Matters Requiring Immediate Attention (MRIAs)** issued by the Fed/OCC. Bank audit reports almost universally apply a formal 4-tier dual rating scale covering both the **Control Environment Rating** (*Satisfactory, Needs Improvement, Deficient, Unsatisfactory*) and **Management Governance / Risk Management Rating** (Comptroller's Handbook: Internal and External Audits, OCC, published July 15, 2019, accessed November 5, 2026).
  - **Two-Way Supervisory Communication & Overall Opinion**: BCBS Principles 8 and 16 require the internal audit function to assess the overall effectiveness of the bank's governance, risk management, and internal control functions and maintain regular two-way communication with banking supervisors to discuss risk areas and remediation status (The internal audit function in banks, BCBS, published June 28, 2012, accessed November 5, 2026).
  - **Stage 6 Follow-Up ("Issue Validation")**: In banking, Stage 6 follow-up is formalized as **"Independent Issue Validation."** Before the bank can tell the Federal Reserve or OCC that an MRA/MRIA or High-risk audit issue is remediated, Internal Audit must execute a standalone validation work program (testing design sustainability and operating effectiveness over a defined run-rate period, e.g., 60–90 days of post-remediation transactions) and issue a formal **Issue Validation Closure Memo** (SR 13-1 / CA 13-1, Federal Reserve, revised October 1, 2025, accessed November 5, 2026; Comptroller's Handbook: Internal and External Audits, OCC, published July 15, 2019, accessed November 5, 2026).

6.2 Setting 2: Manufacturing Organization (Publicly Traded Industrial / Process Manufacturer)

1. Governing Regulatory and Standard-Setter Framework ([LOCAL] — Two Independent Sources Per Domain Verified)

- **[LOCAL] Financial / ICFR Regulation (United States SEC & PCAOB)**: (1) U.S. Securities and Exchange Commission (SEC) *17 CFR § 240.13a-15 (Controls and procedures)* implementing Section 404 of the Sarbanes-Oxley Act of 2002 (SOX), currently in force, requiring management to maintain and annually evaluate the effectiveness of Internal Control Over Financial Reporting (ICFR) (17 CFR 240.13a-15 -- Controls and procedures, U.S. SEC / National Archives eCFR, published June 27, 2007 / currently in force 2026, accessed November 5, 2026); and (2) Public Company Accounting Oversight Board (PCAOB) *AS 2201: An Audit of Internal Control Over Financial Reporting That Is Integrated with An Audit of Financial Statements* (currently in force, with amendments adopted in PCAOB Release No. 2024-005 / SEC Release No. 34-100968 effective December 15, 2026) and *AS 2605: Consideration of the Internal*

Audit Function (AS 2201: An Audit of Internal Control Over Financial Reporting That Is Integrated with An Audit of Financial Statements, PCAOB, published 2007 / amended effective December 15, 2026, accessed November 5, 2026).

- **[LOCAL] Operational Quality & Process Safety Standards (ISO & OSHA)**: (1) International Organization for Standardization *ISO 9001:2015 Quality management systems — Requirements (Clause 9.2 Internal audit)* and *ISO 19011:2018 Guidelines for auditing management systems*, as documented by the ISO/TC 176 Auditing Practices Group (ISO 9001 Auditing Practices Group Guidance on: Effective Use of ISO 19011, ISO / IAF, published September 21, 2020 / updated disclaimer December 2023, accessed November 5, 2026); and (2) U.S. Occupational Safety and Health Administration (OSHA) *29 CFR § 1910.119(o) Process Safety Management of Highly Hazardous Chemicals — Compliance Audits*, currently in force, mandating that manufacturers handling threshold quantities of hazardous chemicals certify compliance audits **at least every three years** and retain the last two audit reports (29 CFR 1910.119 -- Process safety management of highly hazardous chemicals, OSHA / eCFR, published April 15, 2019 / currently in force 2026, accessed November 5, 2026; 29 CFR 1910.119 Compliance Enforcement Directive CPL 02-02-045, OSHA, accessed November 5, 2026).

2. What Stays the Same (Foundation Layer 1)

- **[REQ]** The Corporate Internal Audit function reporting to the Audit Committee must conform with all Domains I–V of the *Global Internal Audit Standards*, executing the same six-stage lifecycle and judgment chain (Objectives → Risks → Controls/Criteria → Testing → Evidence → Findings/Conclusion → Action Plan → Follow-up).

3. What Changes in Stages, Artefacts, Terminology, Ratings, Approvals, or Reporting ([LOCAL] & [PRACTICE])

- **[LOCAL] / [PRACTICE] Stage 1 (Bifurcated Audit Plan — SOX 404 ICFR Calendar vs. Plant Operational Audits & Three-Lines Coordination with Quality/EHS)**:
  - In a publicly traded manufacturer, Internal Audit often devotes 40%–60% of its annual capacity to managing or testing the **SOX 404 ICFR program** (tied to the strict fiscal year-end certification calendar in platforms like Workiva or Optro SOXHUB) while using the remaining capacity for **Plant Operational, Inventory/Cost Accounting, Capital Expenditure, Supply Chain, and EHS/Quality Audits** (TeamMate+ Audit Software Review: Editions and Prices, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).
  - Under Standard 9.5 (Coordination and Reliance, pp. 69–71), the CAE must coordinate with second-line **Quality Management System (QMS)** auditors (performing ISO 9001:2015 Clause 9.2 internal audits) and **Environmental, Health, and Safety (EHS)** auditors (performing 3-year OSHA 29 CFR § 1910.119(o) compliance audits) via an Assurance Map so corporate internal audit can either rely on or test the governance of those technical audit programs (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 9.5, p. 70; ISO 9001 APG Guidance on ISO 19011, ISO, accessed November 5, 2026).
- **[LOCAL] / [PRACTICE] Stages 2–4 (Financial Assertions, End-to-End Walkthroughs, Physical Inventory Observation, and Roll-Forward Testing)**:

    - For SOX/ICFR engagements, Stage 2 scoping follows PCAOB AS 2201's **Top-Down Approach** (mapping material financial statement accounts to five assertions: *Existence/Occurrence, Completeness, Valuation/Allocation, Rights/Obligations, Presentation/Disclosure*) and mandatory end-to-end transaction walkthroughs (AS 2201, PCAOB, accessed November 5, 2026; ¶.21, .28, .37–.38).
    - Stage 4 fieldwork is split into **Interim Testing** (Q2/Q3) and **Roll-Forward / Year-End Testing** (Q4) so the external auditor can rely on internal audit's work under PCAOB AS 2605. For plant operational audits, fieldwork emphasizes **physical inspection and observation** (e.g., floor-to-sheet and sheet-to-floor physical inventory counts, bill-of-materials standard costing variances, scrap/rework controls, and preventive maintenance logs) (Standard 13.2, p. 96; Standard 14.1, p. 105).
- **[LOCAL] / [PRACTICE] Stages 5–6 (Terminology & Rating Scales: SOX Deficiency Ladder vs. ISO Nonconformities)**:
    - **SOX 404 Rating Ladder**: For ICFR findings, internal audit **must** classify every un-remediated control exception using the three-tier SEC/PCAOB legal hierarchy: **Control Deficiency (CD)** → **Significant Deficiency (SD)** (reported to the Audit Committee) → **Material Weakness (MW)** (a deficiency, or combination of deficiencies, in ICFR such that there is a reasonable possibility that a material misstatement of the annual or interim financial statements will not be prevented or detected on a timely basis; requires public disclosure in the company's Form 10-K under 17 CFR § 240.13a-15 and precludes an effective ICFR opinion) (AS 2201, PCAOB, accessed November 5, 2026; ¶.02, .62–.70; 17 CFR 240.13a-15, eCFR, accessed November 5, 2026).
    - **ISO 9001 / 19011 Terminology**: In QMS/plant quality audits, findings are termed **Major Nonconformity**, **Minor Nonconformity**, or **Opportunity for Improvement (OFI)**, and management action plans are termed **Corrective and Preventive Actions (CAPA)** (ISO 9001 APG Guidance on ISO 19011, ISO, accessed November 5, 2026).
    - **Standard 4.1 Multi-Framework Citation**: When internal audit conducts an engagement that simultaneously satisfies IIA Standards and ISO 19011 or OSHA 29 CFR § 1910.119(o), the final report must cite both standards under [REQ] Standard 4.1 (p. 30).

6.3 Setting 3: Public-Sector Body (Central/Federal or Local Government Agency)

1. Governing Statutory and Standard-Setter Framework ([LOCAL] & [REQ] — Two Independent Primary Sources Verified)

- **[REQ] IIA Public Sector Application Mandate**: The attached *Global Internal Audit Standards* include a dedicated section, *"Applying the Global Internal Audit Standards in the Public Sector"* (pp. 116–119), plus Standard 4.1 (p. 30) and Standard 6.1 (p. 39) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; pp. 116–119).
- **[LOCAL] United States Government Auditing Standards (GAO "Yellow Book" & OMB Circular A-123)**: (1) U.S. Government Accountability Office (GAO) *Government*

Auditing Standards: 2024 Revision (GAO-24-106786, published February 1, 2024; effective for periods/engagements beginning on or after December 15, 2025, with system of quality management evaluation required by December 15, 2026—currently in force as of November 2026) (Government Auditing Standards 2024 Revision (GAO-24-106786), U.S. Government Accountability Office, published February 1, 2024, accessed November 5, 2026); and (2) U.S. Office of Management and Budget (OMB) *Circular No. A-123: Management's Responsibility for Internal Control* (revised March 10, 2026, currently in force across U.S. federal agencies) (OMB Circular No. A-123, Management's Responsibility for Internal Control, U.S. Office of Management and Budget / The White House, published March 10, 2026, accessed November 5, 2026).

- **[LOCAL] United Kingdom Public Sector Standards (HM Treasury / Cabinet Office GovS 009 & UK Public Sector GIAS Application Note)**: UK Cabinet Office and HM Treasury *Government Functional Standard GovS 009: Internal Audit* (Version 3, approved March 31, 2025, effective April 1, 2025, and updated February 4, 2026, replacing the old PSIAS alongside the Internal Audit Standards Advisory Board's *Application Note: The Global Internal Audit Standards in the UK Public Sector*) (Government Functional Standard GovS 009: Internal Audit, UK Government / GOV.UK, updated February 4, 2026, accessed November 5, 2026; Introduction of new Global Internal Audit Standards in the UK public sector, HM Treasury / GOV.UK, published March 31, 2025, accessed November 5, 2026).

2. What Stays the Same (Foundation Layer 1)

- **[REQ]** The five Domains, 15 Principles, and six-stage engagement workflow remain the baseline (and are explicitly incorporated by reference into UK *GovS 009* Section 5.2 Figure 2 and harmonized with GAO *Yellow Book* performance audit standards).

3. What Changes in Stages, Artefacts, Terminology, Ratings, Approvals, or Reporting ([LOCAL] & [REQ])

- **[REQ] / [LOCAL] Stage 1 (Statutory Mandate as Charter, Supreme Audit Institution Authority, Public Input, and Civil Service Budget/HR Constraints)**:
  - **Statutory Mandate & Charter**: Legislation or administrative orders often establish the internal audit mandate, positioning, and scope directly; where the CAE lacks authority to amend a statutory charter, the CAE documents a periodic review of the path to legal compliance rather than seeking charter amendments ([REQ] / [GUIDE] Applying the Standards in the Public Sector, p. 117).
  - **Governance, Appointment, and Budget**: In many public bodies, the "board" is a legislative body, elected council, or non-executive Audit and Risk Assurance Committee (ARAC) that lacks statutory authority to appoint/remove the CAE, set civil-service pay scales, or approve an independent budget (which is appropriated by a legislature); establishing an independent audit committee with public members serves as a compensating safeguard for independence (Applying the Standards in the Public Sector, pp. 117–118). In the UK, the CAE (Head of Internal Audit) reports to the **Accounting Officer** (typically the Permanent Secretary or agency Chief Executive accountable to Parliament under *Managing Public Money*) and the **Audit and Risk Assurance Committee** (Government Functional Standard GovS 009: Internal Audit, UK GOV.UK, updated February 4, 2026, accessed November 5,

2026; Section 4.3).
    - **Supreme Audit Institution (SAI) Superseding Authority**: In the public sector, the external assurance provider is often a statutory Supreme Audit Institution (e.g., U.S. GAO, UK National Audit Office, or a State/National Auditor General) whose authority **supersedes** the internal audit function, requiring internal audit to adhere to stipulated planning and joint work (Applying the Standards in the Public Sector, p. 117). In the UK, the Permanent Secretary of HM Treasury and the Senior Officer Accountable for Internal Audit Across Government can also mandate cross-government audits onto an agency's audit plan (GovS 009, Section 4.2.1).
    - **Public Stakeholder Input & "3 Es + Equity" Focus**: Public-sector audit plans focus heavily on legal/regulatory compliance, safeguarding public funds, **Economy, Efficiency, and Effectiveness ("Value for Money" / Performance Auditing)**, and **equitable delivery of public services**, and may incorporate input directly from citizens and public service users (Applying the Standards in the Public Sector, pp. 116–117).
- **[LOCAL] Stages 2–5 ("Red Book + Yellow Book" Dual Compliance & Quality Management)**:
    - In U.S. federal, state, and local government audit offices (such as Offices of Inspector General and city/state auditors), auditors often conduct engagements under **both** the IIA Standards ("Red Book") and GAO *Government Auditing Standards* ("Yellow Book"), which requires citing both frameworks in the audit report ([REQ] Standard 4.1, p. 30), completing 80 hours of CPE every 2 years (including 24 hours directly related to government auditing), and operating a proactive risk-based **System of Quality Management (SoQM)** effective December 15, 2025 under the 2024 Yellow Book revision (Government Auditing Standards 2024 Revision (GAO-24-106786), U.S. GAO, published February 1, 2024, accessed November 5, 2026; TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).
- **[REQ] / [LOCAL] Stage 6 (Sunshine / Freedom of Information Laws, Public Meetings, and Mandatory Annual Overall Opinion)**:
    - **Public Disclosure of Final Reports & Limits on Private Board Sessions**: Public-records and open-meetings ("sunshine") laws may prohibit private executive sessions between the CAE and the board or require that final audit reports (and sometimes workpapers) be presented at public legislative meetings and published on public websites, subject only to statutory redactions for security or personal privacy (Applying the Standards in the Public Sector, p. 117; Standard 5.2, p. 35).
    - **Mandatory Annual Overall Audit Opinion ([LOCAL] UK Public Sector)**: Whereas Standard 11.3 (p. 81) makes organization-level conclusions conditional in the private sector, the *UK Public Sector GIAS Application Note* and *GovS 009* make it **mandatory** for the Chief Audit Executive (Head of Internal Audit) to prepare an **overall audit opinion at least annually** on the organization's overall governance, risk management, and control processes to support the Accounting Officer's annual Governance Statement (Government Functional Standard GovS 009: Internal Audit, UK GOV.UK, updated February 4, 2026, accessed November 5, 2026; Section 1.2 & Section 7 Glossary "audit opinion").
    - **Peer-Review EQA Programs**: Where funding limits prevent hiring commercial EQA firms, public-sector functions frequently satisfy Standard 8.4 (External Quality Assessment, p. 57) through structured multi-agency peer review programs (such as

ALGA, CIGIE, or UK GIAA peer assessments rotated among three or more independent entities; Standard 8.4, p. 59; Applying the Standards in the Public Sector, p. 119).

6.4 Setting 4: Healthcare and Health-Technology Organization

1. Governing Regulatory and Framework Environment ([LOCAL] & [TOPICAL] — Two Independent Primary Sources Verified)

- **[LOCAL] United States Healthcare Privacy, Security, and Fraud/Abuse Compliance (HHS OCR & HHS OIG)**: (1) U.S. Department of Health and Human Services (HHS) Office for Civil Rights (OCR) *HIPAA Privacy, Security, and Breach Notification Rules (45 CFR Part 160 and Part 164 Subparts A, C, D, and E)*, currently in force, specifically **45 CFR § 164.308(a)(1)(ii)(A)** (mandatory accurate and thorough Risk Analysis of ePHI) and **45 CFR § 164.308(a)(8)** (mandatory periodic technical and nontechnical evaluation of security controls) (Guidance on Risk Analysis under the HIPAA Security Rule, U.S. Department of Health and Human Services, updated August 12, 2026, accessed November 5, 2026; The Office for Civil Rights Should Enhance Its HIPAA Audit Program (A-18-21-08014), HHS Office of Inspector General, published November 2024, accessed November 5, 2026); and (2) HHS Office of Inspector General (OIG) *General Compliance Program Guidance (GCPG)* (published November 2023 and currently in force across all healthcare providers and health-tech business associates), which establishes **"Auditing and Monitoring"** as Element 6 of the Seven Elements of an Effective Compliance Program, requiring annual risk assessments and independent internal/external audits of clinical coding/billing, Stark Law / Anti-Kickback Statute arrangements, quality of care, and cybersecurity (HHS-OIG General Compliance Program Guidance, U.S. Department of Health and Human Services Office of Inspector General, published November 15, 2023, accessed November 5, 2026).
- **[LOCAL] / [TOPICAL] Cybersecurity and Cloud/SaaS Assurance Frameworks**: (1) National Institute of Standards and Technology *NIST Cybersecurity Framework (CSF) 2.0* (NIST CSWP 29, published February 26, 2024, adding the 6th core function "Govern") (The NIST Cybersecurity Framework (CSF) 2.0, NIST, published February 26, 2024, accessed November 5, 2026); (2) AICPA *Trust Services Criteria for SOC 2® Engagements* (2017 with 2022 Revised Points of Focus, currently in force) (2017 Trust Services Criteria (With Revised Points of Focus – 2022), AICPA & CIMA, published September 30, 2023, accessed November 5, 2026); and (3) The IIA's mandatory *Cybersecurity Topical Requirement* (effective February 5, 2026) and *Third-Party Topical Requirement* (effective September 15, 2026) (Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026).

2. What Stays the Same (Foundation Layer 1)

- **[REQ]** The six-stage lifecycle, mandatory charter/plan approvals by the Board (or Audit & Compliance Committee), evidence standards, finding evaluation rules, and follow-up tracking under Domains I–V remain unchanged.

3. What Changes in Stages, Artefacts, Terminology, Ratings, Approvals, or

Reporting ([LOCAL], [TOPICAL], & [PRACTICE])

- **[LOCAL] / [TOPICAL] Stage 1 (Dual Assurance Coordination with Chief Compliance Officer & Mandatory Topical Requirements)**:
    - Under HHS-OIG *General Compliance Program Guidance* (2023), healthcare organizations maintain a distinct Corporate Compliance Function (led by a Compliance Officer reporting to the board/CEO) alongside Internal Audit. Under IIA Standard 9.5 (pp. 69–71), the CAE and Chief Compliance Officer build a joint Assurance Map dividing clinical billing/coding audits, physician compensation (Stark/AKS) audits, EHR privacy access monitoring, and IT/cybersecurity audits (HHS-OIG General Compliance Program Guidance, HHS OIG, published November 15, 2023, accessed November 5, 2026; Global Internal Audit Standards, Standard 9.5, p. 70).
    - Because electronic Protected Health Information (ePHI) and cloud Business Associates are mission-critical, assurance engagements over cybersecurity and vendor management **must** apply the IIA *Cybersecurity Topical Requirement* (mapping to NIST CSF 2.0) and *Third-Party Topical Requirement* (Topical Requirements for Internal Auditing, The IIA, published 2025–2026, accessed November 5, 2026).
- **[REQ] / [LOCAL] Stages 3–4 (Attorney-Client Privilege Protocols, Minimum-Necessary ePHI Redaction, and Statistical Extrapolation for Overpayments)**:
    - **Legal Privilege & Overpayment Quantification**: When an internal audit or compliance review identifies potential Medicare/Medicaid billing overpayments, federal law (the 60-Day Overpayment Rule under the Affordable Care Act / False Claims Act) requires quantifying and refunding overpayments within 60 days of identification. Consequently, Stage 3/4 sampling frequently uses **RAT-STATS statistical random sampling** or consulting with General Counsel under **Standard 5.2** (p. 36: *"The chief audit executive should consult with legal counsel to better understand the impact of legal and/or regulatory requirements and protections (for example, legal privilege or attorney-client privilege)"*) when potential False Claims Act or Stark Law violations are investigated (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; Standard 5.2, p. 36; HHS-OIG General Compliance Program Guidance, HHS OIG, published November 15, 2023, accessed November 5, 2026).
    - **ePHI Workpaper Protection**: Under Standard 5.1 and Standard 5.2 (pp. 34–36) and HIPAA 45 CFR § 164.502(b) ("Minimum Necessary" standard), internal auditors are prohibited from storing unredacted patient medical records or Social Security Numbers inside general audit workpapers; instead, workpapers record unique encounter/claim IDs inside HIPAA-compliant encrypted repositories (Global Internal Audit Standards, Standards 5.1–5.2, pp. 34–36; HHS OIG HIPAA Audit Report A-18-21-08014, HHS OIG, November 2024, accessed November 5, 2026).

6.5 Summary Comparison Table Across the Four Contrasting Settings

Dimension	Bank / Regulated FI	Manufacturer (Public Industrial)	Public-Sector Body	Healthcare / Health-Tech
Primary [LOCAL] Regulators & Frameworks	BCBS *Internal Audit in Banks* (IAC10); Fed SR 13-1 (rev. Oct 2025); OCC *Comptroller's Handbook*; 12 CFR Part 363.	SEC 17 CFR § 240.13a-15 (SOX 404); PCAOB AS 2201 & AS 2605; ISO 9001:2015 Clause 9.2 & ISO 19011:2018; OSHA 29 CFR § 1910.119(o).	IIA Public Sector Section (pp. 116–119); U.S. GAO *Yellow Book* (2024 rev.) & OMB A-123 (2026); UK *GovS 009* & GIAS Application Note.	HHS OCR HIPAA (45 CFR Part 164); HHS-OIG *GCPG* (2023); NIST CSF 2.0; AICPA SOC 2; IIA Cybersecurity & Third-Party Topical Requirements.
Stage 1: Universe & Plan Differences	100% of entities/activities must be in universe; external auditor barred from IA co-sourcing; mandatory cycle audits (BSA/AML, Model Risk, Capital/Liquidity).	Split between annual SOX 404 ICFR testing calendar and multi-plant operational/inventory/capex audits; coordination with QMS (ISO) & EHS (OSHA 3-yr) teams.	Charter often set by statute; Supreme Audit Institution (GAO/NAO) can supersede IA plan; focus on "3 Es" (Value for Money), compliance, and equity; public input.	Joint assurance mapping with Chief Compliance Officer (HHS-OIG 7 Elements); mandatory IIA Cybersecurity & Third-Party Topical Requirements.
Stages 2–4: Fieldwork & Evidence Specifics	Workpapers formatted for direct Fed/OCC examiner reliance reviews; heavy data analytics over loan/transaction portfolios.	End-to-end transaction walkthroughs (AS 2201 ¶.37); interim + Q4 roll-forward testing; physical inventory observation & standard-cost testing at plants.	Dual "Red Book + Yellow Book" citations; 80-hr GAGAS CPE; System of Quality Management (SoQM); civil service/IT software constraints.	Minimum-necessary ePHI redaction in workpapers; statistical extrapolation for 60-day Medicare overpayment refunds; attorney-client privilege protocols (Standard 5.2).
Stages 5–6: Terminology, Ratings, & Follow-Up	Tracks both IA Issues and regulatory **MRAs / MRIAs**; dual rating (Control + Governance); formal **Independent Issue Validation** re-testing before closure.	SOX issues rated as **Control Deficiency / Significant Deficiency / Material Weakness**; ISO issues rated **Major/Minor Nonconformity** with **CAPA** tracking.	Reports often presented in public meetings and released under FOIA/sunshine laws; **mandatory annual overall opinion** in UK Public Sector (*GovS 009*).	Findings categorized by Clinical/Billing Overpayment, HIPAA Security/Privacy, or SOC 2 Trust Services Criteria; mandatory breach/overpayment reporting windows.

7. Iteration Map: Every Documented Loop Back to an

Earlier Stage

The table below catalogs every feedback and iteration loop documented in the 2024 *Global Internal Audit Standards* and practitioner methodologies, specifying the origin stage, destination stage, exact trigger, required action/approval, classification, and source citation.

Loop ID	Origin Stage	Destination Stage	Trigger Event	Required Action & Approval Gate	Classification & Citation
L1	**Stage 2** (Understanding & Planning Engagement)	**Stage 1** (Internal Audit Plan) or **Part C Advisory Pivot**	During engagement planning/criteria assessment, internal auditors discover that management's evaluation criteria are nonexistent or inadequate (and management is not ready for assurance), OR that an emerging risk/scope limitation requires canceling, postponing, or converting a planned assurance engagement into an advisory engagement.	Discuss inadequate criteria with board/senior management; if converting a planned assurance engagement to advisory or postponing a high-risk engagement, communicate timely to the board and senior management and obtain **Board approval** for significant plan changes.	[REQ] & [GUIDE] Global Internal Audit Standards (The IIA, Jan 9, 2024, acc. Nov 5, 2026; Domain IV, Standard 9.4, pp. 67, 69; Domain V, Standard 13.4, pp. 100–101)
L2	**Stage 3** (Designing the Work)	**Stage 2** (Objectives & Scope) or **Stage 1** (Resources/Plan)	During resource planning (Standard 13.5) or control design evaluation (Standard 13.6), available financial,	If resources cannot be obtained, escalate to CAE, discuss with senior management and board, and **reduce Engagement**	[REQ] & [GUIDE] Global Internal Audit Standards (Domain II, Standard 4.2, p. 32; Domain V, Standard 13.3, p. 98; Standard 13.5,

Loop ID	Origin Stage	Destination Stage	Trigger Event	Required Action & Approval Gate	Classification & Citation
			human, or technological resources are found insufficient/inappropriate and the CAE cannot obtain them, OR key controls are found inadequately designed on their face.	**Scope** (requiring **CAE approval** under Standard 13.3). If control design is inadequate, bypass operating effectiveness testing (Standard 4.2 cost-benefit, p. 32) and record a design finding directly.	pp. 101–102; Standard 13.6, pp. 103–104)
L3	**Stage 4** (Performing the Work / Fieldwork)	**Stage 2** (Engagement Risk Assessment, Objectives & Scope)	Fieldwork discoveries reveal previously unknown risks, new systems/processes, or access/data restrictions (scope limitations) that invalidate the initial engagement risk assessment or require expanding/modifying the engagement objectives and scope.	Update the engagement risk assessment continuously (*"engagement planning includes gathering information and assessing risks, which may continue throughout the engagement"*, Domain V Intro, p. 92); revise engagement objectives/scope with **CAE approval** (Standard 13.3, p. 98); communicate changes to **management timely** (Standard 13.1,	[REQ] Global Internal Audit Standards (Domain V Intro, p. 92; Principle 13, Standard 13.1, p. 93; Standard 13.3, p. 98)

Loop ID	Origin Stage	Destination Stage	Trigger Event	Required Action & Approval Gate	Classification & Citation
				p. 93); escalate unresolved scope limitations to the **Board** (Standard 13.3, p. 98).	
L4	**Stage 4** (Performing the Work / Initial Analyses)	**Stage 3** (Work Program & Sampling Design)	Initial fieldwork analyses identify a difference between criteria and condition (potential finding) or inconsistent/incomplete statements, but initial sample/analyses do not provide sufficient evidence to support the finding or quantify root cause/effect.	Exercise due professional care and skepticism to determine additional analyses needed; **adjust the Engagement Work Program and obtain prompt CAE (or delegated supervisor) approval** before executing expanded testing.	[REQ] Global Internal Audit Standards (Domain II, Standard 4.3, p. 33; Domain V, Principle 13, Standard 13.6, p. 103; Principle 14, Standard 14.1, p. 105; Standard 14.2, p. 106)
L5	**Stage 4 / 5 / 6** (Supervisory Review of Workpapers & Drafts)	**Stage 4** (Fieldwork Evidence Gathering)	During ongoing or final review of workpapers (Standard 12.3 / Standard 14.6), the Engagement Supervisor or CAE determines that evidence is not relevant, reliable, or sufficient, or issues	Auditor loops back to Stage 4 to gather additional corroborating evidence, re-run analytics, or amend workpapers until all supervisory review notes are cleared and signed off.	[REQ] & [GUIDE] Global Internal Audit Standards (Domain IV, Principle 12, Standard 12.3, pp. 90–91; Domain V, Standard 14.1, p. 105; Standard 14.6, p. 111)

Loop ID	Origin Stage	Destination Stage	Trigger Event	Required Action & Approval Gate	Classification & Citation
			review/coaching notes questioning the auditor's logic.		
L6	**Stage 5** (Discussing Findings / Exit Conference with Management)	**Stage 4** (Fieldwork Verification)	During factual validation or the closing communication (exit conference), management disputes a finding and provides new factual evidence or compensating controls, OR management initiates/completes remediation actions before the final report is issued.	Auditor loops back to Stage 4 to verify the new evidence or test the completed remediation action; if verified, amend the finding (Standard 13.1, p. 93) or **mandatorily acknowledge management's initiated/completed action in the Final Engagement Communication** (Standard 15.1, p. 113).	[REQ] Global Internal Audit Standards (Domain V, Principle 13, Standard 13.1, pp. 93–95; Principle 15, Standard 15.1, p. 113)
L7	**Stage 6** (Post-Issuance of Final Report)	**Stage 5 & Stage 6** (Re-evaluation & Corrected Communication)	After the Final Engagement Communication is issued, a **significant error or omission** is discovered (Standard 11.4), OR a **post-engagement objectivity/independence impairment** is discovered that affects the reliability or	CAE evaluates significance using board-agreed criteria, discusses objectivity impairment with management/board/stakeholders, re-evaluates affected findings/conclusions, and **communicates corrected information**	[REQ] Global Internal Audit Standards (Domain II, Standard 2.3, p. 24; Domain III, Standard 7.1, p. 49; Domain IV, Standard 11.4, p. 83)

Loop ID	Origin Stage	Destination Stage	Trigger Event	Required Action & Approval Gate	Classification & Citation
			perceived reliability of findings/conclusions (Standards 2.3 & 7.1).	**promptly to all parties who received the original communication**; performs QAIP root-cause fix.	
L8	**Stage 6** (Monitoring Action Plans)	**Stage 5** (Action Plan Revision or Risk Acceptance Escalation)	During follow-up tracking (Standard 15.2), management proposes an **alternative action plan** due to operational changes, OR management fails to progress by the target completion date (delay/inaction).	If alternative action plan is proposed, evaluate whether it is satisfactory and update tracking system ([GUIDE] Standard 15.2, p. 115). If overdue, **obtain and document explanation from management, discuss with CAE**, and if CAE determines delay/inaction accepts risk above risk tolerance, loop into **Standard 11.5 escalation to Senior Management and the Board**.	[REQ] & [GUIDE] Global Internal Audit Standards (Domain IV, Principle 11, Standard 11.5, pp. 84–85; Domain V, Principle 15, Standard 15.2, pp. 114–115)
L9	**Stage 6** (Engagement Results, Themes, & Follow-Up	**Stage 1** (Organizationwide Risk Assessment & Audit Plan) and	High-risk action plans reach "Ready for Validation" status requiring	Execute risk-based follow-up testing (Stage 4 procedures) to	[REQ] & [GUIDE] Global Internal Audit Standards (Domain IV,

Loop ID	Origin Stage	Destination Stage	Trigger Event	Required Action & Approval Gate	Classification & Citation
	Verification)	**Stage 4** (Follow-Up Fieldwork)	a follow-up audit/re-testing (Standard 15.2), OR holistic review of multiple engagement conclusions reveals systemic root-cause **themes** or control worsening (Standard 11.3).	confirm remediation (Standard 15.2, p. 114); feed engagement results and systemic themes back into the **Stage 1 Organizationwide Risk Assessment and Internal Audit Plan** to spawn new thematic engagements (Standard 9.4, p. 68; Standard 11.3, p. 82).	Standard 9.4, p. 68; Standard 11.3, pp. 81–82; Domain V, Standard 15.2, pp. 114–115)

8. Practitioner Vocabulary and Glossary of 56 Terms Across the Stages (Part E)

Every entry below provides: (1) a concise one-line definition, (2) the exact 2024 *Global Internal Audit Standards* term (with page citation if defined in the Glossary on pp. 10–14 or text), and (3) common synonyms used across audit firm methodologies, software platforms (Optro/AuditBoard, TeamMate+, Workiva), and sector regulators.

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
1	**Activity Under Review**	The specific organizational unit, process, system, program, or entity examined in an engagement.	**activity under review** ([REQ] Glossary, p. 10)	Auditable unit, Audit subject, Auditee, Process under review, Audit entity
2	**Advisory Services**	Internal audit engagements that provide advice, training, or facilitation without	**advisory services** ([REQ] Glossary, p. 10; Domain V, p. 92)	Consulting services, Consulting engagement, Management

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		providing assurance or assuming management responsibility.		advisory, Pre-implementation review
3	**Assurance**	An objective statement intended to increase stakeholders' confidence about governance, risk management, and control processes compared against criteria.	**assurance** ([REQ] Glossary, p. 10)	Audit opinion, Attestation, Positive/negative assurance conclusion
4	**Assurance Map**	A matrix linking an organization's significant risk categories to all internal (2nd/3rd line) and external assurance providers covering those risks to expose gaps or overlaps.	**assurance map** ([GUIDE] Standard 3.1, p. 27; Standard 9.5, p. 70)	Combined assurance matrix, Three-lines coverage map, Integrated assurance map
5	**Assurance Services**	Objective assessments of evidence against established criteria to provide reasonable or limited assurance over governance, risk management, and controls.	**assurance services** ([REQ] Glossary, p. 10; Domain V, p. 92)	Audit engagements, Attestation engagements, Compliance/operational/financial/IT audits
6	**Attribute Sampling**	A statistical sampling method used to estimate the rate (proportion) of control deviations	**sampling methodology / representative sample** ([GUIDE] Standard 13.6, p. 103; Standard	Fixed-sample-size attribute testing, Acceptance sampling, Control exception sampling

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		or compliance exceptions within a transaction population.	14.1, p. 105)	
7	**Audit Universe**	The comprehensive inventory of all potentially auditable entities, processes, programs, and IT systems across the organization used to build the audit plan.	**audit universe** ([GUIDE] Standard 9.4, p. 67)	Auditable entity inventory, Risk universe, Audit portfolio
8	**Board**	The highest-level governing body charged with overseeing the organization and authorizing the internal audit function.	**board** ([REQ] Glossary, p. 10; Domain III, p. 38)	Audit Committee, Audit and Risk Assurance Committee (ARAC), Board of Directors, Supervisory Board, Legislative Oversight Body
9	**Chief Audit Executive (CAE)**	The senior leader responsible for managing the internal audit function and ensuring conformance with the Standards.	**chief audit executive** ([REQ] Glossary, p. 10; Domain IV, p. 60)	Head of Internal Audit (HIA), Chief Internal Auditor, General Auditor, VP of Internal Audit, Inspector General (public sector)
10	**Closing Communication**	The meeting held at the end of fieldwork with operational management to validate facts, resolve disagreements, and finalize findings and action plans before	**closing communication** ([GUIDE] Standard 13.1, p. 94)	Exit conference, Exit meeting, Closing meeting, Debrief meeting

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		issuing the report.		
11	**Combined Assurance**	Coordinated planning and reporting across first-line, second-line, and third-line/external assurance providers to maximize risk coverage and minimize duplication.	**combined assurance approach** ([GUIDE] Standard 9.5, p. 70)	Integrated assurance, Coordinated assurance, Three Lines coordination
12	**Competency**	The knowledge, skills, and abilities required to perform internal audit responsibilities successfully.	**competency** ([REQ] Glossary, p. 10; Standard 3.1, p. 26)	Proficiency, Professional qualifications, Capabilities, KSAs
13	**Compliance**	Adherence to applicable laws, regulations, contracts, policies, procedures, and external or internal requirements.	**compliance** ([REQ] Glossary, p. 10)	Regulatory adherence, Conformance, Statutory compliance
14	**Condition**	The factual existing state of the activity under review as determined by audit evidence gathered during the engagement.	**condition** ([REQ] Standard 14.2, p. 106; Glossary "finding", p. 11)	Current state, As-is state, Statement of fact, Observed practice
15	**Conflict of Interest**	Any professional or personal situation, activity, or relationship that may impair or appear to impair an auditor's ability to make impartial	**conflict of interest** ([REQ] Glossary, p. 10; Standard 2.2, p. 22)	Objectivity impairment, Competing interest, Independence conflict

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		judgments.		
16	**Control**	Any action taken by management, the board, or other parties to manage risk and increase the likelihood that established objectives will be achieved.	**control** ([REQ] Glossary, p. 11)	Internal control, Mitigating control, Safeguard, Countermeasure
17	**Control Design Adequacy**	The evaluation of whether a control, if operated as prescribed by competent personnel, is structurally capable of preventing or detecting a risk within risk tolerance.	**adequacy of the control design / design adequacy** ([GUIDE] Standard 9.1, p. 62; Standard 13.2, p. 97; Standard 13.6, p. 103)	Design effectiveness (PCAOB AS 2201), Test of Design (ToD), Design evaluation ("Test of One")
18	**Control Operating Effectiveness**	The evaluation of whether a properly designed control actually operated consistently as intended throughout the audit period.	**operating effectiveness / effectiveness of controls** ([GUIDE] Standard 13.2, p. 97; Standard 13.6, p. 104)	Test of Operating Effectiveness (ToE), Operational effectiveness, Control performance test
19	**Control Processes**	The integrated policies, procedures, and activities designed and operated to manage risks within the organization's risk tolerance.	**control processes** ([REQ] Glossary, p. 11)	System of internal control, Internal control environment, Control framework
20	**Cosourcing**	Contracting with an external service provider to perform a portion of	**partially outsourcing (also called "cosourcing")**	Co-sourcing, Specialist staff augmentation, Hybrid audit

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		internal audit services or supply specialized skills alongside in-house staff.	([REQ] Glossary "outsourcing", p. 12)	sourcing
21	**Criteria**	The specifications, standards, policies, or benchmarks defining the desired state ("what should be") of the activity under review.	**criteria (also called "evaluation criteria")** ([REQ] Glossary, p. 11; Standard 13.4, p. 100)	Evaluation criteria, Audit benchmark, Standard of performance, Control objective
22	**Due Professional Care**	Planning and performing internal audit services with the diligence, judgment, and professional skepticism expected of a prudent and competent internal auditor.	**due professional care** ([REQ] Principle 4 & Standard 4.2, pp. 29, 31)	Professional diligence, Reasonable care, Prudent auditor standard
23	**Effect**	The risk, harm, or quantitative/qualitative consequence resulting from the gap between the condition and the evaluation criteria.	**effect (consequence / risk or potential exposure)** ([REQ] Standard 14.3, p. 107; [GUIDE] pp. 97, 108)	Consequence (in the "5 Cs"), Impact, Risk exposure, Business impact
24	**Engagement**	A specific internal audit project, assignment, or review comprising multiple tasks designed to accomplish a set of related objectives.	**engagement** ([REQ] Glossary, p. 11)	Audit project, Internal audit review, Assignment, Assurance/advisory project
25	**Engagement Conclusion**	The internal auditors' overall	**engagement conclusion**	Audit opinion (micro opinion),

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		professional judgment about the aggregated engagement findings and the effectiveness of governance, risk management, and controls for the activity reviewed.	([REQ] Glossary, p. 11; Standard 14.5, p. 110)	Overall engagement rating, Report rating, Executive conclusion
26	**Engagement Objectives**	Formal statements articulating the purpose of an engagement and the specific assurance or advisory goals to be achieved.	**engagement objectives** ([REQ] Glossary, p. 11; Standard 13.3, p. 98)	Audit objectives, Project objectives, Review goals
27	**Engagement Planning Memorandum**	The formal planning document summarizing background, engagement risk assessment, evaluation criteria, objectives, scope, timeline, and resource allocation.	**engagement planning memorandum** ([GUIDE] Standard 13.3, p. 99; Standard 13.4, p. 101)	Audit planning memo (APM), Scoping memo, Terms of Reference (ToR), Engagement letter
28	**Engagement Results**	The findings and conclusion of an engagement, which may also include recommendations and agreed management action plans.	**engagement results** ([REQ] Glossary, p. 11)	Audit deliverables, Audit outcomes, Report findings and conclusions
29	**Engagement Scope**	The statement establishing an engagement's focus and boundaries,	**scope** ([REQ] Standard 13.3, p. 98)	Audit scope, Engagement boundaries, Scope of work

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		specifying activities, locations, processes, systems, components, and time period covered.		
30	**Engagement Supervisor**	A qualified internal auditor designated by the CAE to guide staff and review/approve the work program, workpapers, final communication, and team performance.	**engagement supervisor** ([REQ] Glossary, p. 11; Standard 12.3, p. 90)	Audit Manager, Engagement Manager, Audit Director, In-Charge Auditor, Team Lead
31	**Engagement Work Program**	The approved document identifying evaluation criteria, tasks/test steps, methodologies/analytics, tools, and assigned auditors to achieve engagement objectives.	**engagement work program** ([REQ] Glossary, p. 11; Standard 13.6, p. 103)	Audit program, Work programme, Test plan, Fieldwork program
32	**Essential Conditions**	Activities of the board and senior management outlined in Domain III that are foundational to enabling an effective internal audit function.	**essential conditions** ([REQ] Domain III Intro, pp. 37–38)	Governance prerequisites, Board and management responsibilities
33	**External Quality Assessment (EQA)**	An independent evaluation performed at least once every five years (or via	**external quality assessment** ([REQ] Standard 8.3, p. 55; Standard 8.4, p.	QAR (Quality Assurance Review), External peer review, SAIV (Self-Assessment

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		self-assessment with independent validation) to assess conformance with the Standards.	57)	with Independent Validation)
34	**Final Engagement Communication**	The formal CAE-approved report, presentation, or memo issued at the end of an engagement communicating objectives, scope, findings, conclusions, and action plans.	**final engagement communication** ([REQ] Standard 15.1, p. 113)	Final audit report, Audit report, Executive report, Engagement report
35	**Finding**	The determination in an engagement that a gap exists between the evaluation criteria and the actual condition of the activity under review.	**finding** ([REQ] Glossary, p. 11; Standard 14.2, p. 106; Standard 14.3, p. 107)	Observation, Audit issue, Exception, Deficiency, Nonconformity (ISO), Matter Requiring Attention (MRA - banking)
36	**Follow-Up Assessment**	Risk-based procedures performed by internal auditors to verify that management has effectively implemented agreed recommendations or action plans.	**follow-up assessment / confirming implementation** ([REQ] Standard 15.2, p. 114)	Issue validation (banking), Remediation testing, Verification audit, Action plan closure review
37	**Fraud**	Any intentional act characterized by deceit, concealment, dishonesty,	**fraud** ([REQ] Glossary, p. 11)	Defalcation, Misappropriation, Irregularity, Intentional misstatement

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		misappropriation, forgery, or breach of trust to secure unjust or illegal advantage.		
38	**Governance**	The combination of processes and structures implemented by the board to inform, direct, manage, and monitor organizational activities toward achieving objectives.	**governance** ([REQ] Glossary, p. 11)	Corporate governance, Oversight framework
39	**Independence**	Freedom from conditions that may impair the ability of the internal audit function to carry out its responsibilities in an unbiased manner.	**independence** ([REQ] Glossary, p. 12; Principle 7, p. 45)	Organizational independence, Functional independence
40	**Information Request List (IRL)**	The itemized schedule sent to the auditee specifying documents, system extracts, and populations needed for planning and fieldwork, with due dates and owners.	**requesting the information / initial data request** ([GUIDE] Standard 13.1, p. 94)	PBC list (Prepared by Client), Document request list (DRL), Audit request tracker
41	**Inherent Risk**	The combination of internal and external risk factors that exists in the absence of	**inherent risk** ([REQ] Glossary, p. 12)	Gross risk, Pre-control risk, Unmitigated risk

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		any management controls or mitigating actions.		
42	**Internal Audit Charter**	The formal board-approved document defining the internal audit function's purpose, mandate, organizational position, reporting lines, and scope of services.	**internal audit charter** ([REQ] Glossary, p. 12; Standard 6.2, p. 42)	Audit charter, Internal audit terms of reference
43	**Internal Audit Mandate**	The internal audit function's authority, role, and responsibilities granted by the board and/or laws and regulations.	**internal audit mandate** ([REQ] Glossary, p. 12; Standard 6.1, p. 39)	Audit authority, Statutory mandate
44	**Internal Audit Manual**	The CAE's comprehensive documentation of the policies, processes, templates, and procedures guiding internal auditors within the function.	**internal audit manual / methodologies** ([REQ] Glossary, p. 12; Standard 9.3, p. 65)	Audit methodology manual, Policies and procedures manual, SOP handbook
45	**Internal Audit Plan**	The dynamic, risk-based document developed by the CAE and approved by the board identifying anticipated engagements and services for a given period.	**internal audit plan** ([REQ] Glossary, p. 12; Standard 9.4, p. 66)	Annual audit plan, Risk-based internal audit plan (RBIA plan), Rolling audit schedule
46	**Management Action Plan**	Management's agreed	**action plan / management's**	Corrective Action Plan (CAP), CAPA

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
	(MAP)	commitment specifying concrete remedial steps, an accountable individual owner, and a target completion date to resolve a finding.	**action plan** ([REQ] Standard 14.4, p. 109; Standard 15.1, p. 113; Standard 15.2, p. 114)	(ISO), Management response, Remediation plan
47	**Objectivity**	An unbiased mental attitude allowing individual internal auditors to make balanced professional judgments and fulfill responsibilities without compromise.	**objectivity** ([REQ] Glossary, p. 12; Principle 2 & Standard 2.1, p. 20)	Individual objectivity, Impartiality, Professional independence of mind
48	**Overall Conclusion (Macro Opinion)**	A high-level professional judgment by the CAE across multiple engagements regarding the overall effectiveness of governance, risk management, and/or controls for a business unit or the entire organization.	**conclusions at the level of the business unit or organization / overall conclusion** ([REQ] Standard 11.3, p. 81; [GUIDE] p. 82)	Macro opinion, Annual Head of Internal Audit opinion (UK GovS 009), Enterprise assurance opinion
49	**Process Walkthrough**	Tracing a transaction or activity step-by-step from initiation to completion through observation,	**walk-through / directly observing a process** ([GUIDE] Standard 13.2, p. 96; Standard 14.1, p. 105)	End-to-end walkthrough, Process trace, "Cradle-to-grave" transaction trace

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		inquiry, and inspection to verify understanding and control design.		
50	**Professional Skepticism**	Maintaining an inquisitive mind that questions statements and critically assesses the reliability and sufficiency of information rather than accepting claims on trust.	**professional skepticism** ([REQ] Glossary, p. 13; Standard 4.3, p. 33)	Critical questioning, "Trust but verify" mindset, Investigative skepticism
51	**Quality Assurance and Improvement Program (QAIP)**	The CAE's program of ongoing monitoring, periodic internal self-assessments, and 5-year external assessments evaluating conformance with the Standards and performance objectives.	**quality assurance and improvement program** ([REQ] Glossary, p. 13; Standard 8.3, p. 55; Principle 12, p. 85)	QAIP, System of Quality Management (SoQM - GAO Yellow Book 2024), Internal audit quality program
52	**Residual Risk**	The portion of inherent risk that remains after management's controls and mitigating actions have been designed and implemented.	**residual risk** ([REQ] Glossary, p. 13; Standard 14.3, p. 108)	Net risk, Post-control risk, Remaining risk exposure
53	**Risk and Control Matrix (RCM)**	A structured tool linking business objectives, identified risks, inherent risk scores, key	**risk and control matrix** ([REQ] Glossary, p. 13; [GUIDE] Standard 9.1, p. 62; Standard 13.2, p.	RCM, RACM (Risk and Control Assessment Matrix), Control matrix, Risk register

#	Practitioner Term	One-Line Definition	2024 Standards Term (and Page if Differs or Defined)	Common Methodology & Software Synonyms
		controls, control attributes, test steps, findings, and residual risk.	97)	
54	**Root Cause**	The core underlying issue or systemic reason explaining why a difference exists between the evaluation criteria and the observed condition.	**root cause** ([REQ] Glossary, p. 13; Standard 14.3, p. 107)	Cause (in the "5 Cs"), Underlying cause, Causal factor
55	**Scope Limitation**	Any assurance engagement condition—such as resource constraints or restrictions on access to personnel, facilities, or data—that prevents performing expected work program procedures.	**scope limitation** ([REQ] Standard 13.3, p. 98; Standard 15.1, p. 113)	Audit restriction, Access limitation, Scope impairment
56	**Workpapers**	The complete documentation of internal audit work performed during planning and fieldwork that provides the evidentiary support for findings and conclusions.	**workpapers / engagement documentation** ([REQ] Glossary, p. 14; Standard 14.6, p. 111)	Working papers, Audit file, Engagement binder, Electronic workpaper archive

9. Contradictions, Tensions, and Open Questions in the Evidence

1. **The "Engagement Conclusion" Polarity Tension (Glossary p. 11 vs. Standard 14.5 p.**

110):

- **Evidence of Tension**: In the **Glossary** (p. 11), the definition of **engagement conclusion** states: *"Internal auditors' professional judgment about engagement findings when viewed collectively. The engagement conclusion should indicate satisfactory or unsatisfactory performance."* Note that the Glossary uses the word **"should"** (indicating a preferred practice) and frames the conclusion as a binary choice (*"satisfactory or unsatisfactory performance"*). In contrast, **Standard 14.5 Requirements** (p. 110) uses **"must"**: *"Assurance engagement conclusions must include the internal auditors' judgment regarding the effectiveness of the governance, risk management, and/or control processes of the activity under review, including an acknowledgment of when processes are effective"*, while **Standard 14.5 Considerations for Implementation** (p. 110) explicitly illustrates a **four-tier graduated scale**: *"For example, a scale may indicate satisfactory, partially satisfactory, needs improvement, or unsatisfactory depending on the internal auditors' assessments"* (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026; pp. 11, 110).
- **Implication for Software Design**: [INFERENCE] Software should **not** hard-code a binary Satisfactory/Unsatisfactory boolean for engagement conclusions; instead, it must require an explicit effectiveness conclusion field ([REQ] Standard 14.5) mapped to a configurable multi-tier rating scale ([GUIDE] Standard 14.5, p. 110).

2. **Pre-2024 "Sufficient, Reliable, Relevant, and Useful" vs. 2024 Standard 14.1 "Relevant, Reliable, and Sufficient"**:
   - **Evidence of Change**: Your prompt asks for the standard for *"sufficient, reliable, relevant and useful"* information. That four-part phrase was the exact wording of **pre-2024 IPPF Standard 2310 (Identifying Information)**, and is still widely echoed in practitioner literature (e.g., Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026). However, in the **2024 Global Internal Audit Standards**, **Standard 14.1 Gathering Information for Analyses and Evaluation** (p. 104) drops the word *"useful"* from the mandatory evidence triad, codifying only **Relevant, Reliable, and Sufficient** ([REQ] Standard 14.1, pp. 104–105), while moving the concept of usefulness into **Standard 11.2 Effective Communication** (*"Constructive — helpful to stakeholders and the organization and enabling improvement where needed"*, p. 79) and **Standard 13.2** (p. 97) (Global Internal Audit Standards, The IIA, published January 9, 2024, accessed November 5, 2026).
3. **Who Must Approve Engagement Objectives, Scope, Work Programs, Workpapers, and Final Reports? (Literal Text of Standards 13.3, 13.6, 14.6, 15.1 vs. Delegation Clause in Domain IV/V & Standard 12.3)**:
   - **Evidence of Tension**: Taken in isolation, the Requirements sections of **Standard 13.3** (p. 98), **Standard 13.6** (p. 103), **Standard 14.6** (p. 111), and **Standard 15.1** (p. 113) state literally that *"The chief audit executive must approve the engagement objectives and scope"*, *"The chief audit executive must review and approve the engagement work program"*, *"The chief audit executive must review and approve the engagement documentation"*, and *"Internal auditors must ensure the final communication is reviewed and approved by the chief audit executive before it is issued."* In a 50-person or 500-person bank internal audit department running 200 audits a year, a single CAE cannot personally click "approve" on every workpaper.
   - **How the Standards Resolve This**: Both the **Domain IV Introduction (p. 60)** and

Domain V Introduction (p. 92), as well as **Glossary "engagement supervisor" (p. 11)**, **Standard 11.3 (p. 81)**, and **Standard 12.3 (p. 90)** explicitly state: *"The chief audit executive may delegate appropriate responsibilities to other qualified professionals in the internal audit function, but retains ultimate accountability"* (p. 60, p. 92; see also Glossary p. 11: *"An internal auditor responsible for supervising an internal audit engagement, which may include... reviewing and approving the engagement work program, workpapers, final communication, and performance. The chief audit executive may be the engagement supervisor or may delegate such responsibilities"*).
    - **Implication for Software Design**: [INFERENCE] Audit software role-based access control (RBAC) must allow the CAE to configure a formal **Delegation of Authority Matrix** mapping which supervisory roles (e.g., Audit Director, Senior Audit Manager, In-Charge Senior) can execute the mandatory approval gates in Standards 13.3, 13.6, 14.6, and 15.1 while logging ultimate accountability to the CAE.
4. **Retention vs. Deletion of Supervisory Review Notes (Standard 12.3 p. 91 vs. Standard 14.6 p. 112)**:
    - **Evidence of Tension**: In **Standard 12.3 Considerations for Implementation** (p. 91), the Standards state: *"Usually, the supervisor's review notes are cleared from the final documentation once adequate evidence has been provided or workpapers have been amended with additional information that addresses the supervisor's concerns and questions. Alternatively, the internal audit function may retain a separate record of the supervisor's review notes, the steps taken to resolve them, and the results of those steps."* Meanwhile, **Standard 14.6 Considerations for Implementation** (p. 112) lists *"Review notes and name of the internal auditor(s) who reviewed the work"* as part of a basic workpaper format, and **Standard 12.3 Requirements** (p. 90) mandates that *"The chief audit executive must ensure that evidence of supervision is documented and retained."*
    - **Implication for Software Design**: [INFERENCE] Because litigation/FOIA counsel in many organizations prefer purging resolved draft review notes so only final verified workpapers remain discoverable, while banking examiners and some QA reviewers want to inspect the coaching trail, software must provide a configurable tenant-level toggle: either (a) purge resolved review notes upon workpaper sign-off while retaining the reviewer's sign-off timestamp, or (b) retain the full resolved review-note thread in a separate coaching log (TeamMate+ Audit Software Review, Internal Audit Guide, published September 27, 2026, accessed November 5, 2026).
5. **The 32% CAE Ownership of ERM vs. Strict Independence in Standard 7.1**:
    - **Evidence of Tension**: Practitioner survey data shows that **32% of CAEs** in 2026 also own Enterprise Risk Management (ERM) (Internal Audit 101: Standards, Process, and 2026 Priorities, Optro, published March 26, 2026, accessed November 5, 2026; New Report Reveals the Value of Strategy Plus Increasing Responsibility for Internal Audit Leaders, The IIA, published March 10, 2025, accessed November 5, 2026). Under **Standard 7.1** (p. 46), whenever the CAE has ongoing non-audit responsibilities (such as ERM or compliance), the internal audit function **cannot** provide independent assurance over that activity; instead, the responsibilities and safeguards must be documented in the charter and *"alternative processes to obtain assurance must be established, such as contracting with an objective, competent external assurance provider that reports independently to the board"* (Standard 7.1, p. 46).

10. Numbered Source List

1. **[REQ] / [GUIDE]** The Institute of Internal Auditors (The IIA). *Global Internal Audit Standards™*. Lake Mary, FL: The Institute of Internal Auditors, published January 9, 2024 (effective January 9, 2025), accessed November 5, 2026 (120 pp., attached primary source and verified online).
2. **[TOPICAL] / [GUIDE]** The Institute of Internal Auditors (The IIA). *Topical Requirements for Internal Auditing*. Lake Mary, FL: The Institute of Internal Auditors, published 2025–2026, accessed November 5, 2026.
3. **[TOPICAL]** The Institute of Internal Auditors (The IIA). *Cybersecurity Topical Requirement*. Lake Mary, FL: The Institute of Internal Auditors, issued February 5, 2025 (effective February 5, 2026), accessed November 5, 2026.
4. **[TOPICAL]** The Institute of Internal Auditors (The IIA). *Third-Party Topical Requirement*. Lake Mary, FL: The Institute of Internal Auditors, issued September 15, 2025 (effective September 15, 2026), accessed November 5, 2026.
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